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United Kingdom

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OECD ECONOMIC SURVEY

1999-2000

United Kingdom

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE UNITED KINGDOM (1999)

THE LAND

Area (1 000 km^2):	
Total	241
Agricultural (1997)	187

Major cities (thousand inhabitants, 1997):	
Greater London	7 122
Birmingham	1 014
Leeds	727
Glasgow	612

THE PEOPLE

Population (thousands, mid-1998)	59 237
Number of inhabitants per km^2	247
Net increase in population, 1997-2001, estimated annual average (thousands)	154

Total labour force (thousands, 1998)	28 944
Civilian employment (% of total, 1998):	
Agriculture, forestry and fishing	1.7
Industry and construction	26.5
Services	71.8

PRODUCTION

Gross domestic product:	
In £ billion	889.9
Per head (US$)	24 218

Gross fixed capital investment:	
As a % of GDP	18.0
Per head (US$)	4 359

THE GOVERNMENT

Public consumption (% of GDP)	18.3
General government (% of GDP):	
Current and capital expenditure	39.3
Current revenue	40.4
Net debt	38.7

Last general elections: 1 May 1997
Next general elections: by 2002

Composition of House of Commons (number of seats):	
Labour	417
Conservatives	161
Liberal	46
Ulster Unionists	10
Other	25
Total	659

FOREIGN TRADE

Exports of goods and services (% of GDP)	25.7
Main commodity exports (% of total):	
Chemicals	13.9
Manufactured goods and articles	24.5
Electrical machinery	21.5
Mechanical machinery	13.3

Imports of goods and services (% of GDP)	27.5
Main commodity imports (% of total):	
Manufactured goods and articles	28.9
Electrical machinery	21.1
Road vehicles	12.6
Mechanical machinery and other transport equipment	12.3

THE CURRENCY

Monetary unit: Pound sterling

April 2000, average of daily rates:	
£ per US$	0.632
euro per £	1.672

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of the United Kingdom by the Economic and Development Review Committee on 4 April 2000.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 15 May 2000.

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The previous Survey of United Kingdom was issued in June 1998.

Assessment and recommendations

With an economy operating at around potential, structural policy is geared to boost supply

Since the autumn of 1999, the main macroeconomic challenge facing the United Kingdom has been to head off the risk of overheating, prompting a gradual tightening of monetary policy. The authorities have continued to take forward a number of structural reforms intended to enhance productivity, which is lower than in other large OECD economies, and work opportunities, so as to boost total labour supply. These reforms, in particular in the social sphere, also aim at lifting people out of poverty and alleviating exclusion. One of them, illustrating the new framework for public expenditure management, is the reconfiguration of the health care sector, which is a specific focus of this *Survey*.

A less cyclothymic economy

The previous OECD *Survey*, published in mid-1998, highlighted the inflationary pressures that had surfaced in the United Kingdom. Those pressures soon receded, however, for external as well as domestic reasons, to the point that by the end of the year many analysts saw a serious risk of recession. On the external side, exports slowed owing to the strengthening of the pound and the emerging markets crises in 1997-98. On the domestic front, the lagged effect of the tightening of both monetary and fiscal policy, initiated in 1997, worked in the same direction, although the stance of monetary policy was promptly reversed when it appeared necessary to prevent the economy from decelerating sharply. In this context, domestic demand proved remarkably resilient and the slowdown turned out to be unusually benign, especially compared with the historically wide amplitude of the cycle in the United Kingdom.

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The strong pound has forced firms to adjust and has contained inflationary pressures

By the first half of 1998, the pound's real effective exchange rate (based on relative consumer prices) stood about 10 per cent above its long-run average, and also above its level of the early 1990s. Following some depreciation in the second half of 1998, it appreciated anew – essentially reflecting the weakening of the euro – and by the beginning of 2000, it was somewhat stronger still. The unexpected and somewhat puzzling vigour of the pound has hurt some sectors and regions more than others. Some industrial sectors as well as agriculture have been more directly affected, as have the geographic areas where the service sector is relatively less developed. Employment in manufacturing was cut back by 3 per cent in 1999, and investment in this sector was anaemic, as the strong pound was reckoned to be more than an ephemeral aberration and firms struggled to compress costs and elicit productivity gains in order to limit market share erosion. Overall, however, and thanks to the dynamism of job creation in the service sector, employment has continued to rise, even in the course of the slowdown. Unemployment has come down to levels not seen in two decades, at less than 6 per cent of the labour force. At the same time, headline inflation has remained low and stable: at the consumer level, prices have been rising at the lowest pace since the 1960s and inflation has lately even been the lowest among the European Union (EU) countries. The concomitance of resilient growth, falling unemployment and low inflation has prompted speculation that macroeconomic policy trade-offs are becoming kinder. While some empirical evidence corroborates this conjecture, it ought to be recalled that the subdued pace of inflation in 1998-99 in part reflected temporary and reversible factors, notably weak commodity prices and currency appreciation. Retail prices for services, in particular, are currently rising at an annual rate exceeding 4 per cent.

Continuing good macroeconomic performance is projected for 2000-01

The macroeconomic outlook is auspicious, albeit not devoid of risks. Confidence has remained very high and external demand from continental Europe and the rest of the world has strengthened. In a context of rising interest rates, the household saving rate, which sank in recent years, is projected to recover a bit and consumption to decelerate. So is business investment, after a boom of several years

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which took its ratio to GDP to its highest level since at least the mid-1960s. This would be largely offset by expanding public investment and a gradually diminishing drag from the foreign balance. Real GDP growth is thus projected to well exceed potential in 2000, after 2.1 per cent in 1999. The Government has now firmed up on its view of trend growth over the medium term, adopting 2½ per cent as a neutral assumption, though it continues to base its fiscal projections on the cautious assumption of 2¼ per cent, with a view to avoid repeating the ill-fated error of the late 1980s, when a cyclical acceleration was mistaken for a lasting upward shift in potential. With a positive output gap, world commodity prices that have increased considerably in recent months, and less help than in the recent past from the fiscal side, monetary policy will need to be tightened further. Inflation is still projected to firm somewhat but, provided the rate of growth of earnings comes down to around 4½ from its recent levels, it should remain close to target. Less of a monetary policy tightening may be required to avoid overheating if the pound were to strengthen further, or if the conjuncture in the United States and elsewhere were to weaken. Working in the opposite direction would be even stronger consumer spending, fuelled by rising house prices.

Inflation targeting in action: so far, so good

A major reason why a wage-price inflation spiral need not flare up is that the credibility of monetary policy has improved considerably over the past few years, as evidenced by increasingly tame inflation expectations. Indeed, as consensus growth forecasts were revised upwards in the course of 1999, consensus inflation forecasts barely changed, remaining close to the 2½ per cent targeted for the retail price index excluding mortgage interest payments. The monetary policy framework inaugurated in mid-1997 is still relatively new, but has performed well thus far, not least in comparison with the previous regimes. The Monetary Policy Committee (MPC) of the Bank of England, which sets interest rates, has adopted a pre-emptive strategy, on the grounds that a prompt response to shocks may avoid having to move interest rates by more later on. The inflation target is symmetric, as illustrated by the swift ratcheting up of the official repo rate during the MPC's first year, the equally nimble climb-down during its second year, and the series of

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upward moves since. The frequency of changes in short-term interest rates has been higher than in other inflation-targeting countries or in continental Europe, but within a fairly narrow range.

Spelling out future policy moves might be counterproductive

The monetary policy framework is also remarkably transparent, be it as regards the views and votes of MPC members or the models used and the projections generated, including the associated uncertainties. While some have recommended even more transparency, notably by being more explicit about future interest rate moves, such advice is probably misguided in the context of the United Kingdom. It overlooks both the practical complications of policy-making by committee and the fact that by speculating too much too soon in public, the MPC might needlessly tie its own hands and end up adding to, rather than reducing the ambient noise.

The fiscal policy framework has also become more rule-based…

The framework for fiscal policy has also been revamped. Notwithstanding a laudable emphasis on medium-run targets, the rules in place until 1997 did not deliver sufficient transparency, stability, and accountability. As noted in the previous OECD S*urvey*, the Code for Fiscal Stability put forward by the Government in late 1997 and legislated by Parliament in late 1998 is intended to remedy those shortcomings. Consistent with the Code, two fiscal rules have been spelled out, applicable over the economic cycle: a deficit rule precluding borrowing to fund current spending (the so-called "golden rule"), and a debt rule (the "sustainable investment rule") stating that public sector net debt as a share of GDP will be held at a stable and prudent level. The Government has indicated that, other things equal, it is desirable to reduce public sector net debt below 40 per cent of GDP. As part of the new fiscal framework, expenditure management has been recast with a longer-term perspective: around half of public spending is now committed on a multi-year basis, with departments having to publish measurable output targets and enjoying more flexibility as regards the timing of outlays. Public spending is now reviewed every other year with a focus increasingly cutting across departmental boundaries. Another major change is the ongoing phasing in of resource

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accounting and budgeting, following New Zealand and others: rather than monitoring cash payments and receipts, costs and revenues will be recorded as they are incurred or earned, *i.e.* on an accruals basis. This provides *inter alia* for a sounder approach to capital investment and asset management. Finally, the budget schedule and documentation have been overhauled.

... but raises new issues

While these changes are welcome and in certain ways narrow the scope for opportunistic tinkering, some issues arise. The frequent redefinition of the expenditure target since the early 1990s and the unavailability of a historical series covering several economic cycles for the breakdown of the latest concept into its two main (annual and multi-year) components complicate fiscal analysis. So will the move to accruals-based budget accounting, insofar as the newly defined aggregates will be only partly retropolated. Regarding budgetary rules and procedures, some caveats should be borne in mind. While the "golden rule" and the debt rule are sensible overall safeguards, they do not guarantee that the stance of fiscal policy will at all times be optimal. The less exclusive focus on cash flows and greater attention to resources consumed, objectives and outputs should help deliver better management of public spending. However, this will require deep cultural change within the public sector, including amongst managers and accountants, which will take time. One illustration thereof is the dearth in the public sector of the contract negotiation and project management skills called for to replace traditional procurement methods by public-private partnerships, in particular the private finance initiative. As well, target-setting can be a delicate art, witness the ill-formulated objective assigned to the National Health Service (NHS) to reduce waiting lists on a headcount rather than waiting time measure.

Fiscal policy has been laudably prudent...

The stance of fiscal policy was tightened considerably in 1997/98, supporting monetary policy and limiting the size of the interest rate response required to avoid overheating. Fiscal policy was tightened further, but by less, in 1998/99, allowing the United Kingdom to achieve what remain medium-run objectives for most euro area countries, namely a balanced budget and a sustainable public debt

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ratio. This allowed a shift to a broadly neutral 1999/2000 Budget law. Like the previous two budgets, however, this one was overshot on revenue and undershot on spending, reflecting deliberately cautious macroeconomic assumptions and unanticipated changes in the structure of the tax base, so that *ex post* the fiscal stance underwent a significant further tightening in 1999/2000. In retrospect, the last three budgets engineered a cumulative improvement in the fiscal balance amounting to 5 percentage points of GDP, the bulk of which was of a structural rather than of a cyclical nature. Considering also the relatively low public indebtedness ratios, public finances in the United Kingdom have thus been put on a sound footing, be it in comparison with the early 1990s or with their current shape in most other European countries.

... making room for higher spending in priority areas, which, however, increases the importance that any windfalls in the execution of the 2000/01 Budget be used to draw down debt rather than be spent

The Government felt that this impressive consolidation had made room to increase outlays on priority areas. The 2000/01 Budget bill, unveiled on 21 March, indeed provides for a sharp acceleration of spending on health care, and to a lesser extent for some other pressing purposes (thus departing from the plans embodied in the Comprehensive Spending Review for the three financial years starting in 1999/2000). As a result, the share of public spending in GDP is now projected by the Government to rise by around 2 percentage points over the next four years, and the fiscal balance is projected to worsen by 2¼ percentage points of GDP over this period. The two self-imposed rules are still projected by the Government to be easily met, but the sizeable past budgetary forecasting errors ought to be borne in mind, as should the fact that over the medium run and unlike some other EU countries, the United Kingdom is now contemplating a deficit rather than a balanced budget or a surplus. There are at least two ways of assessing the fiscal stance embodied in the March 2000 Budget. On the one hand, compared with the estimated outturns for the elapsed financial year, it can be viewed, *ex ante*, as stimulatory over the horizon relevant for monetary policy (although it might still turn out otherwise *ex post*). On the other hand, the stance over the next two years is tighter than foreseen in the March 1999 Budget, although clearly looser by the end of the projection period. In a context where overheating is a distinct risk and where domestically-generated pressures

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may no longer be offset by falling commodity prices and further exchange rate appreciation, it would be important to assure that any windfalls emerging during the execution of the Budget are used to draw down debt rather than be spent. The next set of detailed fiscal commitments will be made public in mid-2000, when the results of the second Spending Review will be announced. Pressures for more generous funding of a broad range of programmes are intense, fuelled by the large extra allocation to health care and the heightening of expectations associated with the numerous reform initiatives, implying prioritisation is needed.

Various initiatives have been launched to address the productivity challenge facing the United Kingdom

Contrasting with a rather enviable macroeconomic policy record in recent years, the United Kingdom suffers from a substantial and longstanding productivity gap compared with other advanced economies. This can be ascribed to a failure to match best practices in a number of areas. Competition has been lacking in some sectors – the most conspicuous but not only example being cars – while entrepreneurial dynamism is less impressive than in the United States and educational achievements are mixed. Acknowledging those shortcomings, the Government has launched a wide range of initiatives, big and small, to address them. While many of them should indeed help enhance productivity, employment opportunities and potential growth, it is far too early to pass a definitive judgement on their effectiveness. Many are first implemented as small-scale pilots. Although this is often wiser than to impose a new scheme nationwide upfront, and allows for the testing of variants, it should be borne in mind that local pilots are influenced by idiosyncratic circumstances and may not always be easy to generalise.

A new and more effective competition law is coming of age

As noted in the 1996 OECD *Survey*, competition policy had long been ineffective in the United Kingdom. The 1998 Competition Act, which has just come into effect, largely remedies this weakness by aligning domestic rules on the prohibition of anti-competitive agreements and the abuse of dominant positions with EU law and by introducing a leniency policy encouraging whistle-blowing akin to the one carried out in the United States. The resources of the Office of Fair Trade (OFT) have been boosted, as has its power to impose stiff fines, which should enable it to be

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much more effective. However, impediments to the entry or expansion of businesses remain in sectors such as retailing or hotels in the form of regulations restricting land and property use and should be lessened. The banking sector has also been singled out recently as one where there is room for more competition to bring down the cost of some retail services. Moreover, while the United Kingdom has a good record as regards overall levels of State aid, the temptation to selectively counteract the consequences of competition should be resisted.

Concurrent enforcement of competition legislation by different agencies may be difficult

The United Kingdom's commitment to increased product market competition is also reflected in its approach to regulation. The major sector regulators are mandated to promote competition and given concurrent powers to enforce the competition legislation (except as regards mergers). It is too early to tell whether they will confine regulation to sectors which cannot yet be satisfactorily competitive, and how well concurrent enforcement will actually work. However, the ability of regulators to use competition powers means that there is an incentive on them to adopt a "light touch" approach to regulation, and mechanisms have been put in place to ensure consistent decisions across regulators and the OFT and to co-ordinate their handling of cases. The option of returning to the more conventional approach of one competition law being applied by a single, economy-wide competition agency should nonetheless be kept in mind.

Numerous measures to foster entrepreneurship and innovation have been announced

Despite a relatively light regulatory burden, at least by European standards, business start-ups and direct investment in such ventures lag significantly behind what is recorded in the United States (admittedly a leader in this respect). At the same time, business spending on research and development as well as patenting are low by international comparison, even though the United Kingdom's scientific achievements are remarkable. Recent budgets contain a number of tax breaks and other measures aimed at encouraging entrepreneurs and rewarding risk-taking. To some extent, these measures offset alleged disadvantages of small enterprises. A risk arises, however, that by not addressing distortions at the source, new distortions are being introduced, including disincentives for firms to expand beyond the threshold above which they would no

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longer be entitled to positive discrimination. In addition, the associated deadweight losses are difficult to assess and control.

So far, the New Deals appear to be good deals for those in the lower brackets of the income distribution

While unemployment has shrunk to levels many other European countries would envy, employability remains wanting, as do work incentives for some at the fringes of the labour market. Against this background, poverty, including among children, is unacceptably high. The Government has put in place a very active labour market policy (ALMP) to tackle those problems, with a series of "New Deals", first and foremost for young people, but subsequently also for older long-term unemployed, disabled people, lone parents and partners of the long-term unemployed people. This has been accompanied by a greater emphasis on in-work as opposed to out-of-work benefits, notably with the creation of a fairly generous working families tax credit, and by the introduction of a minimum wage. The evidence available thus far on the new welfare-to-work paths is encouraging, with a substantial proportion of enrolees leaving the programme for a lasting, unsubsidised job. Good macroeconomic conditions have helped, however, and, as for all ALMPs, deadweight losses are significant. As the New Deal is extended to the hard core of the jobless, measured success rates may fall, especially if benefit conditionality were to remain weaker for categories other than young people (and, from April 2001, those eligible for the New Deal aged 25 and over). The minimum wage was introduced at a prudently low level, and its planned adjustment is limited, albeit higher for young people. It will be important, however, to retain the differentiation by age. While the minimum wage covers over 1.5 million workers, it is too early to assess its impact on employment although, as yet, there are no discernible adverse effects. On the whole, this combination of measures – together with the introduction of the 10 per cent income tax bracket and other changes to income taxes and national insurance contributions – redistributes disposable income towards the less well-off. While the structure of social benefits is undergoing major changes, housing benefits, which can discourage movements from welfare into work and which are open to fraud and error, have not yet been fundamentally reformed.

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Several new education and training programmes have been launched, but their effectiveness remains to be seen

Apart from financial disincentives, matching jobs and people is hindered in some sectors and regions by inadequate skill levels, including as regards basic literacy and numeracy. The skills gap, which constitutes one of the major drivers of social exclusion, can only be bridged over the long haul. But precisely for that reason, action is urgent. The Government has launched several new programmes, including Sure Start, for very young children in disadvantaged areas, which exemplifies the cross-agency approach that is currently gaining ground. Performance-related pay for teachers is being promoted, partnerships between schools and businesses are encouraged, and schools' computer equipment is being improved. Some longer-run goals, including having half of young people undertake higher education, have been spelled out. With a more flexible labour market and more frequent moves from one job to another, lifelong learning becomes ever more important. Recent initiatives in this area include the launch of the on-line University for Industry and of Individual Learning Accounts. The latter currently offer a lump-sum subsidy to all individuals opening a special bank account dedicated to fund vocational training. The size of the subsidy, however, is very modest compared with training costs, suggesting that a targeted scheme might have provided more effective incentives while minimising deadweight losses and duplication with the already existing publicly-funded training programmes.

The NHS, one of the largest public programmes, is chronically over-stretched

In the context of public expenditure reform, special attention is devoted in this *Survey* to public health care, which has seen two major reform waves in the 1990s. Public spending on health care accounts for a bit less than 6 per cent of GDP and 14 per cent of general government spending, and is on a rising trend. The tax-funded NHS employs around 1 million persons, mostly in hospitals, and absorbs one-quarter of the total public sector wage bill. Health services are largely free at the point of delivery. Containing expenditure pressures has therefore traditionally been an important concern, leading to a number of reforms of potential relevance for the public sector at large, such as capital charging and extensive recourse to the private finance initiative. Budget constraints have been harder than in many other OECD countries, explaining why health spending remains relatively low

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in the United Kingdom, but plausibly also why on some counts performance is sub-par: *e.g.* waiting spells for elective surgery are much longer and survival rates following some cancers appear lower than in comparable OECD countries. Dissatisfaction with NHS services also causes a significant number of patients to turn to private provision.

It has been overhauled twice in the 1990s: a "quasi-market" was introduced a decade ago…

The NHS as it was created in 1948 and operated through the 1980s functioned as a command-and-control structure, at least as regards hospitals, with the attendant rigidities and incentive problems. To address the latter, a "quasi", or "internal" market was launched in the early 1990s. Purchasers and providers of specialist services were more clearly separated. Hospitals were corporatised as semi-independent "trusts", so as to provide room for competition amongst them, albeit subject to a number of restrictions. General practitioners (GPs) were offered the option of joining "fundholding" groups empowered to contract with trusts for service provision. The achievements of the quasi-market are hard to pin down, not least because it was phased in gradually, amended along the way, and terminated before it had produced all its long-run effects. The separation of purchasers and providers and the associated contracting process forced greater clarity on standards and prices, cost-consciousness was enhanced, and some efficiency gains were obtained. However, contracting and administrative costs were significant, and the long-standing frustrations with queuing and other aspects of the NHS did not abate.

… but this approach was partly abandoned in 1997

In mid-1997, the new Government announced the end of the quasi-market and the move towards an approach relying more on co-operation and partnerships with some important new forms of financial incentives. Most of the key elements of the new set-up are now in place. Fundholder practices have been abolished and all GPs have had to join geographically-based primary care groups (PCGs). The latter are to commission hospital services for their patients on the basis of rolling multi-year contracts, which are service agreements between local health authorities (HAs), PCGs and hospitals reflecting national standards and targets spelled out in local three-year health improvement programmes.

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The purchaser/provider split remains, and purchasers retain the ability to change providers, albeit as a measure of last resort: efficiency is expected to be fostered by contestability, coupled with enhanced performance monitoring, in lieu of oligopolistic competition. Among the many new bodies set up in the context of the re-engineering of the NHS are a National Institute for Clinical Excellence and a Commission for Health Improvement. The first will produce and disseminate clinical guidelines and referral protocols and will appraise new treatments and technology. The second will seek to ensure that clinical standards are being met by NHS organisations.

The NHS has received a major budgetary boost

NHS spending increased fairly slowly during the second half of the 1990s, but has been given an unprecedented multi-year boost in the context of the March 2000 Budget ahead of the conclusion of the second Spending Review. The extra resources are to finance modernisation as part of a national plan to be agreed in July. Training and hiring extra doctors will be particularly important, given the comparatively very low density of doctors in the United Kingdom.

The merits of the new arrangements cannot yet be fully assessed

Even though they try to preserve what worked and to remedy what did not in the quasi-market, the new arrangements are not risk-free. F*irst*, it is far from clear that the recent short-run reductions in administrative costs can be maintained. S*econd*, the traditional centralisation that persisted in the 1990s is in some ways reinforced. T*hird*, if contestability is to foster efficiency, HAs should not discourage PCGs from switching providers. F*ourth*, it remains to be seen how budgetary discipline can be achieved within PCGs at reasonable managerial cost, given their large size and the heterogeneity of their membership (about half of their GP members were unwilling to become fundholders under the quasi-market). F*ifth*, specialist doctors continue to face a strong financial incentive to treat patients after NHS-hours for a much higher remuneration. In addition, some already over-burdened managers and practitioners, who are being asked to work out on the ground the numerous and sometimes quite ambitious initiatives by the centre, may suffer from reform fatigue. The Government's commendable emphasis on better service and the publicity given to

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increased funding have presumably raised expectations, making it harder to meet them. It is essential that the new-found financial room for improvement – which involves a significant change in the allocation of budgetary resources in favour of health – be taken advantage of to bring about a step change in the quality of public health care.

Summing up

The United Kingdom has now experienced 30 quarters of uninterrupted growth, with low and stable inflation and falling trend unemployment. The amplitude of the latest cycle has been smaller than in the past, coming closer to the experience of most of the other advanced OECD economies. This welcome change rewards the adoption of improved monetary and fiscal policy frameworks, building in more prudence and foresight. It was also helped by a fortunate coincidence of events in 1998-99, notably the disinflationary impulse of a strengthening pound coupled with decelerating foreign demand. Looking ahead, and especially if overheating pressures were to become more conspicuous, it will be important to continue to adhere to this cautious approach and to avoid the complacency witnessed a decade earlier. On the structural side, many initiatives have been undertaken in recent years, often drawing on best practice in other OECD countries, with a view to boosting productivity and employability as well as alleviating social exclusion. It is too early to assess many of them as well as the implementation problems encountered on the ground. While there is a risk that too great a profusion of initiatives would generate reform fatigue, the overall ambitions and thrust of those structural policies are commendable, and their early results encouraging.

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I. Macroeconomic developments and prospects

The previous OECD *Survey*, published in June 1998, highlighted the inflationary pressures that had then surfaced. Since the autumn of 1999, following a remarkably benign aggregate slowdown, the main challenge again facing the United Kingdom has been to head off the risk of overheating, prompting a gradual tightening of monetary policy. GDP growth has remained non-negative for 30 quarters now, which is the longest, if not the strongest, uninterrupted quarter-on-quarter expansion on record in this country.[1] Employment and unemployment have continued to improve, even in the course of the slowdown, while inflation has remained low and stable, helped by exchange rate appreciation. The unabated strength of the pound in recent years has forced firms to adjust, once it became perceived as a lasting phenomenon. It has translated into market share losses, however. The concomitance of robust growth, falling unemployment and low inflation has prompted speculation that macroeconomic policy trade-offs are perhaps becoming more favourable, a conjecture for which there is some empirical support, even though subdued inflation has in part reflected temporary global forces. The macroeconomic outlook is auspicious, albeit not devoid of domestic and external risks.

The recession that wasn't

Aggregate output held up well, notwithstanding stark contrasts across sectors

By 1997, real GDP was expanding at a rate well exceeding potential, and the output gap turned positive. Growth subsequently slowed down as a result of the negative external demand shock associated with a string of emerging market crises, but also because the macroeconomic policy stance was tightened (see Chapters II and III). Even so, the pace of the expansion did not fall much below potential – except in the last quarter of 1998, when real GDP was flat – and has risen above potential since mid-1999. The activity cycle was thus much less pronounced than earlier ones (Figure 1). One important difference in this respect was that the interest rate cycle was also much less dramatic this time. The mildness of this downturn was not immediately obvious, however, and concerns that the United Kingdom might be entering a genuine recession were quite prominent in

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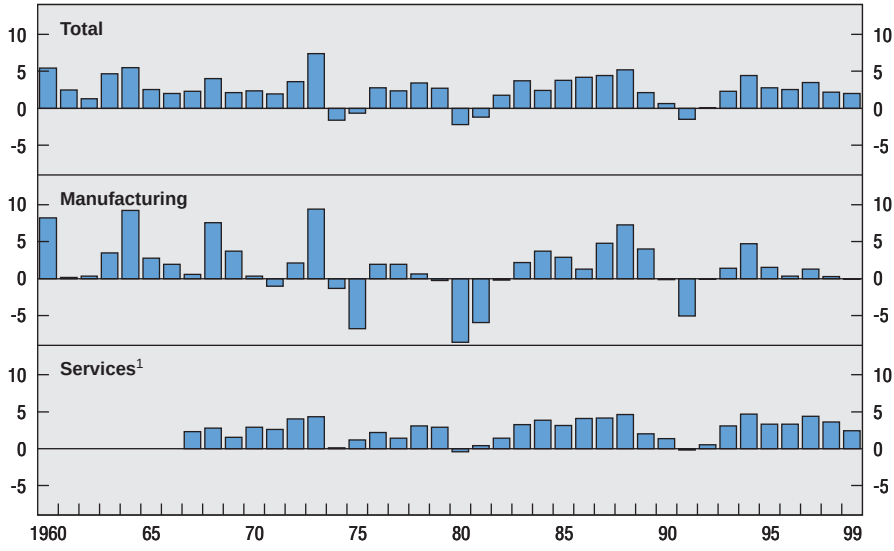
Figure 1. **GDP growth**
Per cent



1. Data unavailable prior to 1966.
Source: OECD, *Quarterly National Accounts.*

late 1998 and early 1999, although they were not shared by the Treasury. To some extent, the gloom was accentuated by mis-measurement, since the Office for National Statistics (ONS) announced substantial downward revisions to its preliminary GDP estimates in the Spring of 1999, which were partly reversed later on (Figure 2). While not of an unusual size, the timing and direction of these revisions did contribute to worsen perceptions early on and to brighten the picture later in the year.[2]

While the economy as a whole did not record a recession, in the conventional sense of two consecutive quarters of negative growth, some sectors did, notably manufacturing. In part, this reflects a traditional stylised feature of the business cycle in OECD countries, with services tending to be less volatile and industry and agriculture more so. But it also reflects the durable strength of the pound, which appreciated very sharply between 1996 and 1998, and has even appreciated further since, evolving in tune with the US dollar more than with the euro (Figure 3). Within manufacturing, and at the risk of some generalisation, "higher tech" branches (*e.g.* quality engineering) seem to have weathered the

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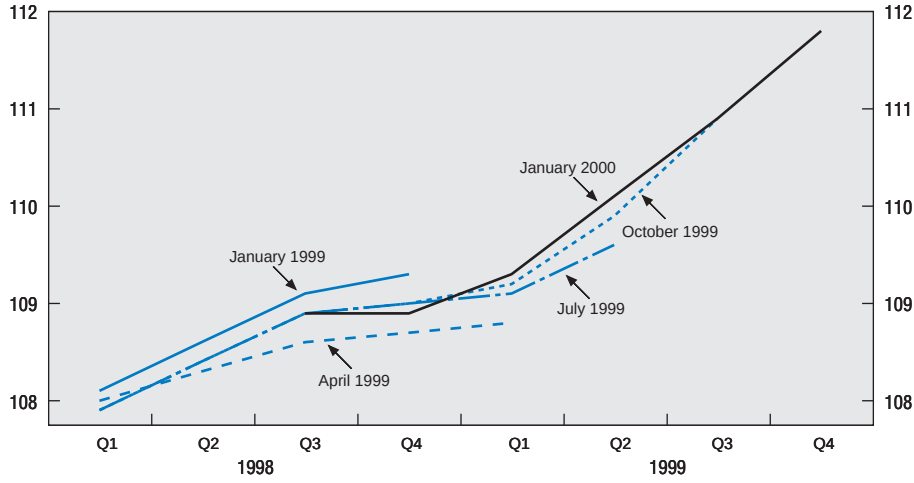
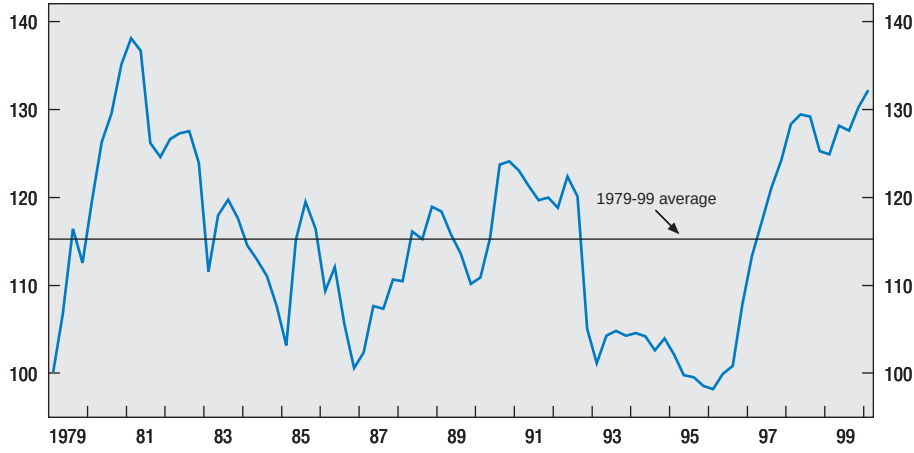
Figure 2. **Evolution of the measured GDP path over time**
At constant market prices, 1995 = 100



Source: ONS.

Figure 3. **Sterling real effective exchange rate**
Based on consumer prices, 1995 average = 100



Source: OECD.

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slowdown better than "lower tech" ones (*e.g.* clothing and footwear). Manufacturing output did pick up significantly in the second half of 1999, however, possibly helped by Y2K-related stockbuilding but also because a number of firms have adjusted to the strong exchange rate level, once they reckoned it was there to stay. This adjustment has taken the form of labour shedding and other efforts to improve productivity, which has accelerated lately.

Another sector that has been struggling with a strong pound is agriculture, although this sector accounts for less than 2 per cent of GDP. The nominal farm-gate prices of some of the main produce and livestock (cereals, beef and pork) are as low as any time since 1988,[3] and the prices of some others (milk and mutton) are also very low by historical standards. In contrast, some of the input costs have increased significantly, notably inspection and abattoir costs. Total farming income has collapsed by 60 per cent in real terms since the mid-1990s, prompting calls for cash aid.[4]

Looking at the economy as a whole in the course of the 1990s, two remarkable features stand out as regards productivity. F*irst*, measured as GDP divided by employment, it appeared to be less sensitive to the cycle than in previous decades. This may result from changes in the labour market during the last two decades which have provided firms with more room for manoeuvre to adjust employment and hours worked in the face of fluctuations in demand. S*econd*, since the mid-1990s, productivity gains have consistently remained below the long-run 2 per cent trend, in contrast with developments in the United States. This could reflect a downward shift of average productivity imparted by the absorption into employment of heretofore jobless low productivity workers, but also the ever-rising share of the service sector where measured productivity gains are lower (but perhaps understated).

In late 1999, the Government firmed up on its estimate of trend growth over the medium term, adopting 2½ per cent as a neutral assumption. This is the same figure as had been used prior to mid-1997. It essentially coincides with the OECD Secretariat's own estimate[5] and is broadly in line with what the Monetary Policy Committee (MPC) of the Bank of England builds into its forecasts, based on a production function approach. The Government's estimate rests on a continuation of underlying productivity growth (*i.e.* for a given employment rate) at the same rate as over the 1990-98 cycle (2.1 per cent), and on projections of the employment rate (rising by 0.1 percentage point per annum) and of the population of working age (expanding at a pace of 0.4 per cent). In the view of the Government, the 2½ per cent estimate does not embody any contribution from "new age" factors nor any of the effects that it hopes will come through as a result of its numerous policy initiatives aimed at boosting productivity (see Chapter IV). Moreover, while this new estimate is used in the Treasury's macroeconomic framework, fiscal projections continue to be based on a potential growth rate of 2¼ per

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cent. Indeed, the Government is keen to avoid repeating the mistake of the late 1980s when a cyclical acceleration was mistaken for a lasting upward shift in the potential rate of growth.

Resilient domestic demand largely offset weaknesses on the external side

On the demand side, the amplitude of the latest cycle was reduced by the resilience of domestic demand in the face of a widening external deficit. Both consumption and investment remained vigorous while the weakening of external demand combined with the strong pound depressed net exports.

Household consumption slowed down somewhat in the second half of 1998 owing in part to rising interest rates (which in the United Kingdom restrain spending relatively rapidly, due to the prevalence of floating rate mortgages),[6] lower dividend receipts and an increase in tax receipts as a proportion of wages and salaries. Household consumption subsequently picked up, as did consumer confidence, helped by falling interest rates, a recovery in share and house prices (Figure 4), growing employment, and an acceleration in average real earnings. Household borrowing has risen considerably (see Figure 14 in Chapter II), including in the form of mortgage equity withdrawal (MEW), *i.e.* new lending secured on housing that is not used for house purchases or home improvements, and thus substitutes for personal loans, overdraft facilities and credit card borrowing. Buoyed by rapidly rising house prices, MEW has reached it highest level since 1991 as a proportion of post-tax income, even though it remains well below the levels witnessed in the late 1980s.[7] In the process, the household saving ratio has declined from over 9 per cent in 1997 to around 6 per cent in the past two years, probably at least partly reflecting a dampening of the precautionary motive for saving. To some extent, this may be a transitory phenomenon, driven by wealth effects, but it could also be a more durable change, with the United Kingdom coming to resemble the United States somewhat more. Household balance sheets, however, are stronger than a decade ago. Debt service ratios are low, reflecting relatively low interest rates, and debt over wealth ratios have been declining since 1993. The resilience of overall consumption has been further supported by rising government consumption.

Fixed capital formation boomed in the second half of the 1990s, driven by business investment, but starting from a level that was relatively low by OECD standards as a share of GDP, as was the level of the capital stock.[8] A comparatively high share of investment is of foreign provenance (though outward direct investment is even larger than inflows). Business investment has been less buoyant in manufacturing than in services, however. A sizeable portion of investment outlays has gone to upgrade information technology (IT) systems, including to pre-empt Y2K problems (under ESA95 rules, most such outlays are classified as adding to the capital stock). The dynamism of investment since 1995 can thus be thought of

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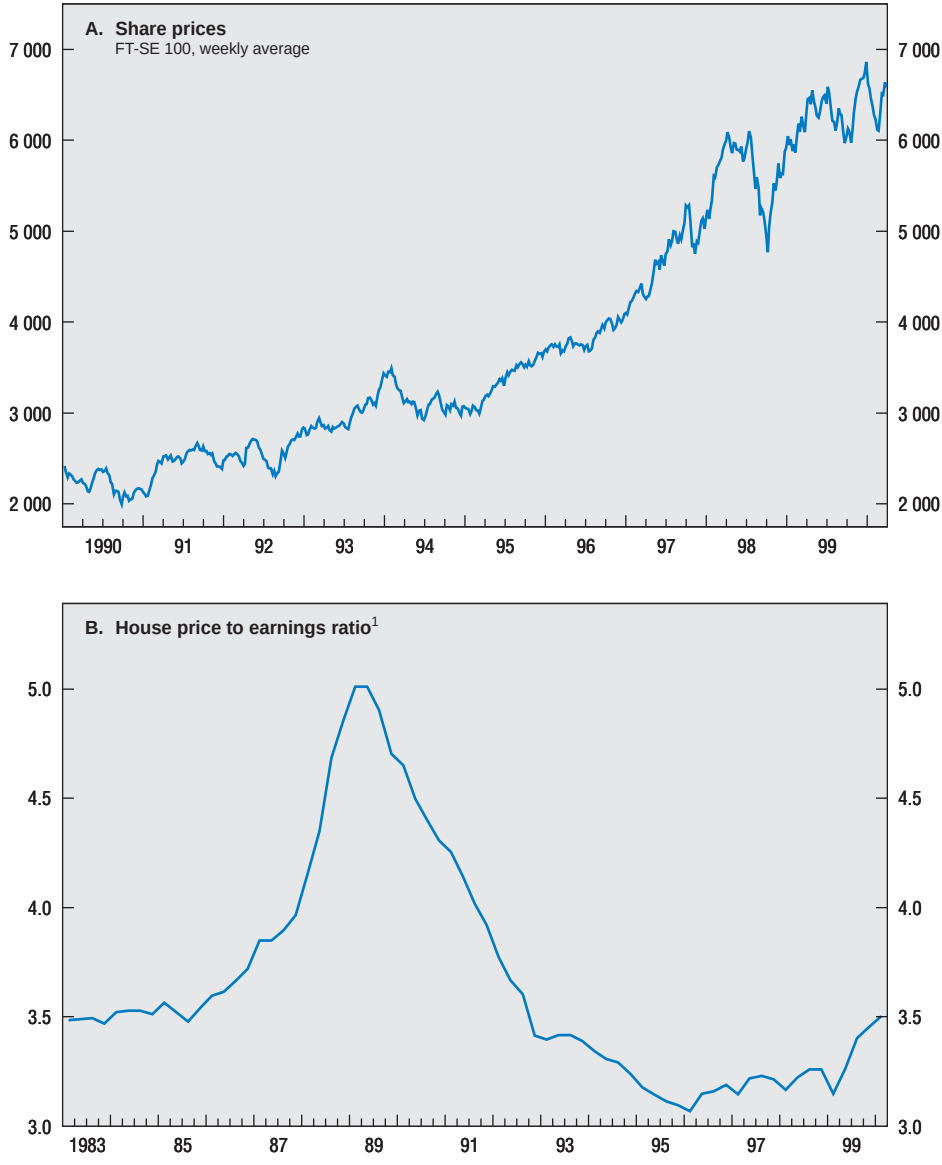
Figure 4. **Share and house prices**



1. National average earnings and the seasonally adjusted standardised average price for all houses (all buyers) in the United Kingdom.

Source: Bloomberg and Halifax Group.

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as a catch-up process, fostered by greater macroeconomic stability. It has also been boosted by falling long-term interest rates and profitability rates that were high by international but also historical standards (Walton, 2000). The gap between the desired and the actual capital stock had likely narrowed quite significantly by 1998, when the capital/output ratio reverted to its long-run (1975-98) average, contributing to some slowing down of capital formation in 1999. Housing investment, which accounts for about 15 per cent of total investment, has also weakened somewhat since mid-1998.

As regards stockbuilding, the economy-wide ratio of inventories to output has been broadly flat since the mid-1990s, following a significant decline. It rose somewhat in the course of 1998, but has been cut back since, aided by more aggressive discounting and strengthening demand. The contribution of stockbuilding to real GDP growth has therefore been negative in 1999.

Exports suffered from the contraction of foreign demand associated with the emerging market crises of 1997-98, but also from the exchange rate appreciation. The value and volume of exports of goods declined in the course of 1998. Both picked up in 1999, as activity continued to grow strongly in the United States and firmed in continental Europe and Asia, and as adjustment to the durably strong pound started in earnest, including through cutting some of the domestic components of firms' supply chains. Even so, the United Kingdom continued to lose market shares (Figure 5). Import volume growth slowed marginally in 1998, but remained vigorous enough for import penetration to continue to rise to around one-fourth of final expenditure, up from one-fifth at the start of the 1990s. Import volumes and values accelerated during 1999. As a result, the deficit on goods trade widened from 1.5 per cent of GDP in 1997 to an estimated 3.0 per cent in 1999, the biggest since 1990. This deficit was to a large extent offset by a surplus on the services and factor income accounts, limiting the current account deficit to an estimated 1.4 per cent of GDP in 1999. The external sector's drag on real GDP growth, which was very limited in 1997, averaged almost 2 percentage points in 1998-99.

Against this background, the net international investment position of the United Kingdom, which was broadly balanced four years ago, had swung to minus £151 billion (or over 17 per cent of annual GDP) by the end of the third quarter of 1999. It ought to be recalled, however, that the underlying gross assets and liabilities, which have been rising much faster than GDP, now well exceed £2 trillion, reflecting the growing role of the United Kingdom as an international financial centre, which is far more important than in other large OECD economies. Moreover, measurement problems abound in this field, notably as regards the valuation of foreign direct investment stocks: if all investment were re-estimated at market rather than at book value – as is more relevant from an economic standpoint albeit difficult datawise – the United Kingdom's debtor position would likely

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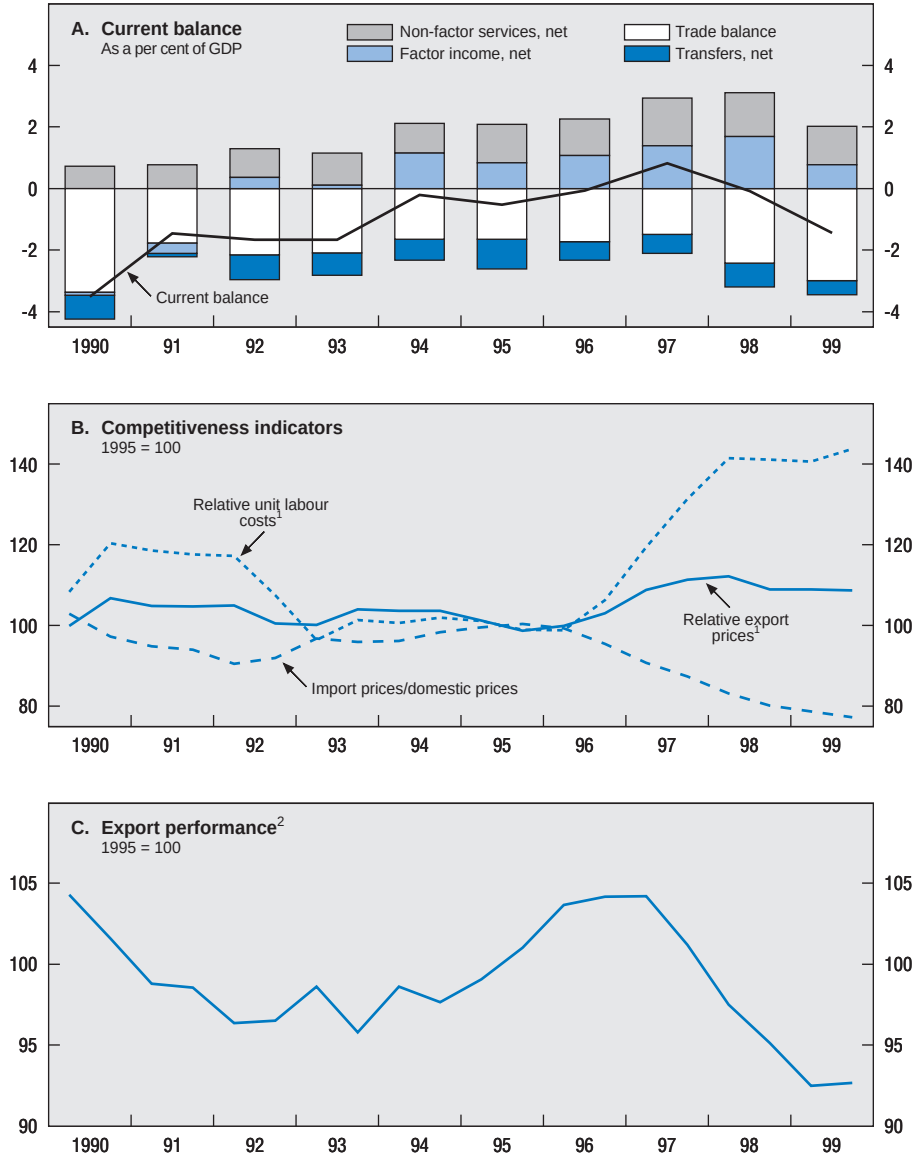
Figure 5. **External trade**



1. Manufacturing.
2. Export performance is the ratio between export volumes and export markets for total goods.

Source: OECD.

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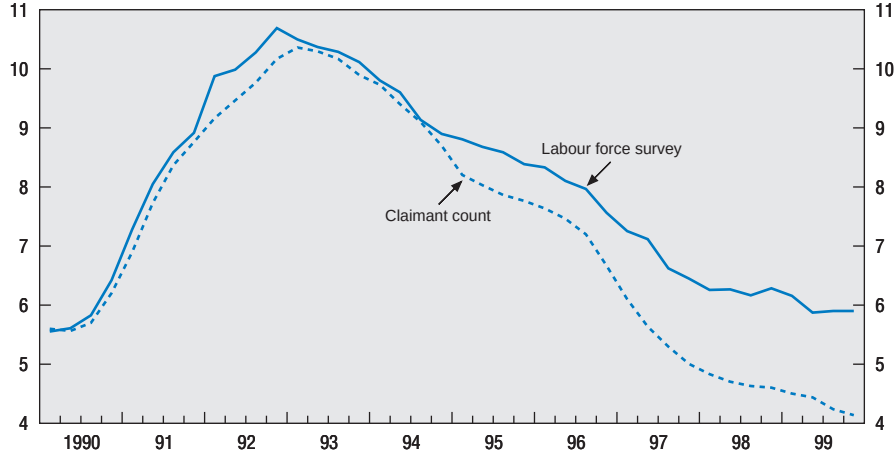
shrink considerably (Colquhoun, 1999). Also, compared with the large net creditor position of Japan and the large net debtor position of the United States, the United Kingdom's position remains close to balance.

An improving labour market

As in previous limited slowdowns, employment and unemployment trends did not worsen much during the latest one. In fact, total employment has continued to increase. In manufacturing, however, it fell by around 3 per cent in 1999, as firms attempted to reduce unit labour costs in order to adjust to the strong pound. But labour shedding in this sector was more than offset by job creation in the service sector. Meanwhile, unemployment has declined further, falling below 6 per cent of the labour force on the labour force survey (LFS) measure and 4 per cent for the claimant count (Figure 6). At the same time, the share of long-term unemployment has declined (Chapter IV). By historical standards, vacancies abound, be they counted by press advertisements or by jobcentre registrations. The participation and the employment rate have both been increasing, and the inactivity rate excluding students, the long-term sick and early retirees is at its lowest level on record.

Figure 6. **Unemployment**
As a per cent of total labour force



Source: ONS, *Labour Market Trends.*

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One reason for these ongoing improvements despite the temporary slowdown may have been the relative tightness of the labour market, which led to some hoarding on the part of firms. One sign of tightness is the average time required to fill a jobcentre vacancy, which has doubled since the early 1990s. In principle, this could signal a deterioration in matching efficiency. In practice, however, the proliferation of recruitment agencies and the computerisation of the vacancy lists cast doubts on such an interpretation. Matching efficiency has probably improved over the past few years, which has facilitated the reallocation of labour from manufacturing into services. It is also possible that a greater proportion of job-seekers find work via newspaper advertisements or private recruitment agencies, which could explain some of the rise in the jobcentre vacancy durations. While it remains difficult to assess the degree of tightness of the labour market overall, local or sectoral skill shortages have intensified, *e.g.* in IT and business services. Conversely, local pockets of severe unemployment remain, notably in the North-East, where LFS unemployment was higher in late 1999 than two years earlier, but also in some areas of greater London – indicating that there is no manichean North-South split.

Wage and inflation pressures

Another symptom of relative tightness of the labour market is the recent vigorous growth of average earnings, which since summer 1999 has significantly exceeded the 4½ per cent rate that is consistent with historical productivity growth and the inflation target. Average earnings decelerated somewhat in 1998, especially in manufacturing, but picked up from mid-1999, with the fastest rises being recorded in services. Interestingly, average earnings tend to rise faster than settlements, reflecting a gradual shift from company-wide settlements towards increased use of bonuses, merit pay, overtime and other remuneration methods which allow individual performance and demand conditions to be better taken into account. The introduction of the national minimum wage, which came into force in April 1999, has contributed to earnings growth, although the Monetary Policy Committee has indicated that the initial impact has likely been smaller than the ½ percentage point it previously expected. The impact was also spread over time, as a number of firms adjusted low wages prior to the deadline. In real terms, wage growth has tended to increase, but this results at least in part from inflation turning out to be lower than generally expected at the time wages were negotiated.

Consumer and retail price inflation have indeed been remarkably subdued (Figure 7). Retail price (RPI) inflation including mortgage interest payments, which is one of the main references in wage negotiations, has come down in 1999 to levels not witnessed since the 1960s (see Figure 13 in Chapter II). Measured by the harmonised index of consumer prices (HICP), inflation has converged to the euro area average, and has lately even been the lowest among EU countries. Producer price inflation dipped below zero at the end of 1998, also for the first time since the 1960s, although it has

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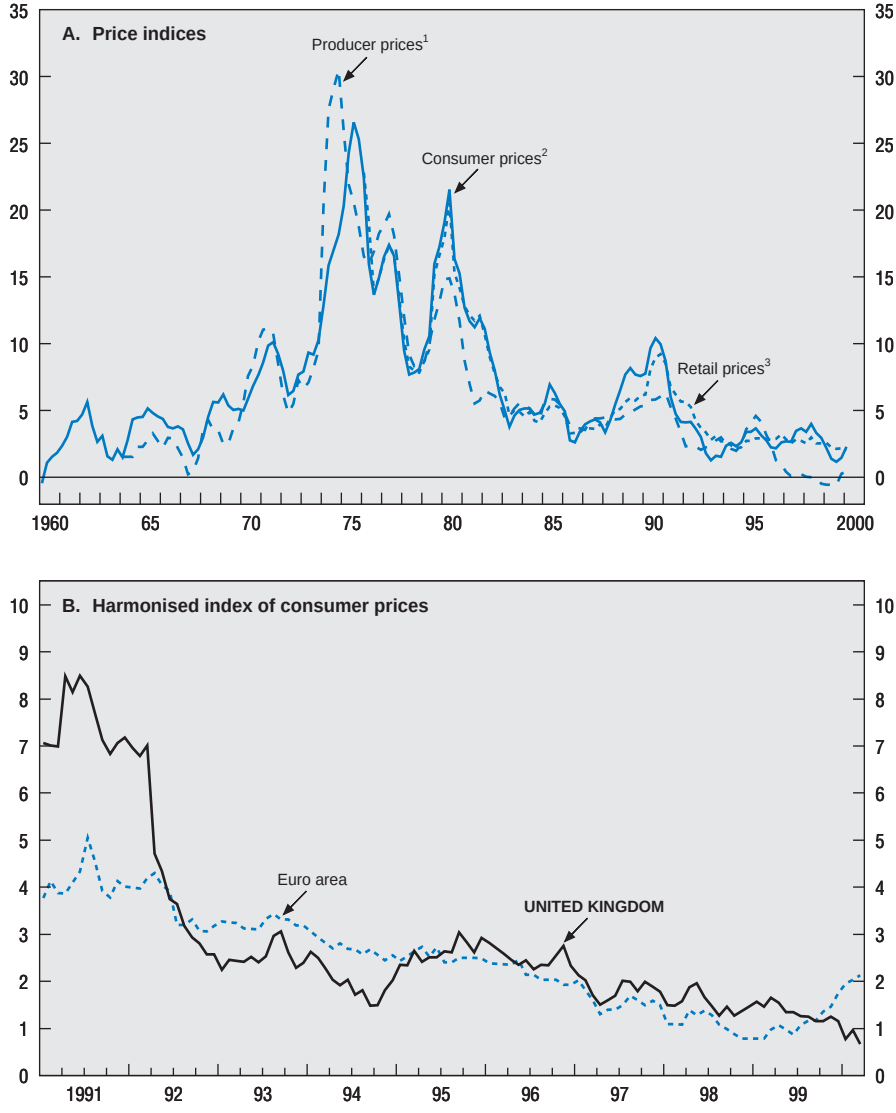
Figure 7. **Inflation**
Annual percentage change



1. Products of manufacturing industries except food, beverages, tobacco and petroleum manufacturing.
2. All items.
3. All items excluding mortgage interest payments (RPIX).

Source: ONS and Eurostat.

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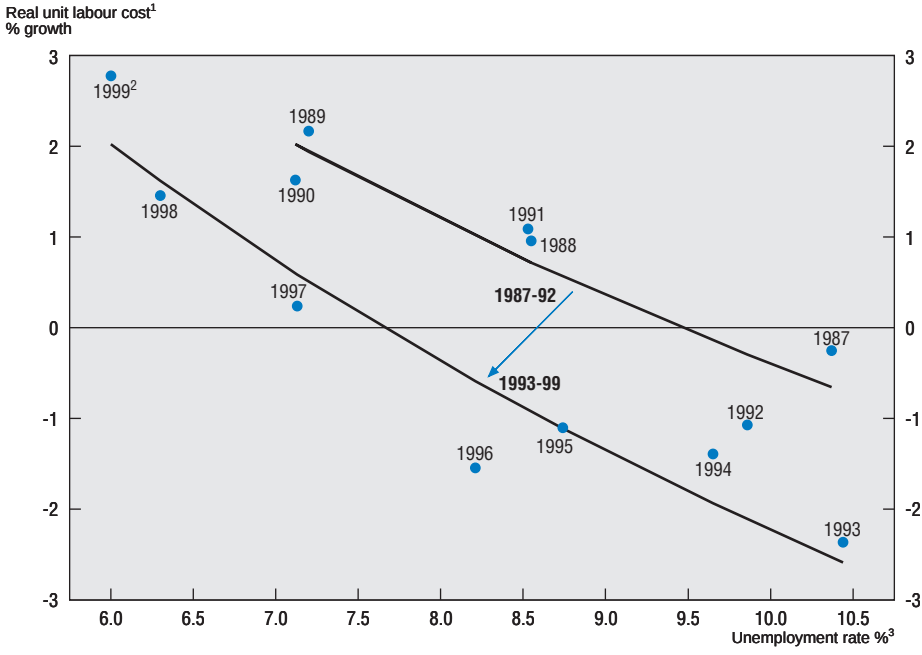
Figure 8. **Improving trade-offs**



1. Real product wage divided by ONS measure of labour productivity.
2. Year to 1999 Q2.
3. Labour Force Survey data.

Source: Bank of England, *Inflation Report*, November 1999.

since tracked upwards, reflecting pressure from the surge in oil prices.[9] To a significant extent, disinflation has been driven by temporary factors, particularly the fall in commodity prices on world markets and the sharp appreciation of the pound. Indeed, RPI inflation for services, which is relatively more insulated from external developments, has steadily risen, from 3 per cent in 1997 to over 4 per cent in early 2000 – the highest level since 1994. In terms of the HICP, goods price inflation has most of the time been lower than in the euro area over the past few years, whereas services price inflation has consistently and significantly outpaced that in the euro area.

The conjunction of falling unemployment and subdued inflation suggests that the terms of the traditional macroeconomic policy trade-off may have improved in the course of the 1990s. Indeed, the relationship between unemployment and changes in real unit labour costs seems to have shifted (Figure 8), consistent with a fall in the equilibrium rate of unemployment (Box 1). At least a part of this apparent shift in the trade-off, however, may be driven by favourable temporary shocks, such as subdued imported inflation, and could therefore be reversed.

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Box 1. Why has the NAIRU declined in the 1990s?

Most recent estimates of the non-accelerating-inflation rate of unemployment (NAIRU) suggest that it has declined significantly since the 1980s, as has unemployment itself.[1] This reflects, with variable lags, a combination of structural changes, which are discussed further in Chapter IV:

- Product market competition has increased, witness the trend increase in import penetration, the more recent intensification of "price wars" in retailing and the falling scope for price hikes perceived by firms.
- Rising inward and outward investment flows imply that the threat of capital relocation puts a lid on wage claims.
- The share of long-term unemployed (LTU) in total unemployment has declined.
- Union membership, as a proxy for insiders' bargaining power, has declined significantly. Concomitantly, wage bargaining has become more decentralised and individualised.
- The replacement ratio (out-of-work benefit relative to in-work income) has declined during the 1980s and the availability of benefits has been restricted, including recently in the context of New Deal measures.
- Widening availability of flexible and family-friendly working practices helps reduce the NAIRU for women, as does improved childcare provision.
- The cohorts of young people entering the labour force, who tend to move in and out of employment more frequently and therefore have above-average unemployment rates, has shrunk.[2]
- Some of the training programmes introduced in the 1980s have helped reduce skill mismatches.
- Matching processes have become more efficient thanks to the expansion of outsourcing, temporary work and other flexible forms of work.

To some extent, however, the fall in unemployment and in the NAIRU has been associated with a rising inactivity rate. Moreover, other forces may have worked to increase the NAIRU, or might do so in the future, even though on the whole they seem less potent:

- The tax wedge between product and consumption wages has increased during the 1990s, but only slightly.
- The introduction as from April 1999 of a national minimum wage has been seen by some as pushing up the NAIRU but its modest and differentiated level, as well as the fact that it should reduce turnover costs, suggest the quantitative impact is probably small (Wadhwani, 2000).

On balance, given that some of the stronger forces driving it down will likely continue to work in this direction – notably the development of e-commerce, which has the potential to lower prices by reducing search, distribution and inventory costs – the NAIRU may be heading slightly lower still over the next few years.

1. See *e.g.* Melliss and Webb (1997) and Barrell and Riley (1999). The Treasury considers that the NAIRU currently does not differ much from the actual LFS unemployment rate.
2. The Bank of England estimates that this by itself might have reduced unemployment by about half a percentage point since the mid-1980s. On the other hand, the rising proportion of people aged 50 and over works in the opposite direction.

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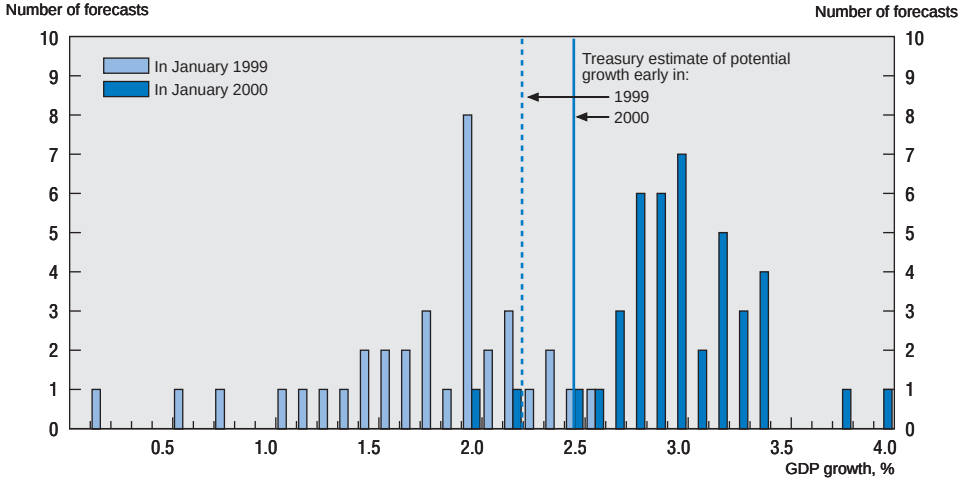
Near-term prospects

The perception of the near-term outlook has brightened considerably in the course of 1999. While the consensus forecast for real GDP growth in 2000 started the year distinctly below potential, with an average of 1.8 per cent and a range of 0.2-2.6 per cent, it well exceeded potential by the beginning of 2000, with an average of 3.1 per cent and a slightly narrower range of 2.0 to 4.0 per cent (Figure 9). In other words, the most bearish forecasters had become almost as bullish as the most optimistic forecasters were a year earlier.

The outlook has indeed improved a lot. Consumer confidence has remained very high and demand in the rest of the world has distinctly strengthened. In this context, activity is projected to retain quite some momentum, even though real GDP growth should slow down from its recent above-potential rate, partly in response to projected rising policy and market interest rates (Table 1).[10]

The household saving rate, which declined sharply in recent years, is projected to recover a bit and consumption to decelerate. So is business investment, after a boom of several years. This would be largely offset by rising public investment and a gradually diminishing drag on the foreign trade side. Government fixed investment (general government plus National Health Service trusts), which represents around one-tenth of total investment and has shrunk since the

Figure 9. **Distribution of GDP forecasts**
Projected growth for 2000[1]



1. Independent forecasts collated by HM Treasury.
Source: HM Treasury and OECD.

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Table 1. **Recent outcomes and short-term projections**
Percentage change, constant prices

	1997	1998	1999[1]	2000[2]	2001[2]
Consumption					
Private	3.9	3.2	3.9	3.3	2.6
Government	–1.4	0.7	4.4	3.8	3.2
Gross fixed investment	7.5	11.0	5.2	3.8	3.4
Private					
Business	11.8	14.1	6.4	2.8	3.2
Housing	2.5	1.8	0.4	3.6	2.7
Government	–10.0	7.9	5.5	12.8	7.0
Final domestic demand	3.5	4.1	4.2	3.5	2.9
Change in stockbuilding[3]	0.3	0.0	–0.6	0.1	0.0
Total domestic demand	**3.8**	**4.1**	**3.6**	**3.6**	**2.9**
Foreign balance[3]	–0.3	–2.1	–1.7	–0.9	–0.8
Exports of goods and services	8.6	2.4	2.9	8.5	6.7
Imports of goods and services	9.2	8.8	7.5	9.8	7.7
Gross domestic product	**3.5**	**2.2**	**2.1**	**2.9**	**2.3**
Deflators					
Private consumption	2.5	2.5	2.4	2.5	2.8
GDP	2.9	3.2	2.9	3.0	3.2
Current account (% of GDP)	0.8	–0.1	–1.4	–1.8	–2.0
Total employment	1.6	1.2	1.0	0.9	0.5
Labour force	0.4	0.5	0.7	0.7	0.6
Unemployment rate[4] (in %)	6.9	6.2	5.9	5.7	5.8
Personal saving ratio (in % of income)	9.6	6.3	6.2	6.1	6.2

1. Outcomes and preliminary estimates.
2. OECD projections from *Economic Outlook* No. 67.
3. Contributions to changes in real GDP (as a per cent of GDP in the previous year).
4. Labour force survey.

Source: OECD.

mid-1990s, is indeed programmed to increase significantly (Chapter III). Export growth would continue, albeit not as fast as world demand, owing to the strong pound. Growth would thus become a bit more balanced, as the slowdown in domestic demand would be coupled with improving external prospects.

Employment is projected to grow less than output, with productivity picking up. The unemployment rate should not drop much below recent levels, as the vigour of activity and the intensification of active labour market policy (ALMP) initiatives are likely to draw persons back into the labour force who would otherwise have remained inactive (Chapter IV). With a positive output gap and world commodity prices having risen considerably in recent months, inflation is projected to edge up a little, while remaining close to target.

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A number of risks and uncertainties surround this rather enviable outlook. On the domestic front, it is difficult to evaluate how much slack remains. The aforementioned investment efforts should pay off and help relieve or prevent bottlenecks, but it is not clear how fast employment can expand without wages accelerating. The envisaged stance of fiscal policy will not stem excessive demand pressures, implying that monetary policy has to do so. How far the policy rate will have to be raised, however, remains to be seen. If potential output growth has really improved, and if the NAIRU (*i.e.* the unemployment rate consistent with stable inflation) has indeed declined substantially, the required amplitude of the ongoing upward interest rate movement may be smaller than in the previous interest rate cycle. On the external front, downside risks include a sharper than projected slowdown in the United States or less of a pick-up than foreseen in the euro area or Japan.

Looking further ahead, an important question for policy-makers in the United Kingdom is of course that of euro area membership. In this light, do the projections suggest that the cycle is becoming more closely aligned with that in the euro area, thus meeting the first of the "tests" set by the Government?[11] The difference between the output gap in the United Kingdom and in the euro area is projected to shrink this year and next. By end-2001, the remaining difference should be very small given the uncertainty surrounding output gap estimates, and also compared with the differences amongst euro area members. Likewise, potential growth rates do not differ widely. Inflation as measured by the GDP or private consumption deflators is projected to remain higher in the United Kingdom, but without diverging more from the euro area average than inflation in some "in" countries. Interest rates are projected to remain somewhat further apart, but as illustrated by the experience of Ireland and other prospective euro area members in 1998, this would change should the prospect of joining soon become reality. The Government will assess how durable the convergence of growth and inflation is likely to be, as part of the aforementioned tests. Some of the features that have traditionally distinguished the United Kingdom from continental Europe – such as more rapid transmission of monetary policy impulses – are likely to endure, at least for a while. But by definition joining would abolish one important source (and manifestation) of divergence, *i.e. t*he long-standing tendency of the exchange rate to move in tandem with the US dollar more than with the (synthetic) euro. Also, structural reforms and behavioural change in the euro area, *e.g.* as regards the spreading of shareholding, will make for more similarity over time. In sum, on several scores, even as an "out", the United Kingdom is projected to be as close, or even closer, to the economic centre of gravity of the euro area than some of the current "ins". Overshadowing these considerations, however, is the level and stability of the exchange rate of the pound *vis-à-vis* the euro.

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II. Monetary policy: inflation targeting in action

The United Kingdom has built up over seven years of experience with inflation targeting and three years have elapsed since the Bank of England was granted a larger measure of independence and its *modus operandi* was overhauled. The current framework was described in detail in the previous S*urvey* and is only summarised below. More attention is paid instead to the implementation of monetary policy and the extent to which the new arrangements have enhanced central bank credibility. On the whole, the new regime is performing better, but it is still early to pass a definitive judgement. In the near future, one of the challenges is to head off the risk of the economy overheating.

Framework

The United Kingdom was one of the first OECD countries to adopt inflation targeting, following unsuccessful experiences with monetary targeting in the 1980s and exchange rate targeting in the early 1990s.[12] The modalities of inflation targeting in the United Kingdom changed over time, however, most dramatically in 1997.

T*he institutional set-up*

In May 1997, the Government granted instrument, or operational, independence to the Bank of England for the conduct of monetary policy: while the policy objectives continue to be determined annually by the Treasury, responsibility for interest rate decisions moved to the Bank's new MPC.[13] After operating on a *de facto* basis for a year, the new regime was formalised by the 1998 Bank of England Act, which entered into force in June 1998. The Act also reformed the governance and finances of the Bank. It further transferred banking supervision duties to the newly-established Financial Services Authority (FSA) and debt management to the Treasury.

The nine-member MPC takes decisions by a vote. It holds monthly meetings, attended by a non-voting representative of the Treasury. Extensive minutes of these meetings are published with a two-week lag.[14] They provide a fairly candid and increasingly elaborated (although non-attributable) account of the discussion, and spell out the individual votes.[15] Putting voting records in the public

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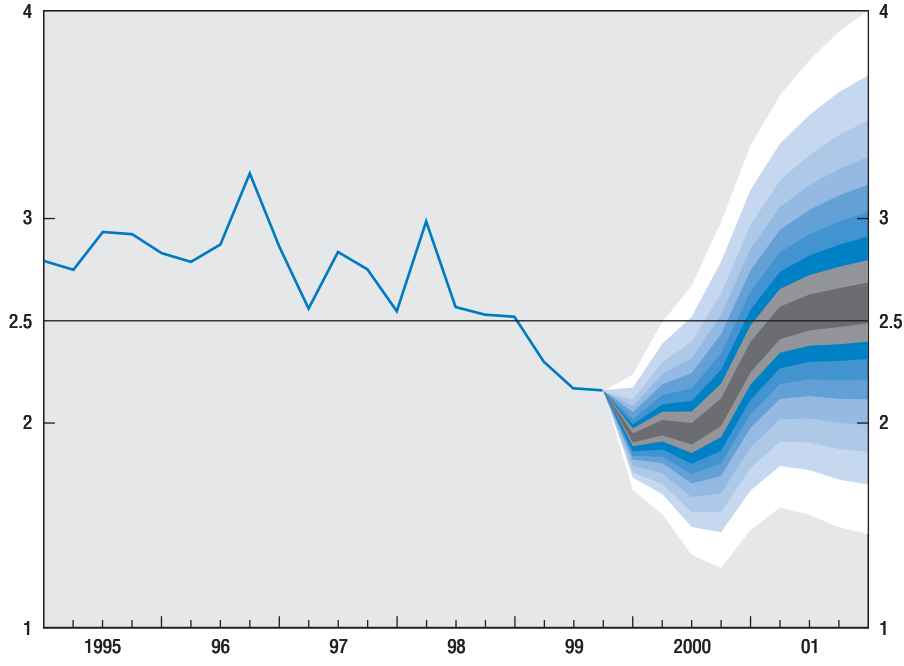
domain is intended to enhance the accountability of Committee members, who can thus be asked to defend their decisions. A quarterly *Inflation Report* has also been published since the inception of inflation targeting. It is prepared by Bank staff under the guidance and with the approval of the MPC. It contains a detailed analysis of recent economic developments plus projections by the MPC for inflation and GDP growth over a two-year horizon, based on an assumption of unchanged interest rates.[16] These projections take the form of "fan charts", which illustrate the extent and symmetry or asymmetry of the uncertainty surrounding the projection (Figure 10).[17] In addition, in a move yet

Figure 10. **The MPC's February 2000 baseline RPIX inflation projection**

Based on a 6 per cent constant nominal interest rate,[1]
percentage increase in prices on a year earlier



1. The fan chart depicts the probability distribution for projected inflation. At any given point during the forecast period, the depth of shading represents the height of the probability density function over a range of outcomes for inflation. The darkest band includes the central (single most likely) projection and covers 10 per cent of the probability. Each successive pair of bands covers a further 10 per cent of the probability, until 90 per cent of the probability distribution is covered. The bands widen as the time horizon is extended, indicating increasing uncertainty about outcomes.

Source: Bank of England, *Inflation Report*, February 2000.

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to be emulated by most other central banks, the Bank has published a detailed description of its core macroeconometric forecasting model and of the smaller ancillary models it uses, with explanations as to how they are employed (Bank of England, 1999).

Inflation targeting

Following the pound's exit from the European Exchange Rate Mechanism in September 1992, an inflation targeting strategy was adopted (Table 2). The objective was first defined as a 1-4 per cent range for annual RPIX inflation. A medium-run target of 2½ per cent or less was added in 1995. The meaning of the qualifier "or less" was unclear: as noted by the current Deputy Governor responsible for monetary policy, "rarely in the history of economic policy have so few words caused so much confusion to so many economic commentators" (King, 1999). In May 1997, the objective was redefined as a symmetric 2½ per cent. It has not been changed since. Partly for the sake of clarity, the RPIX was retained to measure inflation, even though it behaves more erratically than some indicators of core, or underlying, inflation (Box 2). The remit recognises that exogenous shocks or unavoidable control errors may cause temporary deviations from target, and that keeping inflation at exactly 2½ per cent under such circumstances may entail undesirable fluctuations in output. The horizon over which inflation is to be brought back to target depends on the type and persistence of shocks. However, if inflation deviates by more than 1 percentage point on either side, the Governor,

Table 2. **Evolution of monetary policy targets during the 1990s**

Per cent

	M4	M0	Exchange rate, per £1	RPIX
1989/90		1-5		
1990/91[1]		1-5	DM 2.95	
1991/92		0-4	DM 2.95	
1992/93[2]	4-8[3]	0-4	DM 2.95	
1993/94	3-9	0-4		1-4
1994/95	3-9	0-4		1-4
1995/96[4]	3-9	0-4		1-4
1996/97	3-9	0-4		2.5 or less
1997/98	3-9	0-4		2.5 or less
Since May 1997				2.5

1. The United Kingdom joined the Exchange Rate Mechanism (ERM) in October 1990.
2. The United Kingdom left the ERM in September 1992.
3. Announced in the autumn of 1992 after the departure from the ERM.
4. In June 1995, the 1-4 range for RPIX was confirmed but a new target of 2.5 per cent or less was announced for beyond the end of that Parliament.

Source: OECD.

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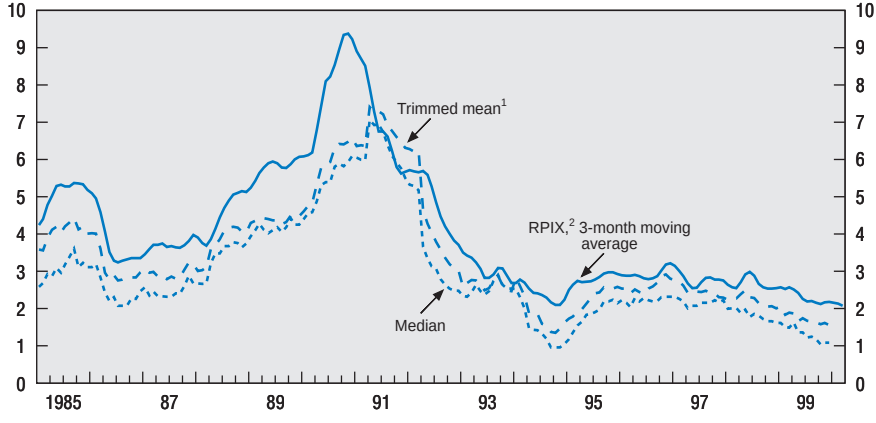
Box 2. Core inflation

The inflation target measure is the RPIX – the retail price index excluding mortgage interest payments. At high frequencies, it may move around trend owing to changes in indirect taxes or sudden shifts in some of its more volatile components, notably food and energy prices. One way to try and capture the underlying rate of inflation is to compute the median inflation rate, or the trimmed mean inflation rate, *i.e.* the mean computed over some central portion of sub-index movements. These measures display a somewhat smoother profile than the RPIX (Figure 11). They are typically also quite a bit lower, as the extreme price increases generally exceed the extreme price declines. However, on theoretical grounds they are not obviously superior to the full mean, while in practice the optimal degree of trimming is hard to determine (Bakhshi and Yates, 1999). There are numerous other techniques to estimate core inflation, including taking moving averages or more sophisticated statistical filters, or replacing the usual consumption-based weights by coefficients that are inversely proportional to the volatility of individual prices, to obtain a "variance-weighted" index (Wynne, 1999). But all involve some degree of arbitrariness, and most of them are difficult to explain to the general public. So would the advantages of turning to a more complex indicator, which might be perceived as manipulatable, in a context of relative stability of the RPIX in recent years. For these reasons, the inflation target is specified in RPIX terms rather than one of the measures of core inflation. The MPC does, however, routinely monitor such measures as part of its overall assessment.

Figure 11. **Core inflation measures**

Annual percentage change



1. Excludes the highest and lowest 15 per cent of price changes.
2. Retail price index, all items excluding mortgage interest payments.

Source: ONS and Bank of England.

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as Chairman of the MPC, must write an open letter to the Chancellor explaining why, what action is being taken to remedy the situation and how long the divergence is expected to last (and subsequently letters are to be sent quarterly until inflation is within 1 percentage point of the target). Moreover, it is expected that inflation will average 2½ per cent over a reasonably long time period. Subject to this paramount statutory duty, the MPC must support the Government's economic policy, notably its objectives for growth and employment.

These arrangements ensure a high degree of transparency and accountability. Even so, policy-making inevitably retains a fair dose of discretion and can continue to surprise central bank watchers (as was the case, for example, in September 1999). For one thing, MPC members have stressed that the inflation forecast cannot be used as a mechanical guide to policy, because the policy response is likely to depend on the shocks affecting the economy and because policy is likely to reflect the entire distribution of the inflation projection (*i.e.* the balance of risks) rather than a single point estimate (be it mean, mode or median).[18] Second, models can only incorporate a subset of the available information, implying that room for judgement is bound to remain for factoring in the rest. Third, the structure of the economy may change more rapidly than the estimated equations underpinning the core model.

Policy actions

Unlike some other major central banks, the Bank of England has adopted a pro-active posture, frequently adjusting its official repo rate. Even though it is too early to reach a definitive judgement on the merits of the strategy, the results obtained so far have been encouraging.

A *resolutely pro-active posture*

Monetary policy action since mid-1997 has gone through three phases. During the MPC's first year, the official repo rate was cumulatively raised by 1 percentage point, in the face of signs of overheating (Figure 12). The magnitude of the hike was limited thanks to the concomitant fiscal tightening (Chapter III). As the economy slowed in the context of a more global deceleration, the official repo rate was brought down gradually by a cumulative 2½ percentage points during the MPC's second year, while the fiscal stance was further tightened (*ex post*). With the economy gathering speed again, the official repo rate started to be adjusted upwards in the autumn of 1999, so far by a cumulative 1 percentage point.

The MPC has thus shown that it is willing to hike rates when current inflation is well below target provided that the forecast suggests that it will ultimately rise above target, and *vice versa*. Since its creation, the MPC has on average adjusted the official repo rate at every other meeting, raising it nine times and lowering it seven times. This contrasts starkly with the more infrequent moves of

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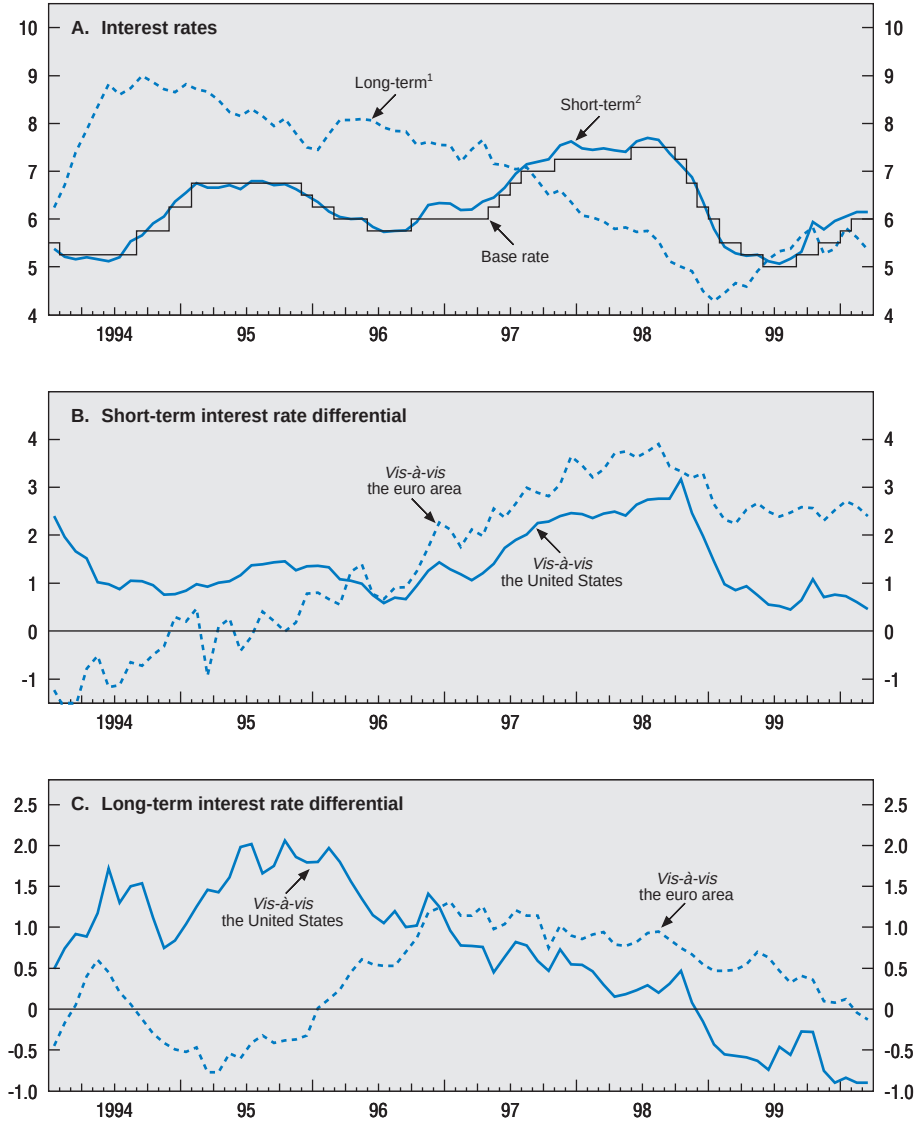
Figure 12. **Interest rates**
Per cent



1. Central government ten-year Treasury bonds.
2. Three-month interbank rate.

Source: ECB, *Monthly Bulletin* and OECD, *Main Economic Indicators.*

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the Bundesbank or the European Central Bank (in 1999), or of the Federal Reserve in the United States. The frequency of the moves since mid-1997 is also higher than in other inflation targeting countries, such as Canada or Sweden, as well as compared with the United Kingdom's initial inflation targeting experience. It has been seen by some as overly aggressive.[19] Several arguments have been put forward in this regard. One is that bold pre-emptive moves require a good knowledge of the underlying parameters of the economy, including the output gap and the NAIRU. The latter are estimated based on data running back to the 1970s or 1980s, and may therefore be off if the economy has been moving on to a new regime since. Hence, policy-makers ought to tread carefully (Julius, 2000).[20] Reinforcing this line of reasoning, even some of the headline indicators are measured with error, as noted in Chapter I for GDP and earnings. Another argument is that the policy rate could have been left still where it stood around mid-1997 without any major impact on the path of output and prices, which would have reduced the pain associated with interest rate volatility (Blake and Young, 1999).

These criticisms are not entirely convincing, however. *First*, it ought to be noted that while the moves have been frequent, they have been typically small (mostly ¼ percentage point, occasionally ½ percentage point). The official repo rate has indeed been volatile since mid-1997, but within a range of 5 to 7½ per cent, which for the United Kingdom is remarkably narrow by historical standards, and which is similar in width to the range witnessed in Canada, for instance. Moreover, neither the frequency nor the size of rate changes can indicate whether policy has been aggressive without an analysis of the shocks to the economy and of the nature of the transmission mechanism. *Second*, mechanical *ex post* simulations assuming unchanged interest rates are not very informative. Such simulations are based on the rather heroic hypothesis that policy-makers are blessed with perfect foresight and ignore the possibility that inaction during the MPC's first year may well have fuelled an all too traditional wage-price spiral. *Third*, it can be argued that more timely and pre-emptive policy responses to incipient slack or tensions reduce the volatility of output and inflation, and help bring about lower interest rate volatility over the cycle than a "wait-and-see" strategy. Even so, the point stands that measurement errors, including for some of the most sensitive macroeconomic indicators, complicate the policy-makers' task and increase the risk of under or over-shooting.

Encouraging results thus far

Inflation has remained low and stable since 1993, and even more so following the introduction of the new framework. Between mid-1997 and end-1999, RPIX inflation has fluctuated in a narrow range of 2.1 to 3.2 per cent, averaging exactly 2½ per cent, in a striking contrast with experience in recent decades (Figure 13). Based on the HICP, inflation has been even lower, averaging 1½ per

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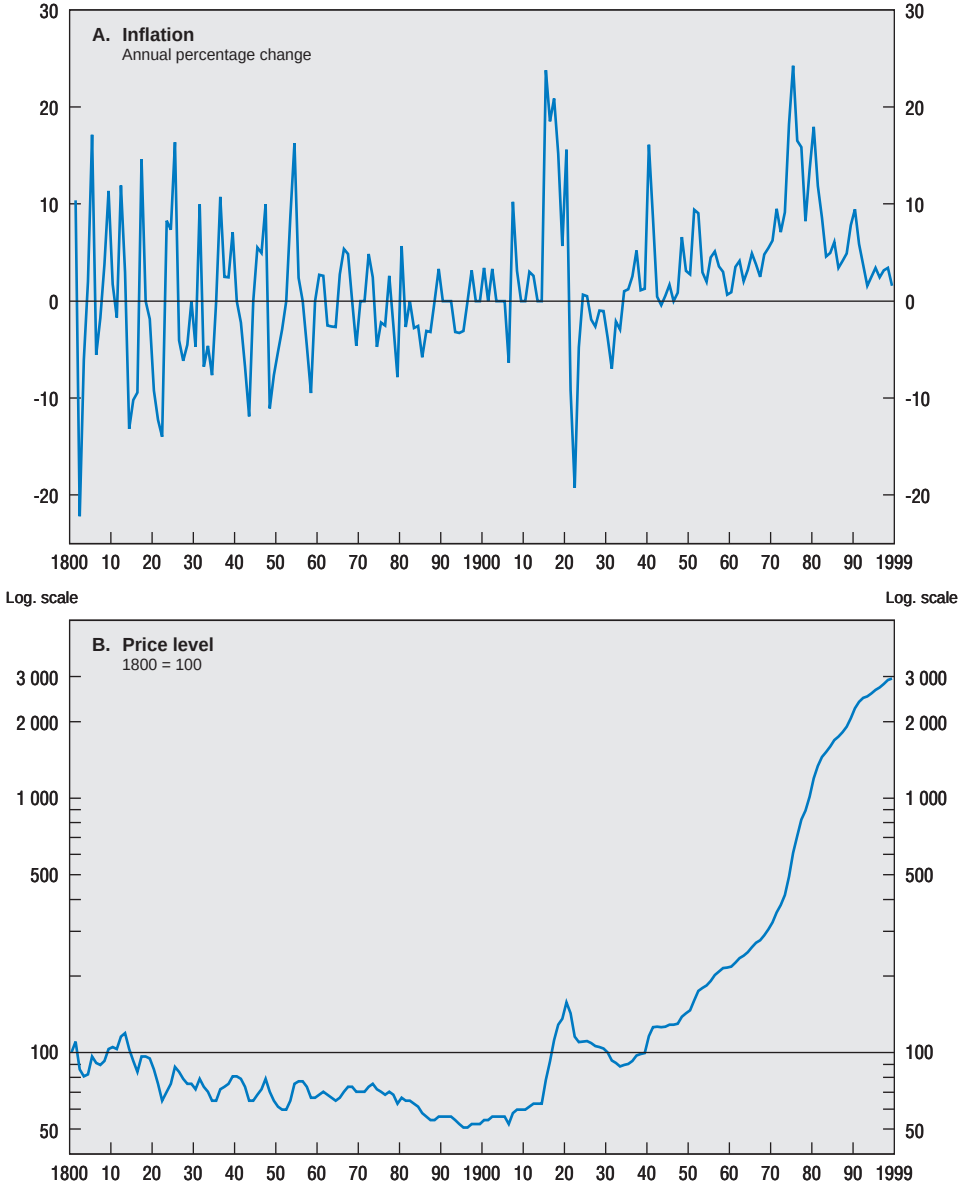
Figure 13. **Prices in the very long run**[1]



1. Retail price index.
Source: Bank of England.

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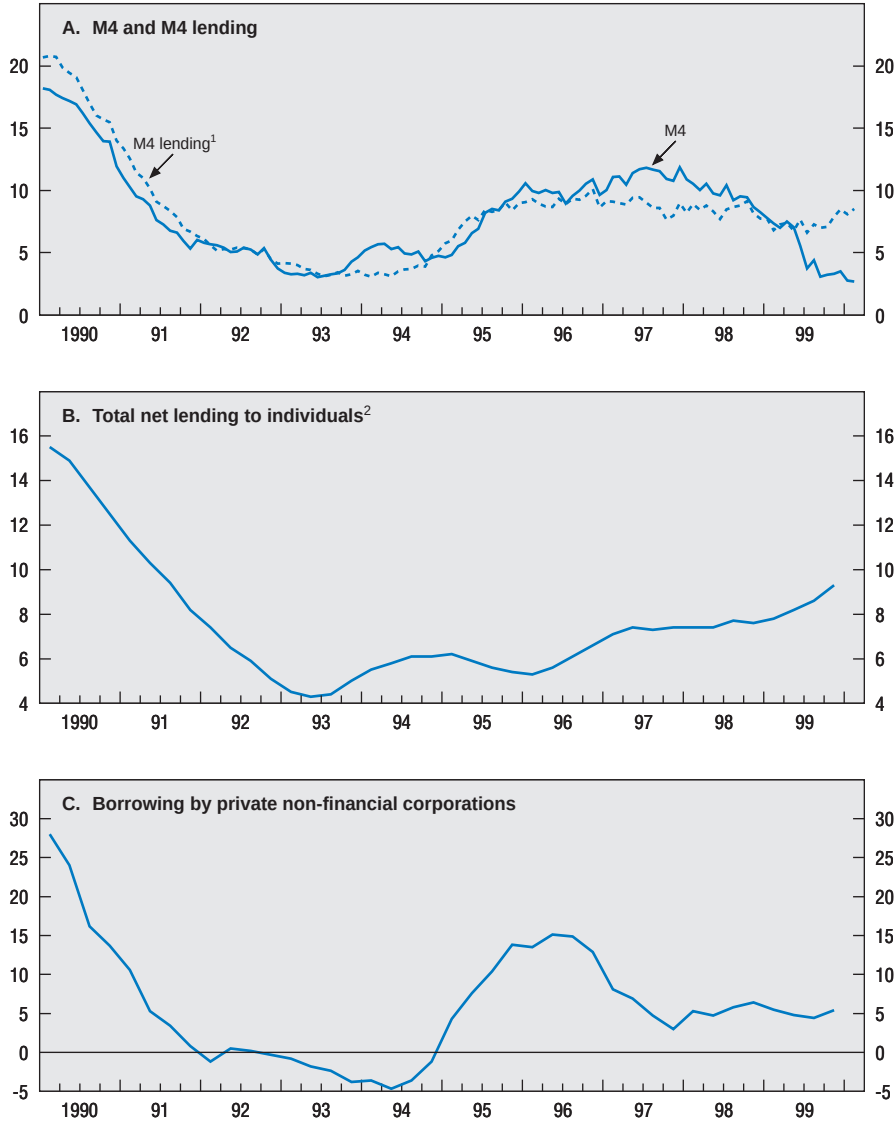
Figure 14. **Money and credit**
Annual percentage change



1. M4 lending measures bank and building society lending to the rest of the private sector.
2. Households excluding non profit making institutions and unincorporated businesses.

Source: Bank of England.

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cent, and equally stable (measured by the standard deviation). Hence, there has been no need to write any explanatory open letters.[21] Activity has also evolved favourably, witness the smoothest recovery from a slowdown since the 1960s.

Returning to the primary objective of monetary policy, it ought to be noted that the inflation record under the new framework cannot be ascribed solely to the latter. Inflation has been subdued OECD-wide in recent years partly because of the string of emerging economies crises and the weakness of the Japanese economy, which have contributed to lower commodity and other world prices. The concomitant strong appreciation of sterling, though clearly an endogenous variable and influenced by the inflation targeting regime, has put further downward pressure on import and hence overall prices in the United Kingdom. Benign global inflation coupled with a strengthening currency have thus offset domestically-generated inflation,[22] but cannot be expected to do so indefinitely.

While the merits of the new policy regime still need to stand the test of time, it bears underlining that inflation targeting compares favourably with what the targeting of broad money (M4) would likely have delivered. Indeed, M4 growth has been slowing down steadily since mid-1997, to historically low rates, for reasons largely unrelated to aggregate spending (Figure 14).[23] It would therefore have been a poor guide if used mechanically by policy-makers. The lending counterpart of M4, however, has been more informative, as a reflection of the underlying resilience of activity.

Building up credibility

Monetary policy decisions filter through with notoriously uncertain, long and variable lags. In the Bank's core macroeconometric model, official interest rate changes have their fullest effect on output with a one year lag, and on inflation with a two-year lag (MPC, 1999). The magnitude of the effect – for a simulated one year, 1 percentage point, unexpected hike – is a reduction in output relative to the baseline by 0.2 to 0.35 per cent after five quarters and in inflation by 0.2 to 0.4 percentage point after two years. The credibility of monetary policy should be assessed taking such lags into account.

One way to do so is to compare inflation expectations – which feed into wage bargaining and price setting – with the 2½ per cent target (Budd, 1999). If inflation expectations are anchored on the target, unanticipated short-run departures of inflation from target will not immediately lead agents to revise expectations. Thus, the likelihood of inflationary spirals is lessened, which should contribute to reducing the volatility of inflation as well as of output. Most commonly monitored measures of expected inflation suggest that the introduction of the new regime has brought about credibility gains. At a one-year horizon, the average of over 30 independent forecasts of RPIX inflation collated monthly by the Treasury has declined and come very close to

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2½ per cent (Figure 15).[24] The same holds for the one and two-year-ahead expectations of five of the six categories of agents distinguished in the quarterly Basix surveys (business economists, academic economists, finance directors, investment analysts, trade unions) as well as for the inflation expectations at longer horizons that can be inferred from the yield curves for fixed rate and index-linked bonds.[25] The fall in inflation expectations contributed to shrinking interest rate differentials *vis-à-vis* the euro area and to declines in nominal long-term interest rates to levels long not seen.[26] It may also have generated a one-off "credibility windfall" (King, 1999): if inflation expectations had not converged on the target, the implied unanticipated disinflation would have made for higher real wages and hence lower employment and output. Contrasting with this bright overall picture, however, the general public's inflation expectation two years ahead as reflected in the Basix surveys has barely declined, remaining around 4 per cent.[27] This inertia may be due in part to the fact that some prices, including asset prices, are rising rapidly. In due course, if observed inflation remains low and the current trend towards more widespread, aggressive discounting in the retail sector persists, the general public's expectations may decline further.

It is also tempting to compare inflation outcomes with the Bank's projections, on the premise that the closer they are, the more credible the monetary policy. On the whole, the associated forecasting errors have declined since 1997, although this to some extent reflects partly offsetting underlying forecasting errors: the exchange rate turned out to be stronger than projected, and hence import prices lower, but on the other hand average earnings growth exceeded projections. A serious problem with a comparison between forecasts and outturns, however, is that the projections are conditional on some strong technical assumptions, including unchanged interest rates and, for the exchange rate, uncovered interest rate parity (UIP)[28] or, since November 1999, some combination of UIP and constant exchange rates. During the 1999 summer forecasting round, for example, the collective MPC projection for the exchange rate was based on the UIP convention, which at the time implied a 6.3 per cent effective exchange rate depreciation over the next two years. The *Inflation Report* also included an alternative projection, established on the assumption of an unchanged exchange rate,[29] which showed inflation 0.4 percentage point lower two years ahead than under UIP. The difference between the two projections was as large as what a 1 to 2 percentage points interest rate adjustment would entail (as estimated in the Bank's model). In fact, the exchange rate assumption used in the following forecasting round was an average between the two approaches.[30]

The constant interest rate assumption has also been criticised. Discussing the November 1999 *Inflation Report*, the International Monetary Fund (IMF) staff for instance noted that it was unrealistic to assume unchanged nominal interest rates

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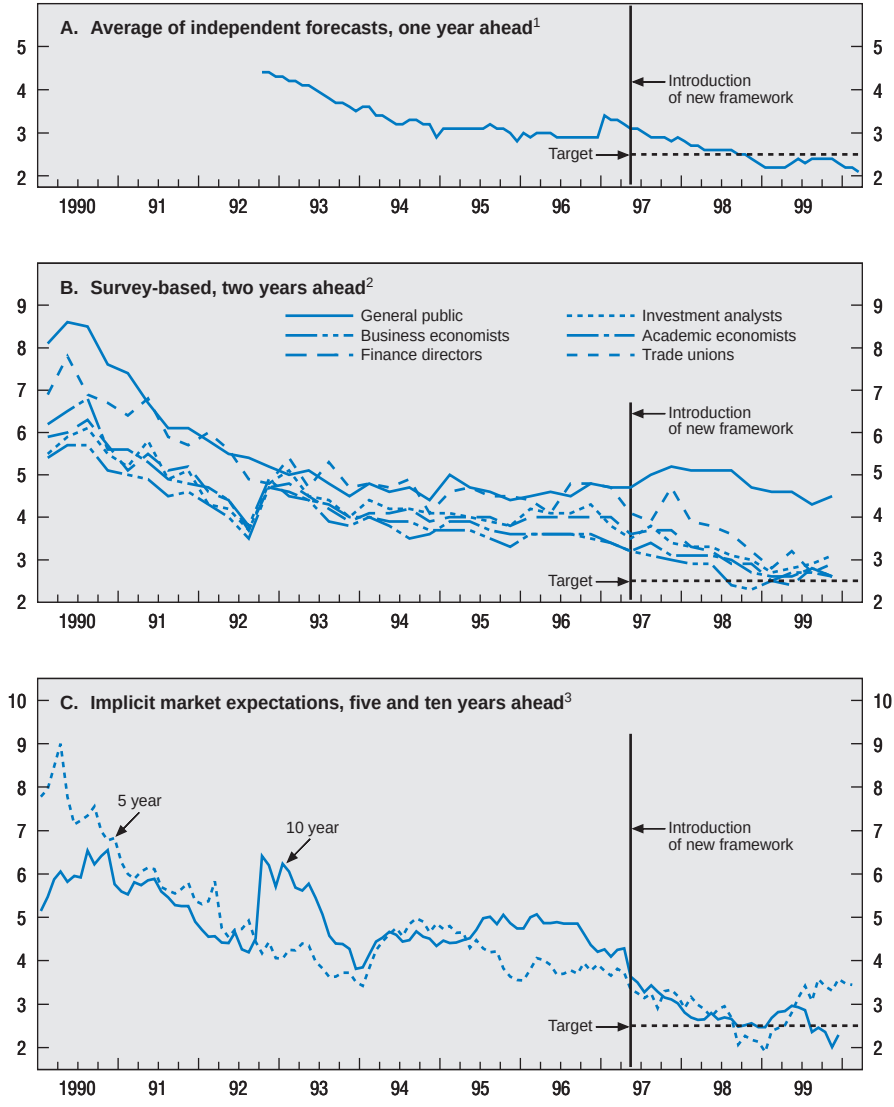
Figure 15. **Expected inflation**

Per cent



1. Retail price index excluding mortgage interest payments (RPIX).
2. Expectations of retail price index (RPI) inflation rate.
3. Derived from prices of British government securities.

Source: Bank of England, HM Treasury and Barclays Basix Survey.

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over the next two years while projecting an acceleration of inflation to above 2½ per cent by the end of the projection period, since this implied an easing of monetary conditions in a context calling for tightening (IMF, 2000). However, the MPC have stressed that a constant interest rate path should be viewed as a conditioning assumption and is not in any way meant to describe the MPC's projected path for interest rates. It ought to be noted, also, that the *Inflation Report* contains an alternative projection based on the market's inferred expectation regarding the path of official interest rates. Also, while the MPC could publish its own interest rate projection(s), as suggested by Martijn and Samiei (1999), this would considerably complicate subsequent communication since, in most cases, the actual path would deviate from the projected one(s). In so doing, the MPC would therefore add rather than subtract to ambient noise. Even though the MPC has emphasised that it does not form a collective view on the future course of interest rates, it could be argued that the November 1999 baseline projection clearly reads as pointing conditionally to a tightening bias, even if the latter is not spelled out as emphatically as has been the case in the United States in 1999. Moreover, the experience there with bias statements has been mixed, with market participants tending to overreact; this recently led the Federal Reserve to amend this procedure.

Looking ahead

Indeed, in both January and February 2000, the MPC raised the official repo rate by 25 basis points, responding *inter alia* to strengthening foreign demand, increases in wealth, and rapid growth in average earnings and household borrowing (Chapter I). The MPC left the official rate unchanged in each of the following three months, not least owing to the strength of the pound. In the context of a substantially tighter fiscal position than expected at the time of the Treasury's Pre-Budget Report (PBR) in November, it considered that the fiscal news in the March 2000 Budget was unlikely to have a large impact in the near-term. While RPIX inflation is running below target, the MPC expects it to pick up as labour markets tighten and pressure builds up on productive capacity. Further increases may be called for in the coming months, contingent also on exchange rate developments. However, the needed cumulative rise may be less than in the previous interest rate cycle, in part owing to the MPC's enhanced credibility and pre-emptive action. Although growth forecasts have kept being revised upwards until recently, inflation expectations have remained tame and the expected interest rate peak is below the last one. Looking further ahead, the question remains open as to whether and, if so, when the United Kingdom will join the third stage of economic and monetary union (Box 3). While interest rate differentials *vis-à-vis* the euro area are currently rather wide, the projected cyclical convergence described in Chapter I may contribute to narrowing them.

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Box 3. Waiting for the euro

In October 1997, the Government spelled out its position on joining the third stage of economic and monetary union (EMU). It has not changed since. The decision to ask voters in a referendum to endorse membership still hinges on five "tests":

i) Has the economy achieved sustainable convergence with those of the euro area?

ii) Is the economy sufficiently flexible to adapt to change and other unexpected economic events?

iii) Would joining the single currency improve conditions for investment?

iv) What impact would membership have on the financial services sector?

v) Would joining be good for employment?

The Government has said it will decide whether the answers to these questions imply that, from an economic standpoint, membership is unambiguously beneficial. The five tests are by nature qualitative and in their assessment the Government will obviously have to exercise judgement. The Government believes that making a decision during this Parliament is not realistic, on the grounds that a period of stability and settled convergence is needed before membership can be considered (the next parliamentary general elections must be held by May 2002). Hence, if the United Kingdom is to join, it will likely be after some other current EMU "outs". Recent opinion polls do not point to majority support for membership, but such polls do not always reveal preferences accurately, if only because the question posed has only a hypothetical status. Moreover, preferences themselves are likely to evolve.

The Government has repeatedly stressed its commitment to preparing for membership so as to facilitate joining should voters endorse it. A first *Outline National Changeover Plan* was published in February 1999 (HM Treasury, 1999*a*), setting out the practical steps needed to give the United Kingdom a genuine option to decide to join the euro early in the next Parliament. It includes case studies and an illustrative timetable with 40 months at most between a hypothetical decision to join and the withdrawal of sterling coins and notes. An update of this document was recently issued, sticking to the "prepare and decide" approach. A number of concrete initiatives have also been launched. A Standing Committee on Euro Preparations, chaired by the Chancellor, oversees the preparations. Every Government department now has a minister responsible for euro preparations, all of them as well as key agencies have produced their own outline changeover plans, and euro co-ordinators have been appointed in almost all local authorities. Furthermore, the Bank of England has published practical guides to the euro and is co-ordinating preparations through a new City Euro Group.

The Government has also undertaken preparations for business to use the euro now. A dedicated Internet site has been set up (*www.euro.gov.uk*). Activities include an advertising campaign, dealing with requests for fact sheets and publishing business case studies. At a local level, 12 regional euro forums have been set up. Firms can now pay taxes, file accounts, issue and redenominate shares, as

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Box 3. **Waiting for the euro** (*cont.*)

well as receive certain agricultural grants and grants under Regional Selective Assistance in euros. On the ground, the advent of the euro has boosted the volume of business conducted in the City, which continues to play a key role in European capital markets. The euro, however, is not yet used much beyond financial markets: even among the firms having trading links with euro area countries, only a tiny fraction claim to be using it. Survey and anecdotal evidence suggests, nonetheless, that firms expect to use it more in future.

Meanwhile, the political and academic debate on the merits of joining the euro or staying out has continued unabated, although few new analytical insights have emerged since the discussion in the previous *Survey* (Box 1). Some existing bodies have taken a position and new groups have been formed to lobby for or against membership.[1] When members of the MPC have spoken on this issue, it was in a personal capacity.[2] Somewhat unfortunately, the terms of the debate at times tend to be influenced by other, related or unrelated, issues (*e.g.* the ban on exports of British beef). They are furthermore likely to be coloured by how the initial experience with the euro on the Continent is perceived.[3]

1. The Confederation of British Industry came out in principle in favour of membership in July 1999. So did six leading trade unions in December 1999. Britain in Europe and the Centre for European Reform advocate membership, while Business for Sterling, the Institute of Directors and the older Bruges Group, as well as New Europe, oppose it (although some of these groups are openly split, witness the dissent recently voiced by some members of the Institute of Directors).
2. Euro membership is outside the MPC's remit and as such the MPC does not have a view on the issue. However, some MPC members, speaking in their personal capacity, have expressed views, most notably Professor Buiter, who argued in favour of membership (Buiter, 1999 and 2000). The Governor of the Bank of England has often discussed the economic pros and cons of membership (recently expressing his relief that the United Kingdom had not joined the euro from the start, on the grounds that it might otherwise have been very difficult to avoid an inflation upsurge) but has consistently stressed that the issue of whether to join is ultimately political.
3. On the early experience, see OECD (2000*a*).

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III. Fiscal framework and policy

Notwithstanding its emphasis on medium-run targets, the fiscal framework in place until 1997 suffered from a number of deficiencies, notably with respect to transparency, stability and accountability. As noted in the previous OECD *Survey*, the *Code for Fiscal Stability* put forward by the Government in late 1997 and legislated for by the House of Commons in December 1998[31] spells out a number of changes intended to remedy those shortcomings. This chapter lays out the new fiscal framework and discusses fiscal policy developments in both the short and the longer run.

Framework

Under the umbrella of the *Code*, the Government has outlined two rules that govern fiscal management, with a view to locking in the progress with fiscal consolidation achieved in recent years. Some of the components of the fiscal framework date back to earlier initiatives, in particular as regards moving to an economically more relevant system of accounting. From an international standpoint, the *Code* has many features in common with the reforms introduced by New Zealand in the early 1990s (OECD, 1996*a*).

Two fiscal rules

Consistent with the *Code*, the Government has set out two fiscal rules. In order to allow fiscal policy to support monetary policy through the economic cycle, both are explicitly defined over the medium term, to be followed over the cycle rather than year after year. The first one is the so-called golden rule, stipulating that the Government will borrow only to invest and not to fund current spending.[32] The second one is a debt rule, or sustainable investment rule, requiring that the ratio to GDP of public sector debt, net of liquid financial assets, be held at a stable and prudent level. The Government has also indicated that other things being equal a reduction of public sector net debt to below 40 per cent of GDP over the economic cycle is desirable, although defining the economic cycle is not always straightforward, especially *ex ante*. The golden rule is meant to restrain current spending without capping public investment (which had been an easy target for

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cutbacks in the past), and to improve intergenerational equity by preventing the costs of the services consumed today being passed on to future taxpayers. The debt rule aims at securing fiscal sustainability.[33]

The two rules, as with other fiscal rules, suffer from some unavoidable limitations. *First*, while they constitute useful safeguards, they should not be viewed as describing optima, nor do they provide guidance in the short run (different deficit paths are compatible with requirements that are defined over a full economic cycle).[34] *Second*, while the national accounts definition of investment provides a clear framework for the golden rule, some of the categories of outlays which are treated as current in the national accounts may be better thought of as investment (*e.g.* education or health). In practice, however, widening the definition of investment would create difficulties both in quantifying the returns and in creating scope to manipulate public finance data. *Third*, as regards the debt rule, it would be theoretically more meaningful, and more consistent with the ongoing move to resource accounting, to monitor gross debt net of all assets, including physical ones. The fact that the chosen 40 per cent benchmark appears low by historical and international standards is potentially misleading, in light of the sharp deterioration of overall public sector net worth in the United Kingdom in the course of the 1990s (see below). A superior measure of the soundness of the Government's fiscal position would also take into account future receipts and obligations, although such an inter-temporal extension would have a less dramatic impact for the United Kingdom than for other large OECD countries (see below). While such suggestions may seem sensible *in abstracto*, they are hard or even impossible to put into effect, not least because the available valuations of the aforementioned physical and other assets or liabilities are not reliable enough to enter a fiscal policy target, despite the fact that the United Kingdom is ahead of a number of other OECD countries in its efforts to better measure the public sector balance sheet.

A *new spending control system*

A second innovation of the new framework pertains to the system for managing public expenditure – Total Managed Expenditure (TME).[35] Within TME, current and capital expenditures are planned and managed separately, consistent with the golden rule. Around half of TME is managed through firm three-year Departmental Expenditure Limits (DELs), set in cash terms. Departments are free to carry over any part of their spending within DEL from one financial year to the next, but DELs are not meant to be reopened along the way, except if inflation, as measured by the GDP deflator, cumulatively deviates by more than 1.5 per cent from the budget forecast. The other half of TME, called Annually Managed Expenditure (AME), is subject to annual scrutiny as part of the budget process. AME *inter alia* includes social security benefits and debt interest.

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Following the Comprehensive Spending Review (CSR), completed in mid-1998, measurable output targets were published for a whole range of government public service objectives in the form of Public Service Agreements (PSAs). Departments' performance against their targets is being examined by a high level Cabinet committee, chaired by the Chancellor and supported by a Public Services Productivity Panel of private sector experts. Each department has to publish a Departmental Investment Strategy, which is supposed to be based as much as possible on thorough cost-benefit analysis.

Spending Reviews replace the annual spending rounds and the Fundamental Expenditure Reviews. Instead of focusing on one area at a time, as the latter used to, they look at government spending as a whole and at trade-offs and linkages between programmes. While the share of total spending covered by three-year norms is smaller than before, the norms are now firmer: in the past, they were adjusted every year in the context of the Annual Expenditure Survey, so that departments could not count on them and knew they might not be held to them; under the new regime instead, departments can more safely extend their planning horizon, although at the same time they must meet unanticipated pressures within their existing resources (except in exceptional circumstances – such as arose with the Kosovo conflict – in which case they can receive allocations from a small Reserve).[36]

The second Spending Review is now underway and due to be completed in July 2000. It is taking place within the new arrangements for devolution (Box 4). The third year of the CSR (2001/02) will become the first one of the new three-year planning period, implying that the horizon of any single Spending Review is effectively two rather than three years. One of the distinctive features of the second Spending Review is the intensification of reviews cutting across departmental boundaries. The rationale for this exercise is that problems such as crime and social exclusion for instance cannot be properly tackled by Whitehall departments acting in isolation, but call for genuine efforts to work jointly to address them, within Government and also in co-operation with local authorities, the voluntary sector and private entities. This time, 15 cross-cutting reviews are being conducted, for example "Sure Start and services for the under fives", "Young people at risk", "Welfare to work", "Support for old people", "Crime reduction", "Government intervention in deprived areas" and "Science and research".

In the process, the Treasury is becoming more directly involved in the work of other departments, reflecting the greater attention being paid to outputs and outcomes. In order to better understand the practical problems and trade-offs faced on the ground by the latter, it is envisaged to send some Treasury officials into such institutions as schools and hospitals, to shadow head teachers or NHS executives. A more concrete grasp of the pressures public sector managers have to cope with should indeed help Treasury officials when negotiating and agreeing

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Box 4. Devolution

In September 1997, referenda were held in Scotland and Wales approving the Government's devolution proposals, leading to the creation of the Scottish Parliament and the National Assembly for Wales, for which the first elections took place in May 1999. The May 1998 referendum in Northern Ireland resulted in the creation of the new Northern Ireland Assembly, with the first elections in June 1998. The associated devolution of powers involved the redefinition of financial relationships between levels of government.[1]

The Scottish Parliament can legislate in all areas not belonging to the United Kingdom's list of reserved powers: its competencies thus encompass health, education, housing, training, financial assistance to industry, agriculture, tourism, environment, and local government. Westminster will generally not legislate in these devolved areas. In contrast, the Welsh Assembly generally does not have the powers to make law, but it can exercise the powers which Westminster previously delegated to the Secretary of State for Wales, including the issuance of secondary legislation in the areas explicitly mentioned above for Scotland. It can also restructure the numerous unelected bodies.

The Scottish, Welsh and Northern Ireland Parliaments' assigned budgets (sometimes referred to as "block grants") are determined using the so-called Barnett formula.[2] For Scotland, the budget amounts to less than 5 per cent of Westminster's budget. In addition, the Scottish Parliament can vary upwards or downwards the basic rate of income tax applicable in Scotland by up to 3 percentage points, with proceeds adding to, or reducing, the Parliament's spending power (but has thus far not done so). The Welsh budget represents a bit over 2 per cent of Westminster's. The Welsh Assembly lacks similar taxation powers. The budget in Northern Ireland amounts to a bit less than 3 per cent of Westminster's.

1. Population shares in the four countries of the United Kingdom were as follows in 1998: England, 83.7 per cent; Scotland, 8.7 per cent; Wales, 5.0 per cent and Northern Ireland, 2.7 per cent. The position of local governments in this new set-up is not discussed in this box, nor is the creation in 1999 of eight regional development agencies in England, which involves some measure of devolution.
2. The population-based Barnett formula determines the changes to each territory's allocation, based on changes in planned spending on comparable United Kingdom Government services in England, England and Wales, or Great Britain, as applicable (see Heald (1996) for details). Its *modus operandi* is affected by the introduction of the new fiscal framework (HM Treasury, 1999*b*).

spending and performance targets with the other departments, in a context where many public sector managers feel that they are facing many and sometimes conflicting demands from central government (Steele, 1999).

The introduction of the new framework raises some issues. F*irst*, no long time series has yet been published for the breakdown of TME into DEL and AME,

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Box 5. Government on-line

The use of Internet within government and in relationships between citizens and public administrations is taking off in OECD countries, but at an uneven speed. In Australia, most tax forms are now filed electronically, all job vacancies are available on the Internet and all relevant services are to be on-line by 2001. While the United Kingdom made some efforts early on, with a view to promote "open government", it has since tended to lag somewhat. The Government's declared ambition, as of late 1997, was to allow a quarter of all transactions between citizens and state to be conducted electronically by 2002, and all of them by 2008. Web-based technologies can indeed foster "joined-up" government by enabling citizens to transact with several departments and agencies across different tiers of government simultaneously. A newly unemployed, for instance, could use government web sites to look for a job, claim benefits, obtain information about starting a business or apply for retraining. Web provision can also be very cost-effective compared with traditional phone or paper-based procedures (although poorly presented and managed web information will generate avoidable e-mail traffic and erode this cost advantage).

So far, however, Government web site development has been patchy and slow (NAO, 1999*a*). Some departments and agencies have made considerable progress, but in many cases the provision of facilities more advanced and interactive than "electronic brochures" – being able to download forms, provide information, interrogate databases and conduct e-mail transactions – is still in its infancy, and numerous sites or portions thereof are updated only irregularly. The social security sites, for example, are relatively static and under-developed. Government sites also remain rather disconnected. Within the public sector, the development of e-mail and intranets is making progress, albeit from a low base.

Government on-line does give rise to some new problems, however, which partly explain – but do not really excuse – the reluctance of some departments or agencies to move ahead more boldly. Electronic information must be appropriately secured and citizens' and businesses' privacy and commercial confidentiality protected. Also, there is a risk that a skewed expansion of web-based interactions would accentuate social exclusion or generate new forms of inequality, hence the Government's recent measures to facilitate cheap access to personal computers and the Internet in deprived settings.

meaning that it is difficult to form a precise view as to their cyclical sensitivity for example (although one might argue that their behaviour is likely to change anyhow once they become policy targets). S*econd*, the emphasis on "value for money" is welcome but the Government will need to make sure that the quality of the associated cost-benefit analysis keeps pace. In this regard, improving IT systems will help reduce administrative costs and improve services (Box 5). T*hird*, proper audit will remain as important as ever in the new set-up.

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Phasing in resource accounting and budgeting

It has long been recognised that cash accounting and budgeting do not properly reflect actual resource use.[37] In 1993, the Government announced that it would gradually extend to the core of the public sector the accruals approach followed thus far in selected areas only, including nationalised industries (operating on a commercial basis), trading funds (whose revenues mainly arise from services rendered), executive agencies (subject to quantified performance targets)[38] and hospitals (see Chapter V).[39] The *Code re*-emphasised the importance of the accruals-based approach. Departments have started to introduce it and a dry run has taken place. In light of this dry run, it was decided to proceed in two stages. In order to allow time for a track record in forecasting, monitoring and control to be established, the new large non cash elements of resource budgets will be introduced into AME in this year's Spending Review. The intention is that, in light of experience, these items be moved into DEL following the 2002 Spending Review.

More specifically, rather than monitoring cash payments and receipts, accrual accounts record costs and revenues as they are respectively incurred and earned. Thereby, they come much closer to the private sector's Generally Accepted Accounting Principles (GAAP).[40] Accrual accounting makes a particularly stark difference as concerns capital costs (depreciation and interest), which are henceforth recognised as they occur (see Box 13 in Chapter V). By enabling fuller assessments of input costs, accrual accounting allows to better quantify the efficiency of programmes and activities.[41] It also reduces the incentive to meet predetermined budgetary objectives by advancing or deferring some costs (including turn-of-the-fiscal-year manoeuvres), and helps to focus on the longer-term implications of management decisions. It facilitates asset management by recording the cost of capital and the extent of depreciation, encouraging divestiture from underutilised assets. It improves cash management insofar as it reflects information on payables and receivables, as well as on inventories. In addition, it makes comparisons with alternative public or private providers, where relevant, much easier.

Resource accounting and budgeting (RAB) is to cover the 46 central government departments and their Next Steps Agencies.[42] The departments now have a resource budget and an associated cash financing requirement. The traditional cash-based appropriation accounts are replaced by five schedules. Three correspond to private sector practice: the operating cost statement and statement of recognised gains and losses, the balance sheet and the cash flow statement. Moreover, a summary of the resource outturn is to be produced, to provide Parliament with a comparison between what it had voted and the outcome. RAB also requires departments to link resource inputs to their objectives in a statement of resources by departmental objectives. In addition to these five schedules, an output and performance analysis is to be produced by each department providing a longer-term assessment of achievements against objectives (and complementing

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departmental PSAs). While, in principle, no capital budget is needed any more with RAB, capital budgets are to be retained in practice, for the golden rule to be operational and to serve as an additional element of budgetary discipline.

Shifting to an accruals basis will considerably modify the relative sizes of government programmes. For instance, it will reduce the share in total spending of (labour-intensive) social security and increase that of (capital-intensive) defence. Several implementation challenges lie ahead. *First*, accrual accounting is more judgmental than cash accounting, and thus requires greater skills and expense. *Second*, the quality of some of the key information inputs is questionable, in particular as regards asset registers. All departments were instructed to set them up by 1993 but their reliability remains uneven. A National Asset Register was published for the first time in 1997, but it only listed the central government's assets, without valuing them. *Third*, it will be very difficult for a number of departments to retropolate the new accruals-based accounts prior to FY1997/98. Hence, it is advisable not to discontinue traditional accounting too soon, though this has to be traded off against the costs associated with double running (including that maintaining the old series may weaken incentives to set and conduct policy in the new framework). The current timetable therefore allows for three years of double running (FY1998/99 to FY2000/01), with a view to give departments time to ensure their systems are sufficiently robust.

While RAB improves the economic relevance of public accounts, it can only go as far as items are measurable. For instance, the contingent nature of some claims or liabilities may preclude their quantification. The difficulty of valuing certain balance sheet items for which there is no private sector equivalent – such as infrastructure and heritage assets, or sovereign taxation powers – also imparts some limitations. Nonetheless, many of these methodological hurdles primarily pertain to the whole-of-Government level (see below), and should not cast doubts on the fact that accrual accounting is a major step forward at a more disaggregated level.

Enhancing transparency and accountability

The Government has furthermore stressed the importance of fiscal transparency and a number of steps have been taken intended to enhance it. The *Code* provides for a series of reports[43] setting out the Government's economic and fiscal strategy and the state of public finances, including more detailed information than in the past on the underlying macroeconomic assumptions, on the estimated cyclically-adjusted fiscal position and on prospective long-run fiscal trends. The National Audit Office (NAO) has audited the key assumptions and conventions underlying the fiscal projections, and the Treasury must invite it to audit any subsequent changes to these assumptions. In addition, the NAO will carry out a review of previously audited assumptions on a three-year rolling basis.[44] The

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Government is also committed to ensuring that households are fully informed about tax and spending decisions and in due course intends to amend the *Code* to this effect. It is considering the distribution to all households of a budget leaflet explaining these decisions.[45] Improved public access is also ensured through publication on Internet of the aforementioned reports. Another noteworthy improvement is the timely publication by the ONS, since October 1999, of monthly public finance outcomes, in particular for the surplus on the current budget and net debt in per cent of GDP. A longer-term strand of work aiming at more transparency, in a context where central Government alone encompasses some 1 500 bodies, is that on the so-called whole-of-Government accounts, which will cover the entire public sector, including local governments.[46] Regular production of this new set of financial statements is scheduled to start in FY2005/06. Finally, as regards public debt management, the Bank of England's role as the Government's agent was transferred in 1998 to a Debt Management Office (DMO), with a view to avoid the perception that debt management could be influenced by inside information on interest rate decisions, and to increase transparency in debt and cash management operations. The latter have now been fully transferred to the DMO.

Fuller disclosure of budgetary information is welcome, and so is the role of the NAO in auditing the assumptions underlying the budget. Even so, there remains room for progress on content, for instance as concerns the economic classification and detailed functional decomposition of expenditure in the main budget documents (IMF, 1999*a*). Tax expenditures, old and new, had long not been quantified systematically and comprehensively, a lacuna which became all the more important in the context of the new fiscal framework, as the DELs provide an incentive to resort to tax concessions. They are now better documented. The consultative PBR provides a good framework for public debate ahead of the finalisation of the Budget. Some key aspects are not included, however, because debating them in the open could be disruptive.[47] Moreover, the time for parliamentary discussions on the specific measures contained in the Budget as disclosed in March remains limited.[48]

Broad fiscal trends: putting public finances on a sounder footing

Not least because the underlying, cyclically-adjusted fiscal position was badly misjudged a decade ago, the United Kingdom's fiscal position worsened sharply in the early 1990s. The general government deficit soared to 8 per cent of GDP in 1993, and public debt ratios ballooned (Table 3), even though the latter remained well below those witnessed in many countries of continental Europe. This rapid deterioration was subsequently reversed, with fiscal policy being tightened gradually between 1994 and 1996, and more radically in 1997 and 1998. During the first phase, the adjustment took the form of a 1¾ percentage points of GDP

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Table 3. **Key fiscal aggregates on a national accounts basis**
General government, calendar year, as a per cent of GDP

	1993	1994	1995	1996	1997	1998	1999	2000[1]	2001[1]
Flows									
Total expenditure	45.4	44.7	44.4	43.0	40.9	40.0	39.3	39.4	39.4
Current receipts	37.4	37.9	38.6	38.6	38.9	40.2	40.4	40.5	40.4
Financial balances									
Net lending	–8.0	–6.8	–5.8	–4.4	–2.0	0.2	1.1	1.1	0.9
Net primary balance	–5.8	–4.2	–2.8	–1.5	0.9	3.0	3.3	3.2	3.0
Structural balance[2]	–6.4	–6.4	–5.6	–4.3	–2.5	–0.2	0.9	0.6	0.5
Primary structural balance[2]	–4.3	–3.8	–2.6	–1.4	0.4	2.6	3.1	2.7	2.6
Gross saving	–4.9	–3.9	–2.9	–2.2	–0.3	1.8	2.8	2.9	2.9
Government debt									
Gross	56.2	53.7	58.9	58.5	58.9	56.2	53.0	49.7	46.9
Net	35.2	35.2	41.0	42.6	44.2	41.7	38.7	35.4	32.6

1. Projections.
2. As a per cent of potential GDP.
Source: OECD.

expenditure cut combined with a ¾ percentage point of GDP increase in the revenue ratio. The second phase saw a compression of the expenditure ratio approaching 3 per cent of GDP, coupled with an increase in the revenue ratio by over half as much. In the process, the cyclically-adjusted fiscal balance moved from a deficit of 6.4 per cent of GDP in 1993 to near balance in 1998, and general government debt started to decline in FY1997/98. From the point of view of the fiscal reference values relating to access to the Third Stage of EMU, the United Kingdom thus qualified by a more comfortable margin than most of the "ins", including the larger ones (Figure 16).

Following this large swing in the fiscal stance in the course of the 1990s, the Government's strategy in its 1999/2000 Budget was to lock in the hard-won consolidation gains. Accordingly, the stance implied by this budget bill was broadly neutral. In the event, significant further tightening was recorded *ex post* (see below). The March 2000 Budget provides for a larger cyclically-adjusted surplus in FY2000/01 than projected in the March 1999 Budget, but a smaller one, by 0.7 percentage point of GDP, than the estimated FY1999/2000 outturn, raising questions on the degree of tightness of fiscal policy (Box 6). The Government's intention, indeed, is not to run ever larger surpluses. It projects that the cyclically-adjusted surplus will shrink over time and move to a deficit by FY2002/03. This deficit would exceed 1 per cent of GDP towards FY2004/05, the end of the Government's projection period.[49] Over this period, revenue ratios are projected to decline moderately, but the expenditure ratio is forecast to rise gradually towards 40 per cent of GDP. Compared with the mid-1990s, this implies that

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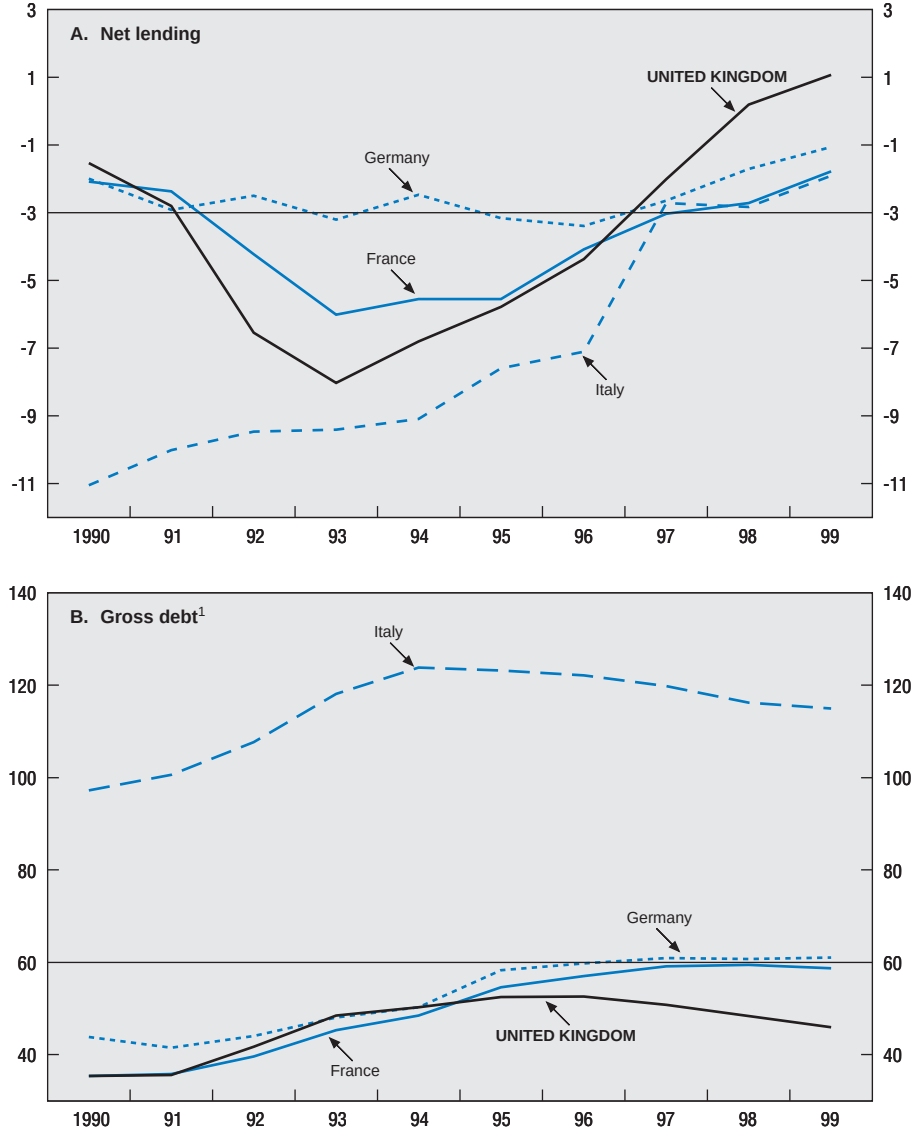
Figure 16. **Fiscal position with respect to the Maastricht criteria**
As a per cent of GDP



1. Break in series for Germany and the United Kingdom in 1996, for France in 1995.
Source: OECD.

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Box 6. How tight is the fiscal stance?

There are at least two ways to assess the stance of fiscal policy embodied in the March 2000 Budget, based on the Government's own estimates and projections.

One is to ask how much this year's Budget adds to or subtracts from aggregate demand compared with what last year's Budget is now estimated to have actually done. The change in the contribution to demand, adjusted for the impact of the economic cycle, is then a measure of the loosening or tightening of the fiscal stance. On this score, and given what was known about FY1999/2000 outcomes at the time it was prepared, the March 2000 Budget can be viewed, *ex ante*, as stimulatory over the horizon relevant for monetary policy (it might still turn out otherwise *ex post*).

Alternatively, and as is done in this year's budget documentation, last year's budget bill can be used as the benchmark to assess the change in the fiscal stance. The comparison is then between intended policy now and then. On that score, the stance in FY2000/01 (and FY2001/02) is tighter than foreseen in the March 1999 Budget, although it is looser for the outer years. Four years hence, net public debt is somewhat lower, which may suggest that cumulatively there is no loosening, although changes in net debt are also affected by other factors, including asset sales.*

In both cases, it ought to be recognised that the fiscal balance and the public debt level now reached, following several years of vigorous consolidation, are enviable by most standards, including *vis-à-vis* many other European countries. In that sense, the Government has broadened the set of fiscal options it can contemplate, be they tax cuts or expenditure increases. However, timing is important, and trade-offs can arise between short-run policy mix priorities and long-run structural considerations. Moreover, it ought to be noted that the commitments in the March 2000 Budget have used up much of the new-found room for manoeuvre.

* The recent spectrum auctions for the third generation mobile telephone licences will raise considerable proceeds, which the Government has said will be used to reduce net public debt.

general government outlays would end up by FY2004/05 at a level lower by about 4 percentage points of GDP, whereas the revenue intake will remain higher by around 1½ percentage points (Table 4), with most of the increase stemming from higher personal income tax receipts. If the ratio of net taxes and social security contributions as measured by the Government is used instead as an indicator of overall tax pressure, a similar pattern emerges on the revenue side.[50]

Recognising that the potential for forecasting errors remains considerable (Table 5),[51] the Government has adopted a cautious posture by selecting

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Table 4. **Current receipts**

As a per cent of GDP[1]

	Outturns					Government projections (Budget 2000)				
	1995/96	1996/97	1997/98	1998/99	1999/2000[2]	2000/01	2001/02	2002/03	2003/04	2004/05
Personal income tax, gross	9.8	9.3	9.8	10.3	10.6	10.7	10.8	10.9	11.0	11.2
less: Income tax credits[3]	0.4	0.3	0.4	0.2	0.3	0.5	0.8	0.8	0.8	0.8
of which: working families tax credit[4]	–	–	–	–	0.1	0.5	0.5	0.5	0.5	0.5
Corporation tax	3.3	3.6	3.7	3.5	3.8	3.6	3.9	3.8	3.6	3.5
Windfall tax[4]	–	–	0.3	0.3	–	–	–	–	–	–
Value-added tax	6.0	6.1	6.2	6.1	6.3	6.3	6.3	6.2	6.2	6.1
Excise duties (fuel, alcohol, tobacco)	4.0	4.0	4.1	4.2	3.8	3.9	3.9	3.9	3.8	3.7
Social security contributions	6.2	6.1	6.2	6.4	6.3	6.2	6.2	6.1	6.1	6.1
Other taxes and royalties[5]	6.5	6.4	6.5	6.5	6.6	6.8	6.9	6.9	6.8	6.8
Net taxes and social security contributions	35.3	35.3	36.5	37.1	37.0	36.9	37.3	37.1	36.7	36.6
Adjustments and other receipts	2.7	2.3	2.3	2.1	2.5	2.8	2.6	2.7	2.7	2.7
Total current receipts										
Including windfall tax	37.9	37.6	38.7	39.2	39.6	39.7	39.9	39.8	39.4	39.3
Excluding windfall tax	37.9	37.6	38.4	38.9						
Memorandum item										
Accruals adjustment on taxes	0.3	0.2	0.0	0.1	0.4	0.3	0.1	0.1	0.1	0.1

1. Cash-based except for total receipts, which are accruals-based.
2. As estimated in Budget 2000.
3. Mainly mortgage interest relief (until 1998/99), working families tax credit (from 1999/2000) and children's tax credit.
4. Not applicable where no data is shown.
5. Including council tax, payments into National Lottery Distribution Fund and EU taxes on products (excluding VAT).

Source: HM Treasury.

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Table 5. **Average absolute errors in budget forecasts of the fiscal balance**
Over the 1985/86-1997/98 period, as a per cent of GDP

	Total error	*of which*: due to GDP projection
One year ahead	1.2	0.2
Two years ahead	2.0	0.6
Three years ahead	3.0	1.0
Four years ahead	4.1	1.7

Source: HM Treasury.

prudent growth assumptions, including as regards the economy's growth potential. While the Government believes that the latter may have risen from around 2¼ to 2½ per cent (see Chapter I), it sticks to the lower estimate in budget projections. Even on these prudent growth assumptions, and notwithstanding the projected path for the fiscal balance, the Government foresees that the general government gross debt will decline to below 40 per cent of GDP and the public sector net debt to below 33 per cent of GDP (Table 6). Net public investment, which had dropped to disquietingly low levels in recent years, is projected to increase from around ½ per cent of GDP in 1998 to 1¾ per cent of GDP by FY2003/04. Maintained current surpluses will contribute to gradually rebuilding public sector net worth, which had fallen from over 70 per cent of GDP at the end of the 1980s to under 14 per cent in 1998, mostly as a result of deficits on the current budget and falling real estate prices (Figure 17).[52]

Looking much further ahead, the fiscal position looks relatively sound, notwithstanding the pressure population ageing will put on the budget, as in many other OECD countries. By 2025, around one in five people in the United Kingdom will be aged over 65, up from one in seven in 1998. Since the average cost of providing health care to those aged 65 and over is over 3½ times that for the remainder of the population, demographics will *ceteris paribus* increase demand for health spending by two-thirds of a per cent per year over the next three decades, according to government estimates. This upward pressure on the budget will only partly be offset by lower education spending, all the more as the ambition to raise standards in schools (see Chapter IV) can be expected to raise participation in tertiary and higher education. Even so, on current policies, the implied intergenerational imbalances are less of a problem in the United Kingdom than in the United States, Japan or Germany for example.[53] In part, this reflects the fact that state-financed pensions are less generous in the United Kingdom. Some of the Government's pension reform proposals, however, would increase future public spending on this account.[53]

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Table 6. **Public sector finances: selected summary indicators**

As a per cent of GDP[1]

	Outturns				Government projections (Budget 2000)				
	1996/97	1997/98	1998/99	1999/2000[2]	2000/01	2001/02	2002/03	2003/04	2004/05
Flows[3]									
Current budget									
Receipts	37.6	38.7	39.2	39.6	39.7	39.9	39.8	39.4	39.3
Expenditures (excluding depreciation)	38.8	37.4	36.5	36.2	36.8	36.9	37.1	37.2	37.2
Depreciation	1.7	1.6	1.6	1.6	1.5	1.5	1.5	1.5	1.5
Capital budget									
Gross investment	3.0	2.7	2.7	2.7	2.8	3.0	3.4	3.6	3.6
Asset sales	0.6	0.5	0.5	0.5	0.4	0.4	0.4	0.3	0.3
Net investment	0.7	0.6	0.6	0.6	0.9	1.2	1.5	1.8	1.8
Balances									
Current budget	–2.9	–0.7	0.9	1.9	1.5	1.6	1.2	0.8	0.7
Cyclically-adjusted current budget[4]	–2.3	–0.6	0.6	1.8	1.3	1.3	1.0	0.7	0.7
Public sector net borrowing (PSNB)	3.6	1.2	–0.3	–1.3	–0.7	–0.5	0.3	1.0	1.1
Cyclically-adjusted PSNB[4]	3.0	1.2	–0.1	–1.2	–0.5	–0.3	0.5	1.1	1.1
Primary balance	–0.5	2.0	3.3	3.8	3.2	2.8	1.9	1.0	0.9
Cyclically-adjusted primary balance	–1.2	1.9	3.5	3.9	3.4	3.1	2.1	1.1	0.9
General government deficit:[3, 5] ESA 79	3.8	0.7	–0.9	–1.4	–0.9	–0.5	0.0	1.0	0.9
ESA 95[6]	3.8	0.9	–0.6	–1.3	–0.6	–0.3	0.3	1.1	1.2
Central government net cash requirement	3.3	0.4	–0.5	–0.6	–0.5	0.0	0.5	1.5	1.4
End-period stocks									
Public sector net debt[3]	44.1	42.1	39.7	37.1	35.1	33.6	32.7	32.6	32.6
Net worth[3, 7]	17.8	14.7	13.6	15.4	17.1	18.2	18.7	18.8	18.8
General government gross debt:[3, 5] ESA 79	52.7	50.1	47.8	44.8	42.7	40.9	39.8	39.5	39.3
ESA 95[6]	52.3	49.6	47.0	44.1	42.0	40.2	39.1	38.9	38.7
Memorandum items									
Output gap[4]	–0.7	0.4	0.2	0.1	0.4	0.3	0.2	0.1	0.0
Balance of windfall tax and associated spending	0.0	0.3	0.2	–0.1	–0.2	–0.2	0.0	0.0	0.0

1. Excluding windfall tax receipts and associated spending, unless noted.
2. As estimated in Budget 2000.
3. Including windfall tax receipts and associated spending.
4. As estimated by HM Treasury, based on a trend output growth rate of 2¼ per cent, and with a 1 per cent increase in GDP relative to trend reducing PSNB by ¾ percentage point of GDP after 2 years.
5. Maastricht concept.
6. The move to ESA95 increases nominal GDP by about £8 billion in 1998-99.
7. End-calendar year (previously "net wealth").

Source: HM Treasury and OECD.

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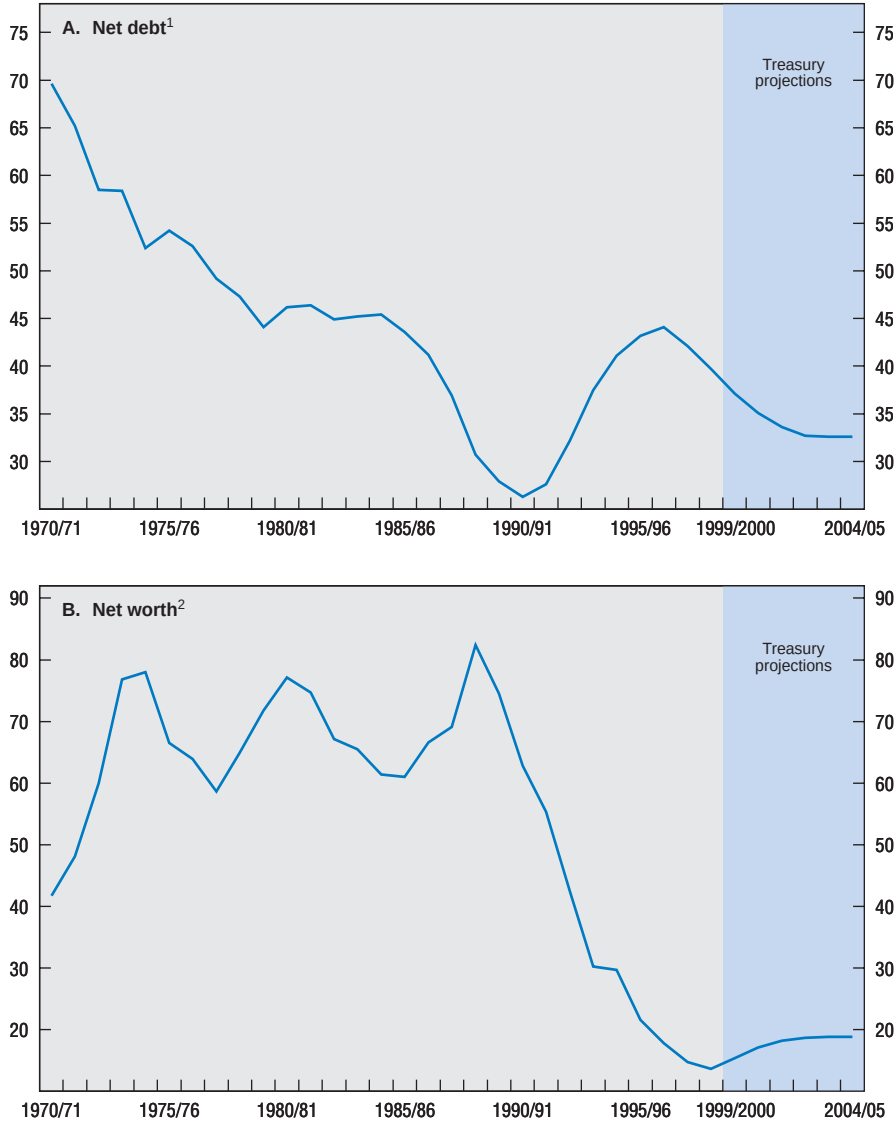
Figure 17. **Public sector net debt and net worth**
As a per cent of GDP



1. At end-March.
2. At end-calendar year (previously "net wealth").

Source: HM Treasury.

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Recent budgets

Turning to the details of budget execution and legislation since the last *Survey*, the budget outturn for FY1998/99 was significantly better, for the second year in a row, than the projection made at the time the Budget was presented to Parliament. While the March 1998 Budget projected a financial deficit of 0.2 per cent of GDP, the actual balance showed a 0.5 per cent surplus (Table 7). This outcome materialised despite a fairly accurate *ex ante* projection of economic performance, reflecting deliberately cautious projections of both revenues, which overshot by 0.3 percentage point of GDP, and expenditures, which undershot by 0.4 percentage point of GDP. FY1999/2000 again witnessed a positive surprise: instead of the 0.3 per cent of GDP deficit projected in the March 1999 Budget, the outturn is estimated by the Government to be a surplus of 1.3 per cent of GDP, with revenue overshooting by 1¼ percentage points of GDP, and spending undershooting by 0.4 percentage point of GDP. The revenue bonus reflects several factors, including a higher than anticipated 1998/99 base, stronger than expected output and employment growth, as well as unexpected increases in the shares of wages in total income and of consumption in expenditure, which have raised the effective tax base. Spending was lower in part thanks to falling registered unemployment and lower debt interest payments.[55] The strength of revenues in these financial years stems to some extent from the numerous tax measures taken in 1997, 1998 and 1999 (Box 7).

Box 7. Estimated cumulated effect of tax measures since 1997

With a view to consulting the interested parties but also to maximise announcement effects, recent budgets have included the pre-announcement of measures to be introduced in subsequent ones (with more or less specificity), so that it can be difficult to keep track of all the tax changes actually implemented in a particular fiscal year. It is nonetheless possible to roughly estimate the cumulative overall effect of the main tax changes which have been announced in different budgets since 1997 (Table 8).* The net tax cuts in the 1999/2000 Budget only partly offset the increases built into the previous two. The main contributors to the tax hikes since 1997 (apart from the one-off windfall tax) are the abolition of dividend tax credits for pension schemes, road fuel and tobacco escalator duties as well as the reduction/abolition of mortgage interest relief and married couples allowances. The termination of the advance corporation tax and introduction of quarterly payments for corporate taxes has also substantially contributed, and is to generate extra revenues until 2002, but this is a one-off effect which should not persist beyond the transition period to the new system.

* The table is thus not exhaustive. It reflects the amounts budgeted *ex ante*, as opposed to *ex post* collection.

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Table 7. **Budgets and outturns**
Public sector,[1] in billion pounds

	1997/98		1998/99		1999/2000		2000/01
	Budget[2]	Outturn	Budget	Outturn	Budget	Estimated outturn[3]	Budget
Receipts	**311.1**	**315.3**	**333.0**	**335.5**	**344.9**	**356.2**	**375.6**
Taxes on income and royalties	109.9	114.4	116.3	124.0	124.7	133.0	140.1
Taxes on expenditures	119.7	117.3	127.6	123.2	123.8	131.9	137.3
Taxes on capital	4.3	1.7	6.2	1.8	2.0	2.0	2.2
Social security contributions	49.7	51.6	53.9	55.0	56.1	56.4	60.1
Council tax	10.6	10.9	11.6	12.0	. .	. .	. .
Expenditure	**324.0**	**322.7**	**334.5**	**331.0**	**349.2**	**345.2**	**370.9**
Final consumption	157.8	148.8	165.6	155.9	163.5	164.5	174.8
Depreciation	9.4	13.0	10.9	13.6	14.8	14.1	14.5
Subsidies	8.0	5.5	8.1	4.5	5.4	5.2	4.7
Net social benefits	104.5	105.6	108.6	106.6	114.8	112.3	117.7
Grants[4]	5.7	15.2	6.1	16.1	17.2	19.8	22.7
Interest and dividends paid	28.8	29.9	28.1	29.3	26.0	25.6	27.9
Net investment	7.6	4.7	7.0	5.0	5.5	5.5	8.2
Financial balance	**–12.9**	**–7.4**	**–1.5**	**4.5**	**–4.3**	**11.0**	**4.7**
Memorandum item							
Nominal GDP	797.6	796.8	833.6	857.0	880.0	901.0	946.0

1. Central government, local authorities and public corporations.
2. July 1997 budget.
3. As of March 2000.
4. Including net grants from abroad.

Source: HM Treasury.

Turning to specific policy measures, the March 1999 Budget simultaneously broadened the tax base and reduced tax rates for both individuals and corporations. From April 1999, a new 10 per cent rate was introduced and from April 2000, the basic (middle) rate of income tax was lowered from 23 to 22 per cent. These two measures were estimated to lower taxes by around £1.5 billion and £4 billion in FY1999/2000 and 2000/01, respectively. Corporate taxes for small enterprises were also cut via the introduction of a new 10 per cent rate for the smallest companies (benefiting those with profits of up to £50 000) and a tax credit for research and development (R&D) for small and medium sized enterprises (SMEs) spending over £50 000 a year on R&D. In addition, the important reform of national insurance contributions (NICs) launched in the March 1998 Budget was taken forward with the alignment of the NICs threshold on the income tax personal allowance and the changes in self-employed contribution rates and profit limits. The net effect of these and other modifications is a reduction in both employees and employers' contributions. Partly offsetting these direct (income and payroll) tax cuts, a series of measures was announced designed to broaden the tax base and/or improve tax compliance. The most important one is the final phase-out of mortgage interest relief. Even though the rationale for such a tax credit has for a long

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Table 8. **Main tax changes: cumulative effects**[1]

In million pounds

	1997/98	1998/99	1999/2000	2000/01	2001/02
July 1997 Budget					
Abolition of payable dividend tax credits for pension schemes	+2 300	+3 950	+5 400	+5 400	+5 400
Windfall tax on privatised utilities	+2 600	+2 600	0	0	0
Mortgage interest relief reduced from 15 to 10%	0	+950	+950	+950	+950
Abolition of foreign income dividends tax concession	0	+100	+250	+250	+250
Reduce small companies' tax rate from 23 to 21%	0	–200	–250	–250	–250
Double SME capital allowances for plant/machinery investment	0	–230	–170	–170	–170
Stamp duty: increased rates for transfers of property	+240	+490	+540	+540	+540
6% real increase in road fuel duties	+730	+260	+1 500	+2 925	+4 255
5% real increase in tobacco duties	Negligible	Negligible	+10	+370	+750
Reduction on gas levy	0	–170	–170	–190	–180
Total	+5 870	+7 750	+8 060	+9 825	+11 545
March 1998 Budget					
Introduction of working families tax credit	. .	0	–375	–1 200	–1 300
1% cut in main corporate tax rate, to 30%	. .	0	Negligible	–700	–1 000
Abolition of ACT and introduction of quarterly tax payments	. .	+100	+1 600	+2 000	+3 100
Reduce small companies' tax rate by 1%	. .	0	0	–90	–120
Enhanced first year capital allowances for SMEs for one year	. .	0	–140	–160	–160
Married couples allowance relief cut from 15 to 10%	. .	0	+800	+1 020	+1 120
Stamp duty - increased rates for transfers of property	. .	+390	+470	+520	+520
Company cars fuel scales increased	. .	+70	+175	+275	+400
Increased tax differential between diesel and unleaded petrol	. .	+120	+355	+455	+455
Abolition of foreign earnings deduction	. .	+100	+300	+250	+250
Total	. .	+780	+3 185	+2 370	+3 265
March 1999 Budget					
New 10% income tax rate	. .	. .	–1 500	–1 800	–1 800
Basic rate reduced to 22%	. .	. .	0	–2 350	–2 900
Reform of National Insurance Contributions (NICs)	. .	. .	0	–325	–980
Lower tax rates for SMEs	. .	. .	0	–175	–350
New 10% entry tax rate for small companies	. .	. .	0	0	–100

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Table 8. **Main tax changes: cumulative effects**[1] (*cont.*)

In million pounds

	1997/98	1998/99	1999/2000	2000/01	2001/02
Enhanced first year capital allowances for SMEs for one year	. .	. .	0	–175	–150
R&D tax credit	. .	. .	0	0	–100
Abolition of married couples allowance	. .	. .	0	+1 400	+1 850
New tax credit for children	. .	. .	0	0	–1 600
Increases in working families tax credit	. .	. .	–180	–650	–750
Abolition of MIRAs	. .	. .	0	+2 050	+2 150
Countering tax avoidance in the provision of personal services[2]	. .	. .	0	+900	+400
Extension of employer NICs to all benefits in kind	. .	. .	0	+225	+225
Climate change levy	. .	. .	0	0	+1 750
Reduction in mileage discounts for company cars	. .	. .	+270	+265	+260
Tobacco duty – alignment of escalator with budget day	. .	. .	+620	+410	+465
Stamp duty – higher rates for properties above £250 000	. .	. .	+270	+310	+340
Increase in insurance premium tax rate from 4 to 5%	. .	. .	+210	+290	+300
Total	. .	. .	–310	+375	–990
Total of three budgets	**+5 870**	**+8 530**	**+10 935**	**+12 570**	**+13 820**

1. This table is merely indicative: it does not list all the tax changes and impacts are quantified *grosso modo* and *ex ante* .
2. This can be viewed *lato sensu* as a tax change.

Source: HM Treasury and OECD.

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time been called into question both on efficiency and equity grounds, few governments in countries where it exists have eliminated it, given the high visibility of this arrangement to a large portion of the electorate. The experience in the United Kingdom shows, however, that it can be eliminated without political uproar if it is phased out gradually, accompanied by cuts in tax rates and in a context of relatively low or falling interest rates.[56]

Regarding indirect taxes, the most significant announcement concerned the levy on climate change to be introduced in 2001. The levy will be based on the energy content of electricity, gas or coal usage supplied to businesses.[57] Electricity generated from "new" renewable sources of energy and "good quality" combined heat and power plants will be exempt from the levy. In response to the concerns expressed by the most affected sectors and in order to limit adverse effects on competitiveness, the Government has granted an 80 per cent rebate to energy intensive industries that commit via a legally binding agreement to adopt all cost-effective measures to increase energy efficiency.[58] Moreover, the levy's proceeds will be returned to the business sector as a whole via a 0.3 percentage point decline in NICs and financial support for energy efficiency measures. The levy will thus shift the tax burden from labour to polluting activities. For the industries eligible for the rebate, a target for the reduction in energy use will be set for 2010 and progress towards this objective will be monitored over time. The levy will be supplemented by a system of tradable permits to allow industries unlikely to reach their targets by 2010 to buy emission "rights" from over-achieving plants in order to avoid penalties. The levy is expected by the Government to raise £1 billion in FY2001/02 and, together with the negotiated agreements with the energy-intensive industries, to save at least 5 million tonnes of carbon a year by 2010, helping to fulfil the United Kingdom's international commitments to reduce greenhouse gas emissions. Additional tax measures designed to send environmentally-friendly signals included a reduction in business mileage discounts for company cars, the continuation of the hydrocarbon oil duty escalator and a landfill tax.

The March 1999 Budget contained few initiatives on the expenditure side. With respect to tax expenditures, the winter allowance to every pensioner household was raised from £20 to £100 and the married couples' allowance was abolished in April 2000 to be replaced in April 2001 by a children tax credit, which will be more generous but also more narrowly targeted to low and middle income families.[59] The Government also extended the New Deal to the over 50 year olds and extended the income support to lone parents for two weeks after they return to work (see Chapter IV).

The 2000/01 Budget was unveiled on 21 March. On the revenue side, a significant change concerns the treatment of the tobacco and fuel duty escalators which, since 1997, had been subject to automatic rises of 5 and 6 per cent in real terms, respectively, contributing substantially to the overall increase in tax

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Box 8. Hypothecation

A long-standing principle in public finance holds that public expenditure should be targeted where it does most good and taxes where they cause least harm, and that the way money is raised should not determine how it is spent. In practice, this is true for the bulk of outlays and receipts in OECD countries, and in the United Kingdom in particular. Recently, however, there have been several departures from this principle in the United Kingdom.* The Government argues that this is a way of enhancing the impact of tax changes which are intended to change behaviour and demonstrate to the public that tax measures are only one part of an integrated strategy.

However, in order to assess whether the hypothecated revenue really constitutes extra money, one must establish what spending would have been in the absence of hypothecation. In the CSR, the Government set out its spending plans for the period up to March 2002, including allocations for transport and healthcare. However, there is a contingency fund setting aside resources to be used, if necessary, over and above the pre-specified amounts. In the past, the NHS has often been allocated money from this source, including in November 1998, when it was granted an extra £250 million. Health and transport could receive less in FY2000/01 and FY2001/02 from the contingency fund than they would have in the absence of hypothecation. In fact, the large upward revision of spending on the NHS announced in the March 2000 Budget dwarfs the amounts associated with the real increase in the tobacco duty (£235 million in FY2000/01) and with what was paid out of the contingency fund in the past.

Even if hypothecation strictly determined marginal spending in these areas, it has other drawbacks. Smoking behaviour and health outlays, for example, are not unrelated, but the optimal levels of tobacco taxation and health outlays also depend on a host of other factors. Furthermore, if spending in the absence of hypothecation were fixed, and revenue from tobacco and road fuel duties turned out to be lower than projected, for instance if other measures do succeed in cutting tobacco and road fuel consumption, the ensuing lower spending on health and transport might be unfortunate. Conversely, if revenue from these duties were higher, the extra funds might be better spent in other priority areas, such as education.

* To a degree, some hypothecation traditionally takes place through the social security system, but the link between revenue and spending is rather tenuous.

revenue (but also boosting tobacco and alcohol smuggling).[60] Henceforth, as announced in the November 1999 PBR, real increases in these taxes will be discretionary and the extra money raised from the tobacco duty is to fund the NHS while that raised from the fuel duty is to be spent on public transport and the road network (where a significant maintenance backlog has built up). This hypothecation, following the earmarking of the £5.2 billion of the windfall tax (see Chapter IV), is not uncontroversial (Box 8). As concerns FY2000/01, tobacco duties were increased

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by 5 per cent in real terms, but road duties were kept constant in real terms (in view of the recent rises in oil prices).

Other tax measures include a 0.5 percentage point increase in stamp duty rates on residential and commercial property valued above £250 000.[61] The withholding tax on international bonds held by resident investors is to be abolished from April 2001. Air passenger duty on economy flights within the European Economic Area will be reduced from £10 to £5 and flights from the Scottish Highlands and Islands will be removed from duty from April 2001. The tax rules are to be tightened for companies based in the United Kingdom using subsidiaries abroad to which they route dividend and interest income from overseas operations.[62] The tax rules applying to donations and charities instead are eased. It was also announced that in order to encourage the take-up of vehicles with lower CO_2 emissions and using cleaner fuels, the vehicle excise duty is to be modified for various categories of cars in early 2001 and a revenue-neutral reform of company car taxation is to come into place in April 2002.

On the expenditure side, the most spectacular initiative in this Budget is the decision to provide a massive and sustained boost to public health spending (see Chapter V). For FY2000/01, the NHS receives half of the £4 billion targeted additions to DEL. Education receives £1 billion, transport £280 million, law and order £285 million and the Capital Modernisation Fund £200 million. Of the extra £4 billion, £3 billion is new money and £1 billion is carried forward from an estimated underspend in FY1999/2000. Another costly measure is the 50 per cent increase in the winter allowance for pensioners to £150 per household (£0.4 billion per year). This Budget also sets the envelope for total spending over the three years of the Spending Review to be concluded in July 2000, providing for an average increase of 3¼ per cent per year in real terms. For FY2001/02, which was the last year of the CSR, the Budget raises spending by £9 billion (or 1 percentage point of GDP) over and above the limit set in the CSR (with £3.1 billion thereof allocated to the NHS). It therefore constitutes a significant departure from what had been decided earlier on, albeit in a fiscal context that has turned out to be more favourable than expected.

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IV. Structural reforms: striving to boost productivity and employability

Since coming into power, the Government has identified specific policy areas where reform was needed in order for the United Kingdom to close its productivity gap *vis-à-vis* the other large EU countries and the United States and to improve overall product market performance. While the dragging effect of subdued productivity growth on living standards has been partly compensated by an enviable labour market performance, the concentration of low participation and employment rates in certain worker categories and the high incidence of jobless households has called for labour market reform, notably of the tax and benefit system. This chapter reviews the progress accomplished in implementing reforms of product and labour market institutions and policies.

Product market performance and policies

Growth in GDP per capita slowed in the 1990s compared with the two previous decades. However, the extent of the slowdown was less pronounced than in the other three major EU countries (Table 9), and after steadily loosing ground in the 1970s, living standards have largely caught up *vis-à-vis* Germany, France and Italy since the mid-1980s, albeit not against the United States. As a result, GDP per capita is now only slightly below the levels of France and Germany, but remains about one-third lower than in the United States (Figure 18). Turning to the sources of growth, labour market performance has been better than in the euro area, but this was partly offset by lower productivity growth. In fact, while several EU countries have caught up with the United States in terms of GDP per hour worked, the United Kingdom still lagged by 16 per cent in 1998.[63]

The Government has identified sub-par productivity growth performance as a crucial policy challenge. To some extent, labour productivity may have been affected by the relatively good labour market performance, since compared with the trend observed in several EU countries, a higher proportion of low productivity workers has remained employed. However, the growth performance in the United States during the 1990s illustrates that strong productivity gains may not only be consistent with strong employment gains, but may even be a catalyst for

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Table 9. **Sources of growth in real GDP per capita**[1]

Per cent

	1971-79	1980-89	1990-99	1980-99	1971-99
United Kingdom					
Average growth in real GDP[2] per capita	2.65	2.63	1.30	1.96	2.18
Working age population	0.16	0.26	–0.06	0.10	0.12
Labour force participation rates	0.28	0.29	–0.11	0.09	0.15
Unemployment rates	–0.24	–0.17	0.00	–0.08	–0.13
Hours worked[3]	–0.74	–0.18	–0.26	–0.22	–0.38
Real GDP per man-hour	2.80	1.97	1.95	1.96	2.22
of which: Labour efficiency[4]	3.12	2.28	1.55	1.91	2.29
Capital deepening	–0.32	–0.31	0.40	0.05	–0.07
Terms of trade[5]	0.39	0.45	–0.22	0.11	0.20
Germany					
Average growth in real GDP[2] per capita	3.05	1.79	1.28	1.55	2.03
Working age population	0.35	0.60	–0.21	0.21	0.26
Labour force participation rates	–0.17	0.08	–0.15	–0.03	–0.08
Unemployment rates	–0.30	–0.39	–0.34	–0.37	–0.34
Hours worked[3]	–1.14	–0.61	–0.52	–0.57	–0.75
Real GDP per man-hour	4.01	1.97	2.52	2.23	2.80
of which: Labour efficiency[4]	3.50	1.53	2.09	1.79	2.34
Capital deepening	0.52	0.44	0.43	0.44	0.46
Terms of trade[5]	0.30	0.13	–0.02	0.06	0.14
France					
Average growth in real GDP[2] per capita	3.01	1.54	0.94	1.24	1.79
Working age population	0.19	0.41	–0.10	0.15	0.16
Labour force participation rates	0.18	–0.32	0.18	–0.07	0.01
Unemployment rates	–0.39	–0.38	–0.20	–0.29	–0.32
Hours worked[3]	–0.88	–0.76	–0.25	–0.51	–0.62
Real GDP per man-hour	3.73	2.73	1.56	2.15	2.64
of which: Labour efficiency[4]	3.24	2.52	1.19	1.86	2.29
Capital deepening	0.49	0.21	0.36	0.29	0.35
Terms of trade[5]	0.18	–0.13	–0.25	–0.19	–0.07
United States					
Average growth in real GDP[2] per capita	2.54	1.56	1.89	1.73	1.98
Working age population	0.70	0.02	–0.01	0.00	0.22
Labour force participation rates	0.90	0.69	0.27	0.48	0.61
Unemployment rates	–0.10	0.06	0.11	0.09	0.03
Hours worked[3]	–0.05	0.24	0.03	0.13	0.08
Real GDP per man-hour	0.96	0.80	1.66	1.23	1.14
of which: Labour efficiency[4]	0.90	0.72	1.84	1.28	1.16
Capital deepening	0.06	0.08	–0.18	–0.05	–0.02
Terms of trade[5]	0.13	–0.25	–0.16	–0.20	–0.10

1. Arithmetic average of annual growth rates over the specified period. The data are based on *Economic Outlook* No. 66. Given that several countries have recently adopted the ESA95 National Accounts convention, data on capital stocks may be subject to significant revisions. While labour productivity (real GDP per man-hour) would not be affected by revisions to capital stock data, the split between labour efficiency and capital deepening would be.
2. Nominal GDP deflated by the private consumption deflator.
3. Annual hours per employee.
4. Labour efficiency is derived residually from a Cobb-Douglas production function, which can be expressed in logarithm form as $y = \alpha (n + e) + (1 - \alpha) k$ where y is real GDP, n employment, k the capital stock, e labour efficiency and α the wage share.
5. As measured by the change in the ratio of the GDP deflator to the private consumption deflator.

Source: OECD Analytical database, February 2000.

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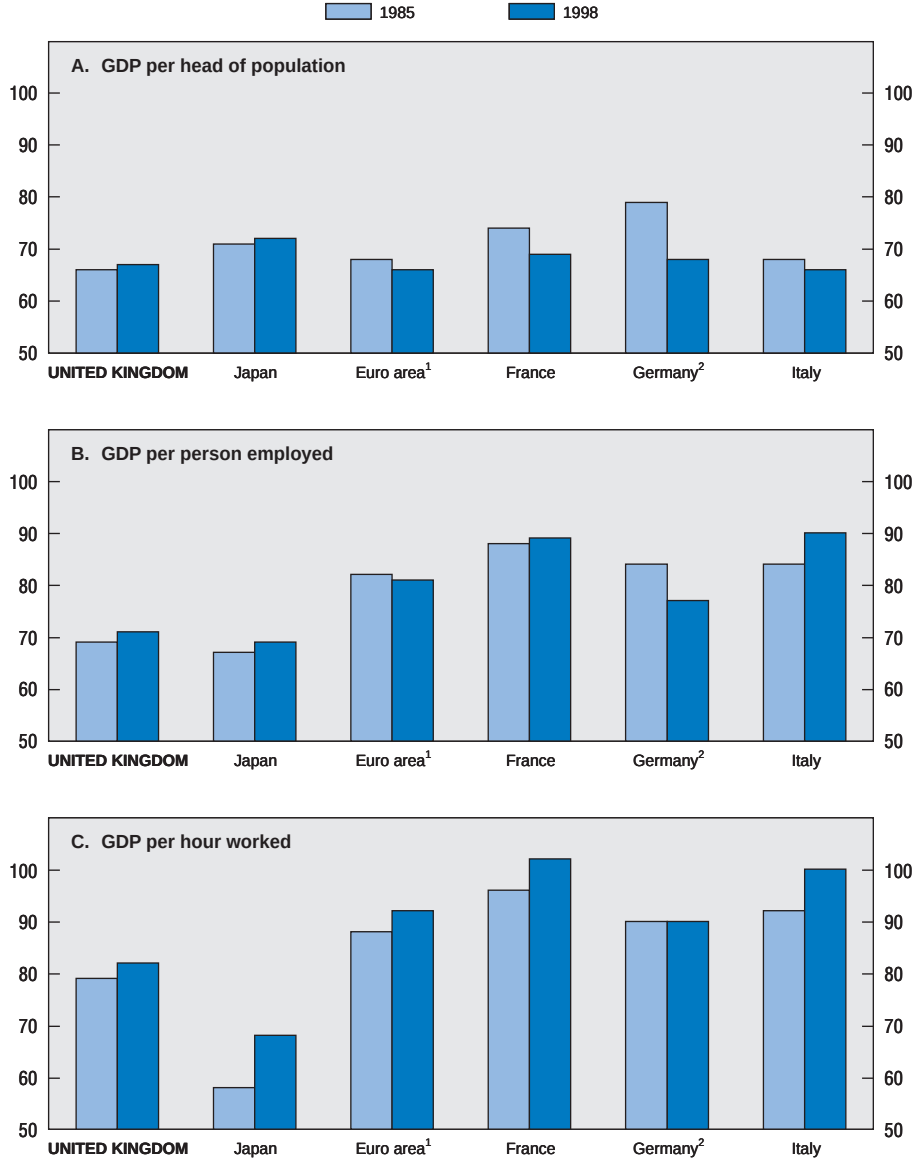
Figure 18. **Level of real GDP per capita**

PPP, United States = 100



1. Weighted average.
2. West Germany for 1985.

Source: OECD.

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job creation in the medium term. While the reasons for disparities in productivity growth are not fully understood, the Government has singled out five key areas where action is needed to improve productivity performance: competition, entrepreneurship, education, investment and public sector productivity. Although productivity growth depends on a large set of interacting factors, a case can be made that these are areas where indeed the United Kingdom does not compare favourably *vis-à-vis* the leading OECD countries.

Competitive pressures and competition policy

Competition raises productivity and living standards by forcing firms to use resources more efficiently, to innovate more frequently and to make use of industry best practice. A low degree of product market competition may be reflected in high average price mark-ups, which in turn reduce investment and labour demand. Evidence from a sample of manufacturing industries has suggested that mark-ups may have been slightly higher in the past in the United Kingdom than in the United States but significantly lower than in Japan, France and Germany (Oliveira Martins and Scarpetta, 1998).[64]

International data on price levels converted into purchasing power parity (PPP) are also often used in this context. For 1996, they suggest that the United Kingdom's aggregate price level was one of the lowest in the European Union (Figure 19). However, with the sharp appreciation of the pound since 1996, the price level rose risen above the euro area level in 1998. This is partly corroborated by a recent study comparing the retail prices at current market exchange rates of 56 well-specified individual consumer goods across the United States, Germany, France and the United Kingdom at the end of 1999. Of these, eight were found to be significantly more expensive in Britain than in all other countries, and three to be significantly cheaper.[65] The study illustrates how difficult it is in many cases to make direct comparisons even for fairly homogeneous goods, due to cross-country differences in fashion for brand names, packaging sizes, etc.[66] It therefore remains to be established whether the notion of "rip-off" Britain, stemming from the publicity surrounding the relative price of some highly visible items such as cars (Annex I), holds more generally. While such price comparisons are often referred to, they do not simply reflect differences in competitive pressures. They also result from differences in tax rates, trade policy, transportation costs, exchange rate volatility and consumer preferences for domestic goods. However, even after controlling for these factors, most studies still find price differences that are significantly larger across borders than across equally distant regions within a country (Engel and Rogers, 1999), suggesting the existence of important barriers to international competition despite trade liberalisation.

While there is no single direct measure of overall product market competition, a variety of indicators can be used to assess and compare internationally

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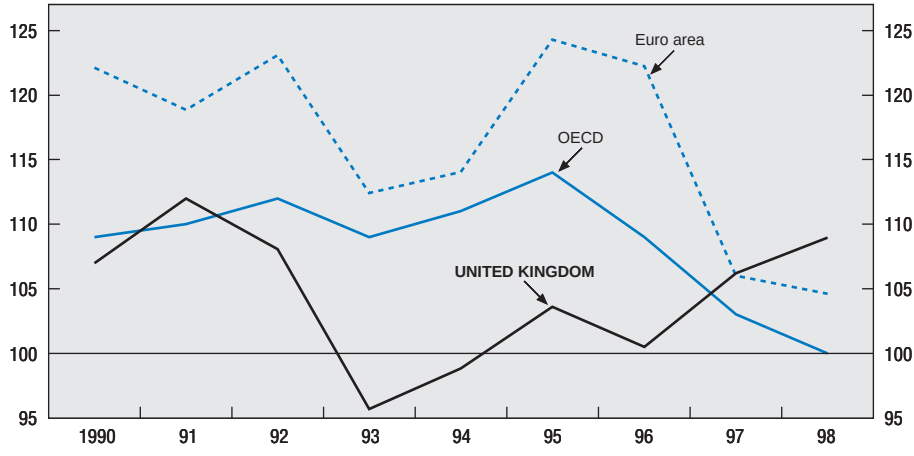
Figure 19. **Comparative price levels**
Price of GDP, at PPP, United States = 100



Source: OECD, *Main Economic Indicators.*

the degree of competitive pressures. The OECD has developed a fairly comprehensive set of indicators of product market regulations, which suggest that the overall regulatory intensity in the United Kingdom is the lowest in the OECD (Table 10).[67] This reflects low barriers to foreign trade and investment, the small number of state-owned enterprises left to privatise,[68] the market-friendly way of regulating economic behaviour and low barriers to entrepreneurship. It may be noted, in this context, that the United Kingdom is one of the EU countries most advanced with the implementation of the Single Market directives (European Commission, 1999).

On some counts, however, regulation remains heavy-handed, for example as regards the use of property or land, hampering the development of activity in industries such as hotels and software (McKinsey Global Institute, 1998). In addition, even in sectors where competition has intensified considerably since the 1980s, resource allocation is not entirely market-determined. For example, while there has been considerable entry in the air transport sector in recent years, with the United Kingdom now having the highest number of independent airlines among European countries, some barriers to entry remain and there has been no entry by foreign airlines on internal routes. Among the remaining barriers to entry and expansion is the restricted access to take-off and landing slots at particularly busy airports, *i.e.* Heathrow and Gatwick.[69] While the slots can be swapped, they cannot be sold. Combined with slot allocation rules conferring grandfather

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Table 10. **Indicators of product market regulation and competition**

	Product market regulation in 1998										Ratio public/total consumption (1998)		Intensity of intra-industry trade (1997)[2]	
	Overall indicator of PMR		Inward oriented policies						Barriers to trade and investment					
			Overall indicator[1]		State control		Barriers to entrepreneurship							
	Index	Rank	Index	Rank	Index	Rank	Index	Rank	Index	Rank	%	Rank	%	Rank
United Kingdom	0.5	11	0.5	10	0.6	12	0.5	13	0.4	9	24.7	6	88.3	14
France	2.1	3	2.7	2	2.6	4	2.7	1	1.0	3	24.3	7	90.0	16
Germany	1.4	8	1.9	6	1.8	8	2.1	4	0.5	8	25.9	4	82.0	10
Italy	2.3	1	3.3	1	3.9	1	2.7	1	0.5	8	21.8	8	71.2	6
Austria	1.4	8	1.8	7	2.1	7	1.6	8	0.5	7	25.5	5	85.1	13
Belgium	1.9	4	2.7	2	2.8	2	2.6	2	0.6	7	20.0	12	89.7	15
Denmark	1.4	8	1.9	6	2.5	5	1.3	11	0.5	8	34.0	2	75.9	7
Finland	1.7	5	2.3	3	2.7	3	1.9	5	0.6	7	28.8	3	64.8	5
Greece	2.2	2	2.7	2	3.9	1	1.7	7	1.3	1	16.3	15	38.0	1
Ireland	0.8	10	1.1	9	0.9	11	1.2	12	0.4	9	21.5	9	64.5	4
Netherlands	1.4	8	1.8	6	2.3	6	1.4	10	0.5	8	20.5	10	83.2	11
Portugal	1.7	5	2.1	5	2.8	2	1.5	9	1.1	2	19.2	14	61.7	3
Spain	1.6	6	2.2	4	2.6	4	1.8	6	0.7	6	19.4	13	79.2	9
Sweden	1.4	8	1.7	8	1.5	9	1.8	6	0.8	5	34.4	1	78.3	8
Euro area	1.8	. .	2.4	. .	2.6	. .	2.3	. .	0.7	. .	23.7	. .	88.5	. .
United States	1.0	9	1.1	9	0.9	11	1.3	11	0.9	4	20.2	11	83.8	12
Japan	1.5	7	1.8	7	1.3	10	2.3	3	1.0	3	14.0	16	54.2	2

1. Average of the indices for state control and barriers to entrepreneurship.
2. Intra-industry trade for industry *i* is the value of trade remaining in that industry after the subtraction of the absolute value of industry *i* OECD net exports $|Xi - Mi|$ from the total value of trade in industry *i* $(Xi + Mi)$. For comparison across countries and industries, the measures are expressed as a percentage of total value of trade in industry *i* $(Xi + Mi)$. Trade flows are measured at the three digit level. Summation over all industries provides an aggregate measure of intra-OECD intra-industry trade as follows: $\{(\Sigma(Xi + Mi) - \Sigma|Xi - Mi|)/\Sigma(Xi + Mi)\}*100$

Source: Nicoletti *et al.* (1999) and OECD.

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rights, this adds to the physical scarcity of slots and allows incumbent airlines – especially the hub operators – to control a high proportion of slots, notably at peak times. Consideration should be given to moving to a more market-based system of slot allocation, building new airports or expanding existing ones, and improving transport links between major cities and secondary airports located nearby.

More generally, the benefits of a business-friendly regulatory environment may not be fully reaped unless it is underpinned by an effective competition policy. In this regard, the penultimate *Survey* (OECD, 1996*b*) recommended to streamline the organisation of competition policy and to enhance the investigation powers of the Office of Fair Trade (OFT). It also argued in favour of a less onerous test of anti-competitive practices, as well as a closer alignment with EU practices and procedures. The Competition Act 1998, enacted in November of that year and in effect since March 2000, is in line with these recommendations. It prohibits anti-competitive agreements and the abuse of a dominant position, mirroring Articles 81 and 82 of the Amsterdam Treaty (corresponding to Articles 85 and 86 in the Rome Treaty). The Competition Act greatly strengthens the investigation and enforcement powers of the Director General of Fair Trading (DGFT), granting him the ability, for the first time, to impose interim measures and stiff financial penalties (which could amount to as much as 10 per cent of the turnover in the United Kingdom of companies breaching the prohibitions for each year of the infringement, up to a maximum of three years).[70] The Act also created the Competition Commission (CC), an independent body which takes on the investigation and reporting role of the former Monopolies and Mergers Commission and hears appeals from decisions under the Competition Act. Finally, a leniency policy has been introduced, to encourage whistle blowing among cartel members. The OFT intends to implement the new Act as robustly as "cartel-busting" is carried out in the United States.[71]

Commenting on the draft Competition Act, the previous *Survey* noted the need for adequate resources for the OFT to perform its functions. The OFT has indeed recruited additional economists, lawyers and investigation experts. It has set up a training programme for its cartel investigation officers run by HM Customs and Excise, as well as compulsory general training to improve its professional staff's knowledge of law and economics. It is also purchasing equipment to enable it to extract relevant information from the IT systems of firms under investigation. Even so, resources will have to be targeted appropriately, all the more so as the proliferation of mergers and acquisitions (M&A) within and across sectors in some cases raises questions as regards their impact on competition (*e.g.* in the defence industry, when BAe and General Electric joined forces).[72] Against this background, the Department of Trade and Industry (DTI) has launched a consultation process in the second half of 1999 on a proposal for reforming merger regulations.

Since in the case of mergers there is a clearer separation of jurisdiction between the European Commission (EC) and national governments, the need to

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align the United Kingdom's regime with the EC one is less compelling than in the cases of abuse of dominant position and anti-competitive agreements where jurisdictions overlap. However, by adopting criteria that are more clearly based on competition and the interest of the consumer, as well as by insulating decision-making more from the political process, the broad principles behind the DTI proposal and the current European regime are quite similar. The new criteria would be reflected in two key changes: the current test for assessing mergers, which is based on the general public interest, would be replaced by a new competition-based test; and the independent OFT and CC, rather than the Secretary of State, would be responsible for taking decisions in the vast majority of cases (under the current merger regime, the OFT advises on whether a merger should be referred to the CC; in around 5 per cent of cases, there is a reference and the CC assesses whether a merger would be against the public interest but reports its conclusions, under cover of advice from the DGFT, to the Secretary of State, who may or may not act on them).[73]

In some sectors, such as utilities, some degree of natural monopoly power may remain, particularly in the provision of network infrastructure. Hence, where privatisation does not necessarily secure full competition, specific regulation is necessary to ensure that efficiency gains are made and passed on to end-users, witness the cases of electricity, water and railways. The regulators of privatised industries are granted concurrent competition powers with the DGFT in the sectors falling under their jurisdiction. Under the concurrency regulations, the OFT and the relevant sector regulators are barred from carrying out simultaneous or overlapping investigations and a dispute resolution procedure is provided in case of a disagreement over the handling of cases.

Concurrent enforcement of competition rules (except as regards mergers) by both the OFT and sector regulators confers the twin benefits of making fuller use of sector regulator knowledge and resources, while ensuring that regulators do not reach for regulatory tools when competition remedies would be more appropriate. These benefits may come at a certain cost, however. More effective use of knowledge accumulated by sector regulators must be balanced against the possibly less effective use of enforcement expertise accumulated by the OFT. Moreover, concurrency creates a risk that competition law will be applied inconsistently across sectors, and will generally slow down the development of dependable jurisprudence. Measures have been adopted to enhance the operation of the concurrency system, including:

- the OFT and sector regulators are all required to follow EC jurisprudence;
- appeals from the OFT and the sector regulators are heard by the same body, *i.e.* the CC;
- a Concurrency Working Party, made up of representatives of the sector regulators and chaired by the OFT, meets regularly to promote consistent handling of cases;

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- the OFT and the sector regulators have agreed a common set of basic guidelines (and supplementary sector guidelines), and staff from the OFT and the sector regulators are attending the same competition law and economics training course;
- although complainants are able to go to any of the sector regulators or the OFT, there are arrangements on how cases will be assigned to ensure there will be no forum shopping – for example, it has been agreed that all notifications will go first to the OFT and that sector regulators will generally handle the cases in their jurisdictions.

These are important measures. Nonetheless, competition cases require the application of judgement in the assessment of facts and in economic analysis. Thus, the concurrency system may still produce less consistent or uniformly sound results than unique jurisdiction in the OFT. Time will tell whether the benefits of concurrency will outweigh any such concerns. The option of returning to the more conventional approach of one competition law applied by a single agency should be kept in mind, as well as the Australian approach (instead of granting competition enforcement powers to sector regulators, Australia has transferred telecommunications and some energy regulatory functions to its central competition agency).

In order to facilitate a regular assessment of the effectiveness of the new Competition Act, the OFT is committed to develop by March 2002 measures of the cost of anti-competitive mergers, agreements and abuse of dominant position in terms of lost benefits to consumers. The aim is to allow for cost-benefit analysis of the OFT actions. Although a few years of experience under the new Act will be necessary to judge its effectiveness, the consultation process and the publicity surrounding some cases under scrutiny may have an effect on business behaviour.

Alongside the new legal framework, technological change and entry contribute to spurring competition in a number of sectors. For example, the expansion of e-commerce (Annex II) as well as the recent entry of Wal-Mart (Box 9) are heightening competitive pressures both in retail and in wholesale trade. Indeed, in its latest *Inflation Report*, the Bank of England estimated that the intensification of competitive pressures would keep inflation a quarter of a point lower than would otherwise be the case this year and next.

Beyond the Competition Act itself, several regulatory changes could broaden competitive pressures. For the regulatory system, the Government will scrutinise regulatory bodies and review existing and proposed regulations to ensure that they are promoting, rather than impeding, entry and competitive forces. A concrete example can be found in banking and financial services, where the Financial Services Authority will now, for the first time, be required to facilitate competition.[74] The same principle will be enshrined in the forthcoming Utility Reform Bill, enhancing the mandate of the energy sector regulator (the Office of Gas and Electricity Markets) to promote competition. The Government is also

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Box 9. The Wal-Mart effect

In the summer of 1999, Wal-Mart, the America-based superstore known for its aggressive competitive practices, acquired Asda, the third largest supermarket company in the United Kingdom behind Tesco and Sainsburys. Given that Wal-Mart's presence in Europe was until then limited to Germany (where it is the tenth-largest retailer), the move was quickly approved by the European Commission and is certainly expected to heighten competition in the United Kingdom. One of the main strengths of Wal-Mart is its sheer size, which boosts its purchasing power and hence, the scope for larger discounts. Wal-Mart's annual sales exceed £85 billion and it employs a staff of 1 million in over 3 600 stores around the world.

On the day of the announcement, indigenous supermarkets' share prices dropped, reflecting the expected slimming of their margins. Indeed, a price war soon erupted between the United Kingdom's largest supermarkets. These short-term reactions notwithstanding, more time will be needed to better evaluate the true impact on the retailing landscape. First, land planning regulations are likely to constrain Wal-Mart's capacity to develop massive stores, a feature contributing to its success in the United States and Canada. Second, what is a successful retailing approach in North America may not suit British consumers' habits and preferences. However, although British consumers are often regarded as being less price sensitive than their continental European or American counterparts, price awareness could develop rapidly.*

Wal-Mart's arrival may also accelerate consolidation in the retailing sector, all the more so as prospects for domestic sales growth are generally perceived as being more limited than in the rest of Europe, as suggested by relatively low price-earning ratios. Indeed, the arrival of Wal-Mart in Germany in 1998 has already encouraged two of the largest French supermarkets chains to merge.

* When reporting disappointing sales results for 1998, managers of Marks & Spencer admitted that they had overestimated the weight that consumers put on high service standards and reputation relative to price in their purchasing decision and that brand loyalty may not be as strong as generally assumed.

introducing a series of changes in land planning guidelines intended to facilitate the formation of hi-tech clusters and competition. Finally, the EU legislation on competition is creating additional pressures, leading to the investigation of cases of state subsidies that are suspected of giving a particular firm an undue advantage over foreign competitors. While the level of state subsidies is relatively low in the United Kingdom, one such investigation was launched in the Rover case (Box 10).[75]

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Box 10. State aid: the Rover case

State subsidies to industry are generally low in the United Kingdom compared with other large European countries. However, there are local exceptions, notably in the car sector, for instance in the case of Rover, which in 1999 saw its sales drop sharply and cut employment by almost a quarter. In June 1999, the Government announced a formal agreement with the German motor vehicle manufacturer BMW – then 100 per cent owner of Rover Group Ltd. – over an aid package to redevelop Rover's Longbridge factory in the Midlands (which is the largest car plant in the United Kingdom). The plan was formally notified to the European Commission in August 1999, with a total investment amounting to £702 million, of which £141 million would be covered by regional aid, plus a £38 million training programme involving £11 million in training aid.

For this subsidy to be compatible with the European Community framework for state aid to the motor vehicle industry, the recipient must prove that it has an economically viable alternative location for its project and would indeed invest there if it did not receive the aid.[1] The EC voiced doubts on this score, notwithstanding the claim that BMW had seriously considered an alternative site in Hungary. Another condition for the aid to be authorised by the EC is that it be proportional to the gravity of the regional problem at hand and necessary to the realisation of the project. Concerns in this respect were expressed following statements by BMW in early December 1999 to the effect that a formal investigation of the aid package would not derail the investment programme, although it might delay it.[2]

In late December 1999, the EC cleared the training element of the package, which was deemed consistent with the Community framework on training aid, but launched a formal investigation into the regional component based on doubts about the mobility of the project and some parts of the underlying cost-benefit analysis.[3] In March 2000, BMW announced that they had decided to dispose of Rover's car operations at Longbridge, and to sell Land Rover to the Ford Motor Company (although they planned to retain other plants in the Rover group).

1. This is called the geographical mobility criterion. For example, in November 1998 the EC approved regional aid totalling £25 million to car producer LDV Ltd. for a plant in Birmingham in a joint venture with Daewoo, for which an alternative site (in the Polish town Lublin) would otherwise have been used.
2. BMW subsequently indicated that if the EC were to unexpectedly veto the aid they would reconsider the investment.
3. This decision was in line with recent decisions to open such a probe in two similar cases (a Fiat factory in Southern Italy and a new Volkswagen assembly plant in Dresden).

Entrepreneurship and innovation

An essential element to foster a competitive environment is the creation of new and innovative firms, which can be slowed by regulatory, administrative and specific market failures. While firms in the United Kingdom benefit from one

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of the most favourable regulatory environments, even in some respects compared with the United States, entrepreneurial activity as measured by business start-ups and direct investment in such ventures is only around half that in the United States. The United Kingdom compares relatively well in terms of the internationalisation of R&D, on the proportion of firms which spend on innovation (including R&D) in the service sector as well as with respect to the proportion of manufacturing firms that have brought new products to market. However, it lags other countries in overall R&D spending and patenting, in the development of creative partnerships between universities and businesses and in the share of sales from new or improved products.[76] Hence, firms in the United Kingdom do not seem to fully exploit the innovation potential that could be derived from a strong science base due in part to under-developed industry/science relationships and a difficult access to finance for high-risk projects. Based on this evidence, the Government feels that there is a need to provide incentives over and above the reduction of administrative barriers to promote the commercialisation of science. Recent budgets include a number of measures to foster the creation and expansion of SMEs. These encompass both tax breaks and financial assistance, in particular to facilitate access to venture capital.[77]

On the tax side, one of the key elements of the Government's strategy to boost entrepreneurial activity is to provide a more generous tax treatment for SMEs. The corporate tax rate for small companies has been cut from 23 to 20 per cent for the basic rate, and a new entry rate of 10 per cent has been introduced. In addition, the 40 per cent first-year capital allowance for SMEs has been made permanent and a 100 per cent first-year capital allowance has been introduced for small firms purchases of IT equipment. Meanwhile, most of the recent measures that led to significant hikes in corporate tax revenues fell proportionately more heavily on large businesses (*e.g.* changes to the taxation of dividend income, abolition of the advance corporation tax and the windfall tax). Furthermore, the capital gains tax has been reformed (for the second time in three years): henceforth, its rate will be 40 per cent for assets held for less than one year, falling to 10 per cent for assets held for more than four years, applying to anyone holding shares in an unquoted company, any shareholding employees of quoted companies and anyone else with more than 5 per cent of the voting rights in a quoted company.[78] The new Enterprise Management Incentive will enable smaller companies to give tax-advantaged share options to up to 15 employees to help them recruit and retain key personnel. A tax relief has also been launched for corporate venturing (*i.e.* the provision of venture capital by larger companies to smaller, high-risk ones). Moreover, from April 2000, the proportion of R&D spending that SMEs can deduct from their taxable profits is raised from 100 to 150 per cent, reducing the cost of R&D for profitable SMEs by about 30 per cent. Besides these tax incentives, the Government has set up a Small Business Service (SBS) which is to co-ordinate delivery of existing programmes, and to help business comply with regulations. In addition to

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the tax breaks for private venture capital investment, the Government has announced it would be committing an extra £100 million for a new £1 billion target umbrella fund, levering in private finance for enterprise growth across the regions over the next three to five years. Regional priorities will be decided jointly by a new Small Business Investment Taskforce of the SBS and the Regional Development Agencies (RDAs). The Government has also announced it will create a new £50 million Regional Innovation Fund to enable RDAs to co-finance business incubators and small-scale infrastructure.

The rationale underlying these measures is to encourage the creation of new firms and to help them as well as existing small firms to grow more rapidly and thereby maintain strong competitive pressures on larger established firms. To the extent that high-tech firms face particular constraints in accessing capital markets, especially in the early stage of development when often innovative and hence unproven technology is developed, the case can be made for encouraging high-risk capital with both public funds and private incentives. The same is true with respect to the tax incentives to boost R&D spending where evidence suggests that SMEs find it most difficult to raise finance for R&D.

More generally, however, some have questioned the rationale for the recent tendency to grant relatively more generous tax treatment to SMEs (Chennells *et al.*, 2000). To the extent that this is justified by the need to offset existing distortions, which discriminate against SMEs, it might be preferable to directly address these, such as the unequal treatment of profits and losses, which benefit large firms more.[79] The creation of the SBS and other measures to help small firms comply with regulation represent, in this respect, welcome innovations. As for the argument that due to market imperfections (such as those arising from asymmetric information) SMEs have access to capital at a higher cost, there is a risk that by compensating this with lower profit and capital gains taxes for all SMEs, one may witness over-investment in such firms (although at this point there is no hard evidence suggesting this). Finally, by further widening the difference in the tax treatment of small and large firms, there is a risk of creating a disincentive for medium-sized enterprises to grow beyond the threshold where these benefits would be lost, which would work against the objective of encouraging small firms to expand (although again, this risk is difficult to document).

Corporate governance reform

As described in the special chapter of the previous S*urvey*, a number of corporate collapses in the 1980s and early 1990s led to a reassessment of the corporate governance framework. The 1992 Cadbury Report offered numerous proposals to strengthen the effectiveness of boards and to raise transparency, while the 1995 Greenbury Report addressed boardroom pay issues. The latter recommended a Code of Best Practice based on the fundamental principles of

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accountability, transparency, and linkage of rewards to performance. A Combined Code on Corporate Governance was published by the London Stock Exchange in June 1998 following the recommendations of the Hampel Committee, integrating the earlier Cadbury and Greenbury Codes with some additional recommendations. Listed companies incorporated in the United Kingdom are now required to disclose whether they have complied with the Code and to give reasons for non-compliance. This disclosure requirement was introduced for annual reports and accounts published by companies in respect of accounting periods ending on or after 31 December 1998.

Several issues have continued to receive attention. While compliance with the Code is high and improving as concerns board structure (separation of the roles of chairman and chief executive, independence of non-executive directors and the like), it is poor as regards directors' pay. Increases in executive pay often far outstrip wage adjustments and show only a weak link with company performance.[80] Directors' remuneration packages are now usually set by remuneration committees but disclosure and transparency often remain lacking, as documented in a recent inquiry carried out for the DTI by PricewaterhouseCoopers (1999). The Combined Code's recommendation that "remuneration committees should consist exclusively of non-executive directors who are independent of management and free from any business or other relationship which could materially interfere with the exercise of their independent judgement" is often not followed: in 27 per cent of the companies examined in this inquiry, the remuneration committee was chaired by the board chairman.[81] On the link with performance, the Greenbury Report had recommended that "in considering what the performance criteria should be, remuneration committees should consider criteria which measure company performance relative to a group of comparator companies in some variable, or set of variables, reflecting the company's objectives such as shareholder return. Directors should not be rewarded for increases in share prices or other indicators which reflect general price inflation, general movements in the stock market, movements in a particular sector of the market or the development of regulatory regimes". This recommendation was followed in only a tiny number of cases. The DTI published a consultation paper on directors' pay in July 1999 which assessed the effectiveness of the current best practice framework and made proposals for strengthening it in some areas.

The Government is undertaking a major review of company law that also covers corporate governance issues.[82] The review provides an opportunity to consider the proper relationship between company law and non-statutory standards of corporate behaviour. The effectiveness of the annual general shareholder meetings has also been questioned, as noted in the previous *Survey*. They are usually not attended by the largest shareholders, typically institutional investors, who lodge their proxy forms with the company, so that with few exceptions the outcome of the meeting is determined in advance. On the other hand, the cost of arranging general shareholder meetings is considerable. The Company Law

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Review Steering Group has tabled proposals that aim either to strengthen the effectiveness of general shareholder meetings or to find other means to achieve the purposes of such meetings (DTI, 1999*a*).

Labour market performance and policies

As described in Chapter I, employment continued to grow during the recent economic slowdown and unemployment declined to the lowest level in two decades without putting much pressure on labour costs, confirming the downward trend in structural unemployment observed since the early 1990s. The United Kingdom, along with Denmark, the Netherlands, Ireland and New Zealand, has been one of the most active countries in implementing the OECD *Jobs Strategy*, and the reform process, which reaches back to the early 1980s, appears to be paying off. In this regard, the penultimate *Survey* concluded that significant progress had been made in improving the flexibility of the labour market, but that there was a need to shift the policy focus towards raising labour force skills and sharpening work incentives. The last *Survey* emphasised the need to enhance the employability of those at the margin of the labour market to ensure a wider distribution of the benefits of labour market reform, and noted the initiatives already undertaken in that direction. This *Survey* assesses the main labour market reforms implemented over the past two years and draws some lessons.

A *relatively high degree of labour resource utilisation*

While productivity growth was relatively weak in the 1970s and 1980s, labour resource utilisation increased, especially compared with the largest euro area countries (Table 9). This largely contributed to the catch-up in living standards *vis-à-vis* Germany and France observed since the mid-1980s. Moreover, the higher degree of labour resource utilisation is reflected in employment and participation rates higher than in most OECD countries (Figure 20). With general government employment falling over time, growth in employment is entirely driven by the private sector (Table 11). Looking at the decomposition of participation by age and gender, the situation in the United Kingdom is largely comparable to the United States except for lower female participation and employment rates which account for most of the difference in total participation rates between the two countries.

Nevertheless, there are some concerns about particular groups at the margin of the labour market. *First*, while the female participation rate has risen considerably since the early 1970s, this has been nearly offset by a decline in male participation, which has been particularly pronounced among older men (Figure 21). *Second*, the United Kingdom has one of the highest proportion of young people (16-24 years) not attending school and a relatively large proportion of these, especially men, who are unemployed (Figure 22, top panel). As a result, young men are one of the rare categories where unemployment exceeds the EU average. *Third*, even though trend

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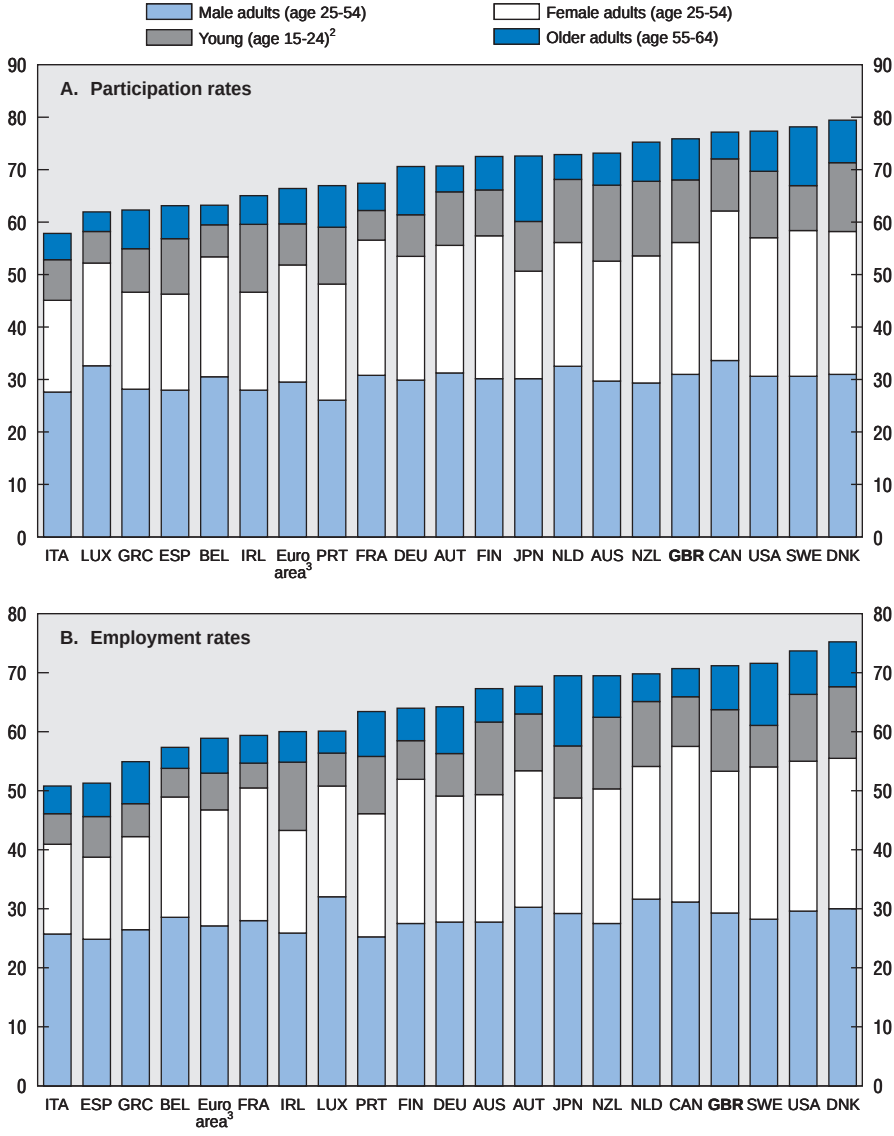
Figure 20. **Participation and employment rates by age and gender**

Contribution to total rates,[1] 1998



1. The contribution of individual demographic groups to the overall employment and participation rates were calculated as the group-specific rates multiplied by the share of individual groups in the population of working age.
2. Age 16 to 24 for Spain, Sweden, the United Kingdom and the United States.
3. Weighted average.

Source: OECD, *Labour Force Statistics 1978-1998,* Part III.

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Table 11. **Public sector jobs**
Thousands, mid-year headcount

	1961	1971	1981	1988	1991	1996	1997	1998
Total	5 859	6 627	7 185	6 315	5 848	5 099	5 020	5 002
Public non-financial corporations	2 200	2 009	1 867	912	723	1 544	1 531	1 539
National Health Service Trusts[1]	. .	. .	. .	. .	124	1 102	1 121	1 122
Other[2]	2 200	2 009	1 867	912	599	442	410	417
General government	3 659	4 618	5 318	5 403	5 125	3 555	3 489	3 463
Central government	1 790	1 966	2 419	2 322	2 178	931	896	885
HM Forces	474	368	334	316	297	221	210	210
National Health Service[1]	575	785	1 207	1 228	1 098	84	78	77
Other	741	813	878	778	783	626	608	598
Local government	1 869	2 652	2 899	3 081	2 947	2 624	2 593	2 578
Education	785	1 297	1 454	1 504	1 416	1 191	1 193	1 204
Social services	170	276	350	405	414	406	403	395
Police	108	152	186	194	202	207	206	207
Construction	103	124	143	125	106	76	65	59
Other	703	803	766	764	809	744	726	713
Community Programme	. .	. .	. .	89	. .	. .	. .	. .
Government-supported trainees	. .	. .	. .	343	353	181	159	112
Memorandum items								
Total workforce jobs	25 132	25 213	25 140	26 894	27 118	26 708	27 210	27 526
of which: Private sector	19 273	18 586	17 955	20 579	21 270	21 609	22 190	22 524

1. Trusts were set up in the health-care sector in the early 1990s.
2. The change between 1981 and 1991 largely reflects a series of major privatisations.
Source: ONS (1999), *Economic Trends*, No. 547.

unemployment has fallen during the 1990s, the proportion of long-term unemployed in total unemployment remains higher than in the United States or Denmark (Figure 22, bottom panel). *Finally*, regional differences persist, as highlighted by the dispersion of regional unemployment rates and its relative inertia over time (Figure 23), even though they are less severe than in the 1980s.[83] In sum, joblessness is increasingly concentrated on selected groups or geographical areas (Dickens *et al.*, 2000).

The relatively good labour market performance also masks growing income inequality, a high incidence of jobless households and relatively widespread child poverty. Despite the rise in the overall participation rate, the proportion of jobless households had risen to 22 per cent in 1996, the fourth highest percentage in the OECD behind Finland, Belgium and France. With the improving labour market situation, this proportion has since declined, but it remains very high, at 17 per cent in 1999. Moreover, the United Kingdom has a disquieting proportion of jobless households with children (Figure 24). About 20 per cent of children have been growing up in a jobless household, which for the vast majority

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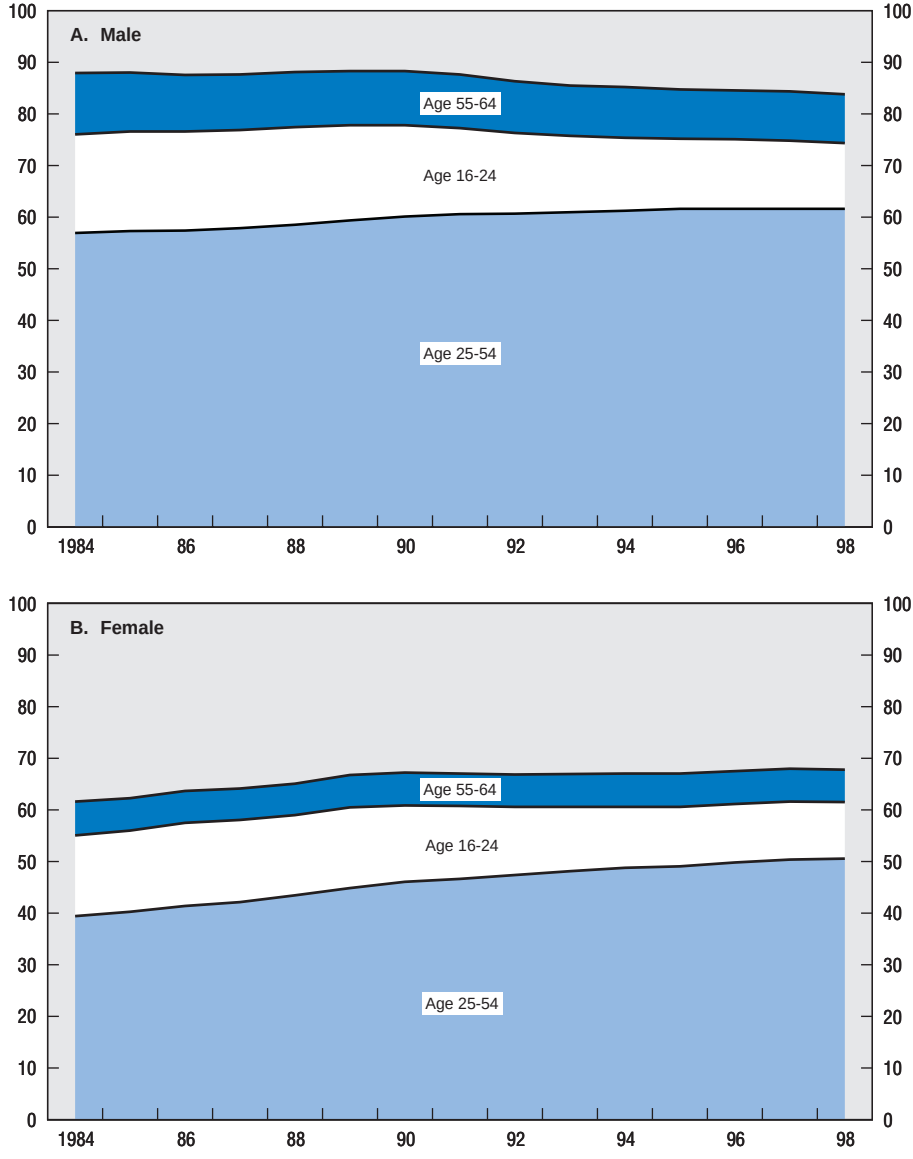
Figure 21. **Evolution of participation rates**

Per cent[1]



1. Labour force as a per cent of male or female working age population.

Source: OECD, *Labour Force Statistics 1978-1998*, Part III.

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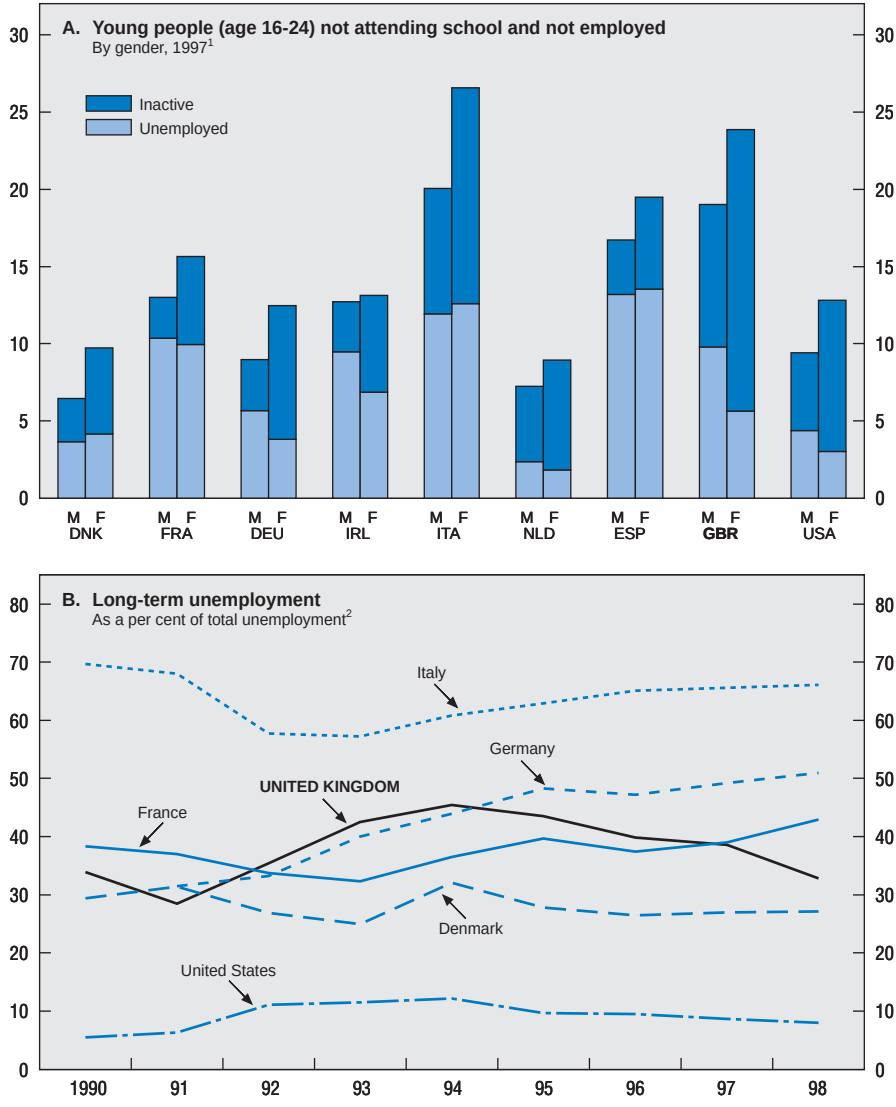
Figure 22. **Inactivity among young people and overall long-term unemployment**
Per cent



1. As a per cent of population aged 16-24. 1996 for Denmark, Germany and Ireland.
2. Persons unemployed for one year or longer.

Source: OECD, *Implementing the OECD Jobs Strategy: Assessing Performance and Policy*; and OECD, *Labour Force Statistics 1978-1998*, Part III.

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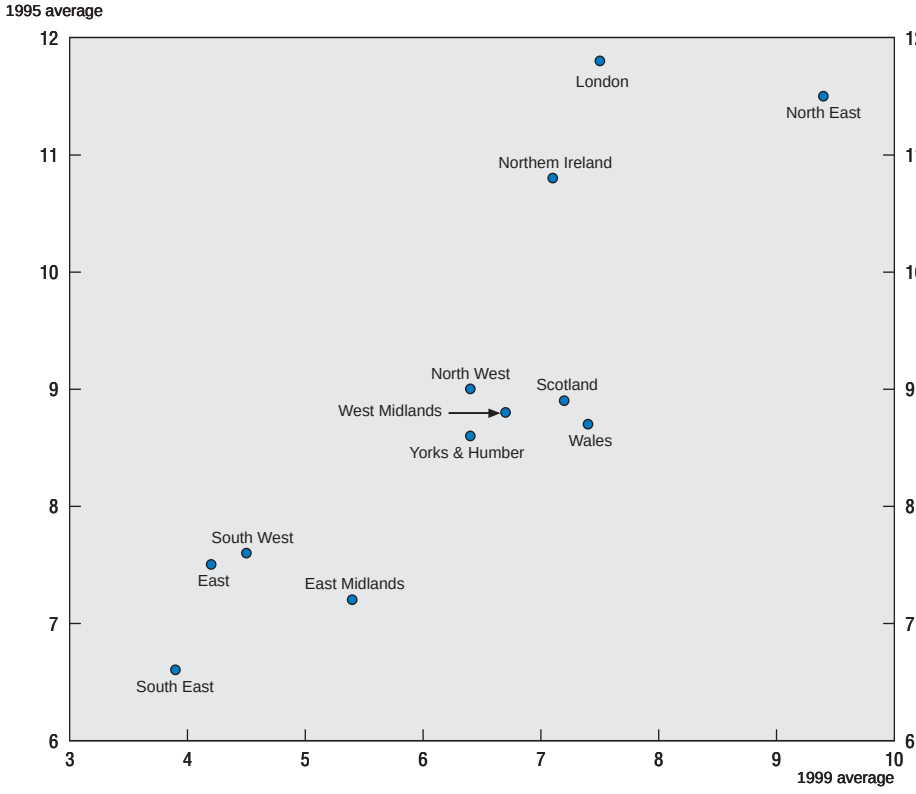
Figure 23. **Regional unemployment disparities**[1]

Unemployment rates, per cent



1. ILO unemployment rates by government office region. For the United Kingdom as a whole, the annual averages for 1995 and 1999 were 8.7 and 5.9 per cent respectively.

Source: ONS.

implies being raised in poverty (Gregg *et al.*, 1999). Given the relatively wide earnings distribution, for many of these inactive households, the jobs available would be low-paid ones which, after taxes and benefits, would not lead to a very significant improvement of the household's financial situation. In order to address these problems the Government has reformed the tax and benefit system with the dual objective of increasing the employability of the most vulnerable while raising the incentives for those trapped in low-wage jobs to stay in the labour market. This has implied a significant shift from passive to ALMPs combined with a shift from out-of-work to in-work benefits.

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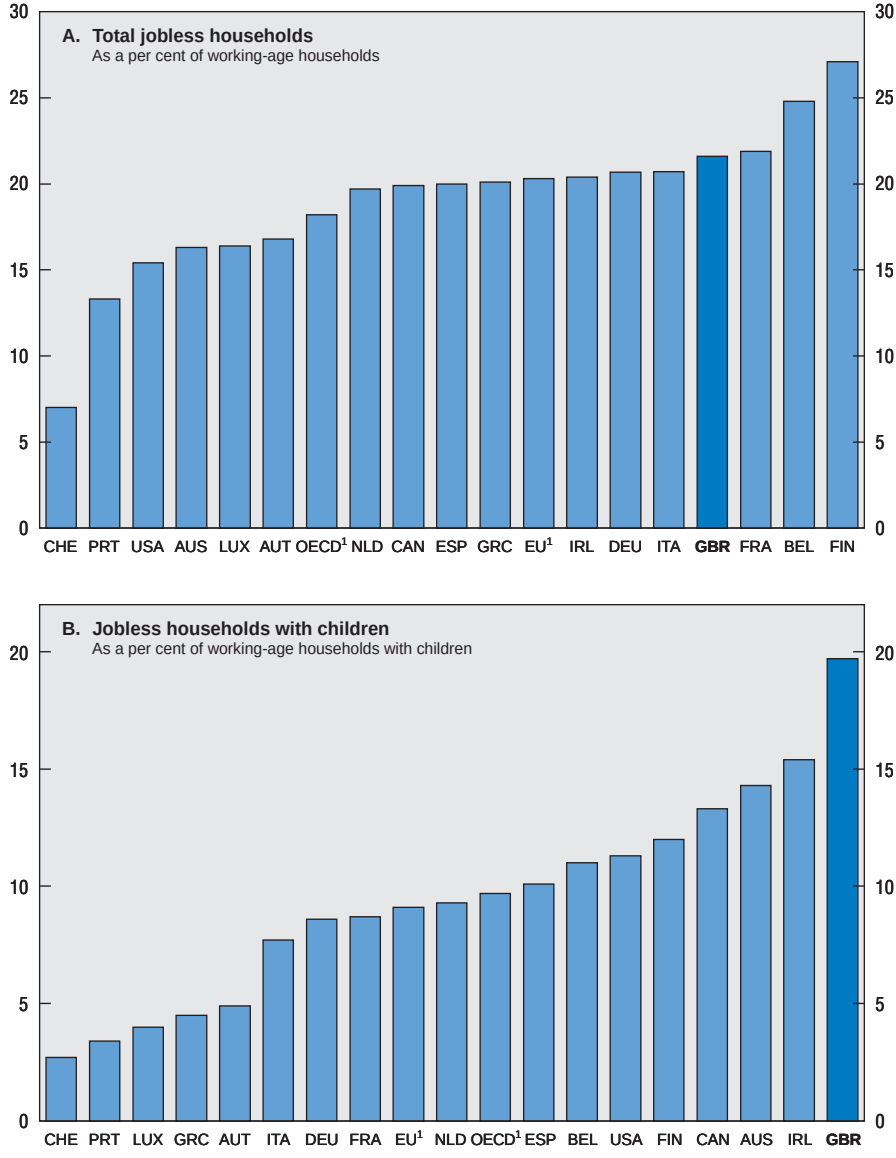
Figure 24. **Jobless households**
1996



1. Unweighted average. The OECD total covers 18 Member countries only.
Source: OECD, 1998 *Employment Outlook.*

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Very active labour market policies

To the extent that relatively generous unemployment or social welfare benefits are available for an indefinite period of time, ALMPs may provide a cost-effective way to raise employability and reduce welfare dependence. Measured in terms of net replacement rates, welfare support including housing benefits is high relative to net working income, especially for those in the lower half of the earnings scale (Table 12). However, spending on ALMPs had been trending down since 1990 both as a percentage of GDP and per unemployed and is significantly below the EU average.[84] On the other hand, given that a relatively small and declining share of GDP is devoted to overall labour market policies, the share of ALMPs in the sum of active and passive spending has risen from 26 to 31 per cent between 1985 and 1997 (Figure 25), a trend which likely has continued since.

The cornerstone of the Government's strategy to improve the participation and employment rates of the most vulnerable groups has been the Welfare to Work programme.[85] As explained in detail in the previous *Survey*, its main objective is to intervene actively in the early stage of an unemployment spell to prevent the unemployed from becoming too detached from the labour market and overly dependent on income support. While the initial and most comprehensive New Deal targeted young people, several versions of the programme have since been inaugurated to cover the specific needs of basically all categories of long-term jobless. Indeed, a New Deal for the long-term unemployed (NDLTU) aged 25 and over was implemented nationally in June 1998 and an upgraded version of that scheme is still being tested via a series of pilot projects, which were initiated in late 1998. The Government has also introduced or proposed new deals for people over 50, lone parents, disabled and the partners of long-term unemployed people (Table 13). Although these programmes share many features, only the New Deal for Young People (NDYP) at this stage goes as far as to make unemployment benefits conditional on taking up a subsidised job, enrolling in a vocational training scheme, accepting voluntary work or joining the Environmental Task Force. For other groups, as well as for the recipients of the jobseeker allowance (JSA) who are not enrolled in one of the New Deal programmes, the emphasis is placed essentially on intensive job-search assistance and for some on in-work incentives for a limited time period.[86] However, an intensification of the New Deal for those aged 25 and over has been announced: from April 2001, those among this group who have been unemployed for 18 months will have their unemployment benefits conditioned on the undertaking of activity such as subsidised employment or work-focussed training.

Even though more time will be required for a fuller assessment of the effectiveness of the New Deal, preliminary data are available on the national programmes applied to young people, the long-term unemployed over 25 and

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Table 12. **Net replacement rates and spending on ALMPs**

	Net replacement rates,[1] 1997				Spending on ALMPs			
	Initial unemployment[2]		Long-term unemployed[3]		% of GDP		Per person unemployed, % of APW earnings	
	APW level	⅔ of APW levels	APW level	⅔ of APW levels	1990[4]	1997[5]	1990[6]	1997[5]
United Kingdom	**64**	**83**	**73**	**95**	**0.6**	**0.4**	**17.5**	**8.9**
Australia	74	86	74	86	0.3	0.5	5.9	9.7
Austria	73	79	70	76	0.3	0.5	20.5	22.9
Belgium	60	75	63	79	1.2	1.3	29.2	17.7
Canada	69	69	59	77	0.5	0.5	10.9	8.3
Czech Republic	83	84	81	100	0.2	0.1	. .	5.6
Denmark	77	95	97	92	1.1	1.7	18.8	42.8
Finland	84	94	97	100	1.0	1.5	56.3	22.2
France	74	86	50	60	0.8	1.4	23.7	26.2
Germany[7]	74	74	52	61	1.0	1.2	29.5	19.8
Greece	46	48	4	5	0.4	0.4	10.3	8.6
Hungary	69	87	56	71	. .	0.4	. .	19.5
Iceland	64	87	86	100	. .	. .	. .	. .
Ireland	62	73	62	73	1.4	1.6	19.2	28.9
Italy	54	52	62	75	1.4	1.1	29.7	20.1
Japan	56	64	65	95	0.1	0.1	11.5	4.6
Korea	52	52	46	69	0.1	0.1	. .	7.1
Luxembourg	87	87	74	91	0.3	0.3	62.2	26.9
Netherlands	85	90	79	94	1.2	1.6	26.7	46.4
New Zealand	. .	. .	. .	. .	0.9	0.7	18.1	17.0
Norway	73	74	54	73	0.9	1.0	33.6	47.7
Poland	43	61	39	55	. .	0.3	. .	5.1
Portugal	77	86	61	86	0.6	0.9	33.1	31.9
Spain	74	78	43	61	0.8	0.5	11.6	5.7
Sweden	84	90	100	100	1.7	2.0	205.1	50.8
Switzerland	84	84	90	93	0.2	0.8	20.1	29.0
United States	61	51	48	61	0.2	0.2	8.5	7.8

1. Based on a worker aged 40 with a dependent spouse and two children aged 6 and 4. APW = Average Production Worker.
2. It is assumed that the worker has a 22-year uninterrupted employment record, childcare benefits are excluded and no social assistance is paid.
3. Assuming that the household first claimed benefits 60 months previously and is not disqualified from social assistance.
4. 1991 for the Czech Republic and Italy.
5. 1996 for Ireland, Italy, Poland and Portugal.
6. 1991 for Italy and Switzerland.
7. West Germany for 1990.

Source: OECD database on Labour market programmes for spending; the Analytical database for GDP; the Benefits and work incentives database for net replacement rates; OECD *Labour Force Statistics* for unemployment; OECD (2000), *Taxing Wages* 1998-1999 and various issues of the OECD *Tax/Benefit Position of Production Workers* for APW data.

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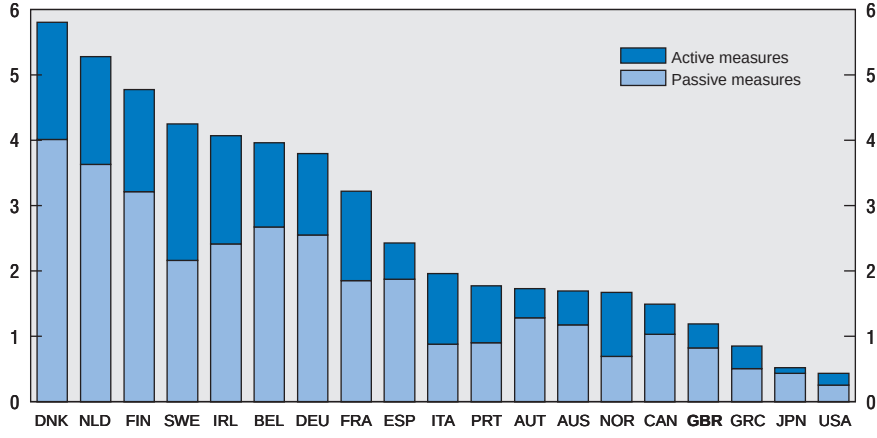
Figure 25. **Public spending on labour market measures**
As a per cent of GDP, 1997[1]



1. 1996 data for Ireland, Italy and Portugal.
Source: OECD, 1999 *Employment Outlook.*

lone parents. The statistics collected by the Department for Education and Employment, which monitor the follow-through of participants since the implementation of the respective programmes, are summarised in Table 14. The NDYP has a short intensive counselling period (the so-called Gateway), and 85 per cent of the participants have already left the Gateway. Nearly 60 per cent of those who passed the Gateway have left the New Deal altogether, of which nearly half have found an unsubsidised job. The remainder has left the programme to collect other benefits or for various reasons which for a significant portion are unknown. Among those who could not find an unsubsidised job and moved on to select one of the four options mentioned above, nearly half enrolled for education or vocational training. A surprisingly small proportion chose the subsidised wage option, perhaps reflecting the lack of subsidised jobs available in some areas where the wage subsidy may not have represented a good enough incentive for large firms and where smaller ones may not have been fully informed about it.

In the case of the long-term unemployed older than 25, a much lower proportion of those who have left the programme have moved on to an unsubsidised job. In fact, over half of those who left the programme continue to collect the JSA.

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Table 13. **Main characteristics of various New Deal programmes**

Characteristic	18-24 years	25+ LTU	50+	Lone Parents
Period of benefits before intervention	6 months	24 months	6 months	Automatically invited if on Income Support with school-age child
Period of intensive job search assistance with personal advisor	4 months: compulsory Gateway	3 to 6 months: compulsory	3 to 6 months: voluntary	Voluntary
Compulsory or voluntary	Compulsory	Voluntary but to become compulsory in April 2001	Voluntary	Voluntary[1]
Subsidised job: subsidy paid to employer directly or Employment credit	Six (12) months: £60/week subsidy + £750 total training subsidy	Six months: £75/week subsidy	12 months: Employment credit of £60/week for full-time job and £40/week for part-time	Help with childcare and other expenses available while on training or education
Full-time education or training	12 months: keep allowance equivalent to JSA[2]	12 months: keep benefits	In-work training grant of up to £750	Educational program: extra funds for child care
Voluntary work	6 months: allowance at least equal to JSA[2] + £400	Not an option[1]	Not an option	Not an option
Environmental task force	6 months: allowance at least equal to JSA[2] + £400	Not an option[1]	Not an option	Not an option
Nature of sanctions	Withdrawal of benefits for 2 weeks in some circumstances	JSA[2] sanctions	No sanctions	No sanctions
Date of implementation				
Pilot	January 1998: 4 pathfinders	June 1998: 28 pilots	November 1999: 9 pathfinders	July 1997: 8 pathfinders
Nationwide	April 1998	April 2001 (intensified programme)	April 2000	October 1998
Estimated cost (£ million in 2000/01)	440	160	20	60

1. Access to mainstream employment service provision is available.
2. Jobseeker allowance.

Source: OECD.

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Table 14. **Early New Deal results**

End January 2000

New Deal for young people (NDYP)	Number (thousands)	%	New Deal for long-term unemployed, age 25+ (NDLTU)	Number (thousands)	%	New Deal for lone parents (NDLP)	Number (thousands)	%
Total participants	422.0		Total participants	226.8		Total who attended interview	124.0	
Left the Gateway	357.1	85	Left the advisory interview process	156.0	69	Left the NDLP	53.5	43
						Still in the NDLP	65.9	53
						Yet to decide[1]	4.6	4
of which, those who:			*of which, those who:*			*of those who left the* NDLP, *the ones:*		
Left the NDYP		59	Left the NDLTU		82	Who left income support		46
Chose one of the options		41	Are still on NDLTU		18	Are still on income support		49
						Unknown		5
Reasons for leaving the NDYP:			Reasons for leaving the NDLTU:			Reasons for leaving income support:		
Unsubsidised job		47	Unsubsidised job		16	Employment		84
Other benefits		13	Other benefits		13	Transfer to other benefits		3
Other known reason		13	Other known reason		5	Ineligibility		13
Unknown		27	Unknown		12			
			Job-seeker allowance (JSA)		53			
Options chosen:			Those still on NDLTU:			Those still on income support, who:		
Subsidised job		18	Employer subsidy		32	Are in employment		1
Education and training		45	Work-based learning		49	Declined to join programme		13
Voluntary sector		19	Education and training (on JSA)		19	Withdrew for other reasons[2]		86
Environmental task force		18						
						Those still on NDLP who are:		
						Receiving personal guidance		64
						In education/training		11
						Receiving in-work support[3]		25

1. The number of those who are in the New Deal for lone parents is somewhat less than the difference between the total who attended the initial interview and those who have left, since a number of candidates (around 5 000) who had the initial interview have yet to decide whether or not they will join.
2. Lone parents who leave the programme but remain on income support, for example due to a change in childcare arrangements or a new addition to the family.
3. Those who are in employment but still receiving support from their personal advisor.

Source: Department for Employment and Education, and OECD.

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Nevertheless, of those who completed the intensive counselling period without finding an unsubsidised job, nearly one in five chose one of the New Deal options, the most popular being the work-based learning scheme. About one-third of the participants who have left the New Deal for Lone Parents (NDLP) have moved on to unsubsidised employment while about one-third of those who are still participating are either in education or receiving in-work support. Overall, of all the participants in the NDYP programme who have gone through the period of intensive personal counselling, the proportion that has moved from income support to an unsubsidised job can be seen as encouraging, at over one-quarter. However, the proportion drops to 13 and 17 per cent for the NDLTU and the NDLP, respectively. The greater success of the NDYP has encouraged the Government to extend its broad features to the NDLTU.

The higher success rate achieved under the NDYP is not entirely surprising given that the obligation to participate in some work or education activity sharpens the incentives to take up a job. Moreover, the proportion of long-term unemployed is typically lower among young people than it is for older categories of workers.[87] This, combined with the fact that in the NDYP intervention takes place after only six months of benefit collection, helps to explain the higher success rate but could also indicate a relatively high incidence of deadweight losses: half of the participants would likely have found an unsubsidised job without the New Deal (Anderton *et al.*, 1999). This may seem high, but significant deadweight losses are not unusual for active labour market programmes and trying to lower them via an improved screening mechanism would not necessarily diminish the overall cost given the extra resources that would be needed to identify more narrowly the real target group. Moreover, some deadweight losses at the level of intensive job-search counselling is probably not as costly as in the case of a wage subsidy, and the assessment performed at the Gateway stage may contribute to keep the latter low.

Relatively little is known yet about the effectiveness of the four options offered to the young unemployed who have failed to find a job during the Gateway period. The literature on programme evaluation suggests that special measures for disadvantaged young people – be they public training schemes or wage subsidies – are not particularly effective (Martin, 2000). Given that the reasons for this disappointing record are not well known, it is difficult to judge whether the New Deal schemes are likely to be more effective. However, it is to be hoped that the effort made to keep track of the participants at every stage of the New Deal will in due course allow for an in-depth evaluation and thereby help to improve the effectiveness of the specific schemes. Despite their overall mixed record, public training programmes have been found to work better for adult women. In this respect, it is perhaps unfortunate that only a small proportion of the lone parents participating in the New Deal (the vast majority of which are women) chose to take up the help with childcare and other expenses that is available for lone parents in education and training.

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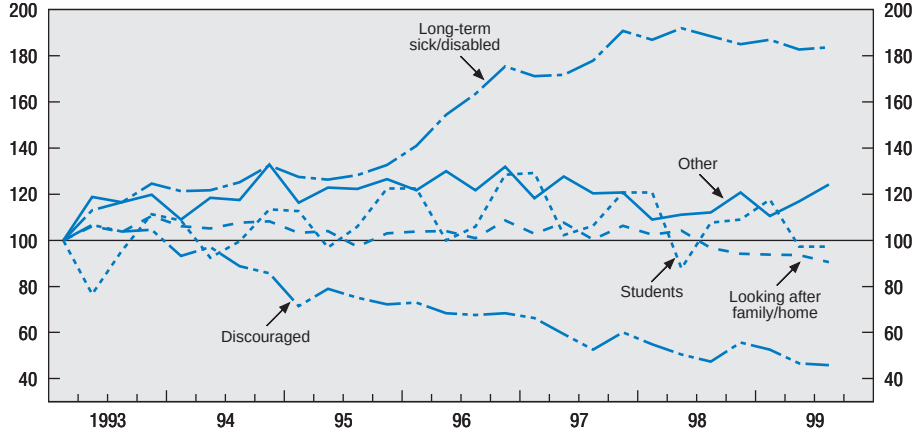
Figure 26. **Reasons for inactivity**[1]
Q1 1993 = 100



1. Based on a population aged 16-64 for men and 16-59 for women.
Source: ONS, *Labour Force Survey.*

As for the long-term unemployed, which comprise a large proportion of men over 50, a high success rate with low displacement effects may be harder to achieve. Although displacement effects stemming from the NDYP are estimated to be limited, including for the group of 25-29 year olds (Anderton *et al.*, 1999), this may have been facilitated by a favourable conjuncture and the relatively small proportion of young people in total employment. Moreover, if taking one of the New Deal options were to become compulsory, the risk that older people would collect long-term disability benefits or go into early-retirement may rise further (Figure 26). While the Government is also tempted to shorten the period of benefit collection before a recipient is enrolled in the New Deal, the earlier the intervention the higher the risk of significant deadweight losses. Displacement can also take place if the taxes raised to finance the various schemes have adverse effects on overall job creation. However, given that the New Deal represents a relatively modest addition to the amount spent on overall labour market policies, the opportunity cost is likely to be lower than the potential pay-off. Moreover, if the programme succeeds in boosting labour supply and potential output, it will at least partly be self-financed. Until FY2001/02, the New Deal will remain entirely financed by the receipts from the

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Table 15. **Allocation of windfall tax receipts**[1]
£ million

	Outturns		Projections			
	1997/98	1998/99	1999/2000	2000/01	2001/02	Cumulative
Windfall tax receipts	2 600	2 600	–	–	–	**5 200**
Spending by programme						
New Deal for:						
18-24 year olds	50	210	320	440	460	**1 480**
Over 25s	0	10	110	160	320	**600**
50 plus	0	0	0	20	20	**40**
Lone parents	0	20	40	60	90	**220**
Disabled people	0	10	30	90	80	**210**
Partners of unemployed	0	0	10	20	20	**50**
Schools[2]	90	270	330	580	310	**1 590**
Childcare	0	20	10	0	0	**40**
University for Industry[3]	0	5	0	0	0	**5**
ONE pilots[4]	0	0	0	5	5	**10**
Action teams	. .	. .	. .	20	20	**40**
Enterprise development	0	0	0	20	10	**30**
Total	**140**	**550**	**850**	**1 420**	**1 340**	**4 300**
Unallocated	–	–	–	–	–	**900**

1. Rounded in some cases to the nearest £10 million. Hence elements may not sum to totals.
2. Capital spending on renewal of school infrastructure.
3. Start-up and development costs only.
4. Funding for repeat interviews.

Source: HM Treasury.

one-off windfall tax on utilities (Table 15). The Government has announced its intentions to make the New Deal permanent. The issue of its future funding is currently being considered as part of the ongoing Spending Review.

More generally, since job-search assistance is one of the most cost-effective forms of ALMPs, the strong emphasis put on intensive personal counselling in each of the New Deal programmes seems entirely appropriate (although it may be locally stretching the resources of the Employment Service). Moreover, the implementation of the so-called ONE service, which combines under the same roof job-search advice and information on unemployment and related benefits, is a welcome effort to better co-ordinate programmes managed by different departments with the objective to get newly inactive claimants back to work as early as possible. Finally, a recent initiative illustrating the Government's "joined-up" approach is the launch of Employment Zones (Box 11).

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Box 11. Employment zones

In March 2000, the Government announced the creation of Employment Zones, with a view to intensify the support provided under the New Deal to the long-term unemployed in unemployment black spots. Putting together monies from welfare and training programmes, the scheme will provide workers aged 25 and over who have been unemployed for over 12 months (18 months in some areas) access to Personal Job Accounts worth up to £5 000 to be used for training courses or to face various costs associated with job search or employment such as transportation, childcare or clothing. The scheme is expected to benefit around 50 000 unemployed across the 15 targeted areas, or around 8 per cent of long-term unemployed. Although Employment Zones are essentially financed by public funds, many will be managed by public-private partnerships. The remuneration of providers will be tied to the number of jobseekers they successfully bring back into sustained employment defined as employment lasting at least 13 weeks. The partnership with public authorities can take various forms such as for example local authorities providing free transport and/or access to the Internet for participants.

Education and training: bridging the skills gap

The literature on ALMPs has also underscored the potential benefits, especially for disadvantaged young people, of early interventions, *i.e.* reaching back to pre-school age (Martin, 2000). The Government has made an important step in that direction with the implementation of Sure Start, a programme which aims at reaching 50 000 children under four. As in the case of the ONE service, the Sure Start scheme is another effort to better co-ordinate the intervention of several departments and local authorities with the objective of preventing disadvantaged children from missing windows of learning opportunities at a crucial stage of development. Sure Start has begun in 60 pilot areas and the number of programmes is expected to rise to 250 by FY2001/02.

In the longer term, the best way to help people escape from unemployment and poverty traps is to facilitate the acquisition and the lifelong improvement of skills. Indicators of performance suggest that the United Kingdom is not doing particularly well in terms of educational achievements. In particular, numeracy and literacy rates are relatively low and pre-university school drop-out rates high (DTI, 1999*b* and OECD, 1999*b*). In order to address some of these problems, the Government has introduced a number of measures over the past two years. For example, a scheme being tested since September 1999 in 16 local pilots targets the poorest families with a view to lower the number of school drop-outs among young people who have just passed the minimum school-leaving age: entitled

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students aged 16 and 17 who stay in full-time education can claim the new education maintenance allowance of up to £30 per week. Early evaluation led the Government to expand the pilots: the proportion of 16-year olds covered by this allowance is to rise from 7 per cent to around 30 per cent from September 2000.

An important reform of the funding of higher education has now been fully implemented with the introduction of student fees and the extension of the student loan programmes. Before the reform, students paid no tuition fees and benefited from a combination of grants and loans to cover living costs, loans being generally more important. Following the reform, living costs are supported exclusively by a loan, but the repayment is dependent on income. In addition, students are now liable for a contribution towards their tuition fees. The amount charged is a flat rate (£1 025 in FY1999/2000). It is a means-tested liability and in practice only one-third of the students pay the full amount. Given the significant sociological barriers that have historically kept children from poor and less-educated families away from higher education, the absence of tuition fees for students has amounted to a massive redistribution from poor to middle and upper-middle class families. The introduction of tuition fees, accompanied by specific grants and hardship funds for students in particular need, is thus a sensible measure to help cash-strapped universities improve the quality of higher education.

In order to promote lifelong learning, the Government introduced an individual learning account (ILA) scheme in April 1999. A £150 lump sum grant is given to the first million individuals opening a special bank account and depositing at least £25, to be used for vocational training. From 2000, account holders will benefit from discounts on eligible learning of 20 or 80 per cent depending on the type of course. Given that during the first year, individual learning accounts were only available through Training and Enterprise Councils in specific areas, the scheme has started very slowly. A national framework will be rolled out from September 2000. While the scheme serves a clear purpose, it is poorly targeted and hence too thinly spread (Chennells *et al.*, 1999).[88] The Government hopes to alleviate this problem by giving employers incentives to contribute to the accounts. Furthermore, given the number of better-targeted training schemes already in existence, for instance via the various New Deal programmes, deadweight losses and duplication may be relatively high.

The Government has also taken measures to improve school infrastructures, in particular to extend access to the Internet. Extra resources are channelled to deprived neighbourhoods via the Excellence in Cities and Education Action Zones programmes, with the specific aim to use schools as a vehicle to tackle social exclusion. These initiatives are partly financed under the New Deal for Schools, which is the largest programme financed from the windfall tax (Table 15). Furthermore, the Government is pursuing its efforts to tie teachers' pay more closely to performance. It is also promoting partnerships between schools and

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businesses, in particular via the establishment of the University for Industry scheme and of Information and Communications Technology learning centres, which help provide education directly at the workplace and for adults with low basic skills.

Reform of the tax and benefit system to make the New Deal *a better deal*

Helping the long-term unemployed with active training and intensive job-search counselling can be useful, especially for the low-skilled, whose attachment to the labour market has been spotty at best. However, as emphasised in the previous *Survey*, in order to sharpen the incentives to take up work and escape the unemployment trap, in-work net income must look sufficiently attractive relative to out-of-work benefits, in particular given the number of other barriers to leave the welfare system for less well-informed people. This is always a difficult policy challenge involving painful trade-offs, especially in the case of families with low potential earnings. *First*, given the relatively large number of households already near or below the poverty line, a significant reduction in out-of-work benefits can hardly be envisaged. *Second*, with many of the benefits being means-tested, they can be rapidly withdrawn as earned income increases, leading to high effective marginal income tax rates and poor incentives to increase work effort beyond a certain threshold in terms of hours or earnings (poverty trap). *Third*, raising the threshold for benefit withdrawal pushes the problem of high marginal tax rates further up the earnings scale and could lead to a rapid increase in the budgetary cost. Since the last *Survey*, the Government has pursued its reform of the tax and benefit system in order to increase in-work benefits via the use of earned income tax credits (or negative income taxes) and by lowering the phase-out rate of several means-tested benefits. In addition, a national minimum wage was launched in April 1999. As for the New Deal, many of these reforms have been introduced recently, so that it is too early for a broad assessment of their efficiency.

One of the major recent reforms was the replacement of the Family Credit (FC) by the Working Families Tax Credit (WFTC), in October 1999.[89] As was the case for the FC, the recipients of the WFTC are families with children in which one adult works at least 16 hours per week subject to a family revenue ceiling. The WFTC is more generous than the FC and will benefit more families given that the earning ceiling has been raised (from £79 to slightly above £90 per week after income tax and NICs) and that the withdrawal rate has been lowered from 70 to 55 per cent. The WFTC also provides an extra childcare credit of 70 per cent of actual childcare costs up to £150 per week for families with two children or more. Moreover, a new children's tax credit will be introduced in April 2001 replacing the married couple allowance, which was repealed in April 2000. The new tax credit will benefit families with children once the head becomes liable to pay income tax, since it can only be used to reduce the tax bill. On the other hand, even though its generosity

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will fall as taxable income increases, high-income families will nevertheless get a small benefit. The children's tax credit will come in addition to the child benefit, which is universal and independent from earning levels.

The Government has already announced significant modifications, with a proposal to introduce an Integrated Child Credit (ICC) alongside a new employment tax credit. The WFTC is to be split into two components from 2003: an employment tax credit for low-income households with at least one person in work, and a child credit which would be paid to both working and non-working households subject to an income threshold.[90] Under an illustrative example of the model contemplated by the Government, the ICC would look more like the existing universal child benefit except that it would become means-tested, its generosity falling by around 75 per cent beyond a family gross income threshold of £15 000 per annum and vanishing above £40 000. It would differ from the children's tax credit in that all families with children would benefit, not only those with positive taxable income. The main impact of splitting the WFTC into an employment tax credit and an ICC would be to raise significantly the minimum level of benefits flowing through uninterruptedly as the household's situation evolves from a non-working to a working status, while maintaining the overall net benefit level unchanged. Under the proposal, the employment tax credit, which would be treated separately from the child credit, would then be paid uniformly to all qualifying working households, with or without children. Such a change to the tax credit system would fit well with the objective of strengthening the support for low-income families with children while facilitating the transition from welfare to work.

All this raises the overall generosity of this type of in-work benefit, which over time has become an important redistributive mechanism, benefiting mostly those in the second and third income deciles. Despite the higher budgetary cost relative to the FC, the WFTC remains a reasonably well-targeted instrument, concentrating support on households who most need it, while generally raising the incentives to take up work, if not to increase work effort. One indicator of the changes in work incentives is the decline in the number of families facing high marginal effective tax rates (METR). The Government estimates that the number of families facing a METR of over 70 per cent has fallen from over 1 million to a little less than 500 000, with only a small number of families facing a 90 per cent METR. On the other hand, given that compared to the FC, the lower taper applies over a broader range of hours worked, a larger number of families now face a METR of 60 per cent or above.

Cross-country earned income tax credit experience generally suggests that they can be successful in increasing participation of targeted groups and lowering the incidence of poverty and social exclusion (OECD, 1999*c*). However, while a net positive effect is expected on overall participation rates, the incentives are likely to vary according to the specific situation of households (Dilnot and McCrae, 2000). For

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instance, in the case of lone parents the change from the former FC to the WFTC has sharply raised the incentives to participate, but for those working on a part-time basis, there is little incentive to increase the number of hours unless it rises above 30 hours per week. While single earners within a couple now face stronger participation incentives, the opposite may hold for the second earner. Similar results have been found for the former FC: the benefit did raise employment among lone mothers but had little effect on the choice between full-time and part-time work (Bingley and Walker, 1997). In contrast, a preliminary evaluation of the earnings top-up – an in-work benefit available to individuals and couples without children in eight pilot areas – indicates a low take-up rate and potentially large deadweight losses (Ford *et al.*, 1999).

One important means-tested benefit that has not been fundamentally reformed yet is the housing benefit. As the benefit has become one of the largest components of welfare support, this could undermine the positive effects on work incentives brought about by the change in the family tax credit. Since the value of benefit is based on the rent faced by the recipient in the social (public) housing sector or the local reference rent in the private housing sector, it has grown rapidly with the rise in market rents. While those on income support receive the full maximum benefit, recipients who work face a withdrawal rate of 65 per cent. Moreover, given that the value of the benefit rises with the rental market but that entitlement falls with increases in income, it represents a large disincentive to take up work, in particular for those living in high-rent areas.

Previous changes to housing policies may have deepened the rental market. Even so, given that the housing benefit is administered and delivered by local authorities, it can still adversely affect mobility as claimants face the application costs and uncertainties of dealing with a new authority. In addition, the sheer complexity of the housing benefit scheme, compounded by that of the Council tax benefit, increases the risks of administrative errors and may contribute to a high incidence of frauds in the social benefits system (Box 12). Even short of fraudulent behaviour, the scope to lower the cost to the budget is limited because those who benefit see no gains in seeking a lower rent and face no losses if the rent increases. All these well-known problems notwithstanding, a reform of the housing benefit is complicated by the fact that it concerns both housing and income redistribution policies. While a deep-seated reform of the housing benefit system is unlikely to take place before the next election, a consultative green paper concerning the Government's proposals is expected soon. In the meantime, the Government has announced a simplification of the housing benefit extended payment scheme from April 2001 to facilitate housing benefit payments at out-of-work rates for the first four weeks in work.

Even though one of the primary objectives of the reform of the tax and benefit system is to raise in-work net income relative to out-of-work benefits, the

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Box 12. Frauds and errors in the system of social benefits

Like in some other OECD countries, the scale of benefit fraud and errors is significant in the United Kingdom. The Department of Social Security (1999) has estimated the level of confirmed fraud in all benefits to be around £2 billion or 2 per cent of total benefits paid. Adding cases where fraud is strongly suspected but not proved, the estimate may reach £5 billion. The means-tested benefits are those for which the risk of fraud is most severe. Chief among them are income support, JSA and housing benefits, where the estimated levels of fraud are 4.7, 8.3 and 5.3 per cent respectively. If overpayments due to unintentional mistakes are added, these levels rise to 7.2, 14.4 and 8.0 per cent, amounting to annual losses of £860 million, £510 million and £900 million. The most common causes of overpayments are failure to take account of earnings and couples claiming to live as single people. In the case of the housing benefit, the complexity of the system can partly be blamed, given that there are four different schemes that are designed nationally but implemented via over 400 local authorities, without integration of IT.

The Government has recently put in place a strategy to cut the losses due to fraud and administration errors. *First*, controls at the gateway to the benefit system have been reinforced. For instance, claimants must now provide all the evidence needed to substantiate their claim before a payment is made. This is estimated to cut annual income support expenditure by £200 million. *Second*, cases are managed more actively while payment continues, for example by matching data held on different computer systems to detect irregularities, saving over £150 million in FY1998/99. *Third*, there is a greater focus on detecting and punishing fraudsters, with a sharp increases in custodial sentences. *Fourth*, income support and JSA payments are monitored on a monthly basis to track progress towards the Government's target of cutting fraud and error by 10 per cent by 2002 and 30 per cent by 2007. A similar monitoring regime is being put in place for the housing benefit, although ambitious targets for fraud control may have to wait in this case until the system is overhauled.

change in the structure of the working family and the children credits will leave both working and non-working families better off across the whole earnings distribution. As a result, the Government estimates that 7 million families will see their disposable income rise by an extra £740 a year on average. However, the most significant gains will arise for low-income earners (the lowest three income deciles), with a net gain of near or above £20 a week. The Government also raised disposable income for all taxpayers via a reduction in the basic rate of income tax from 23 to 22 per cent, the introduction of a new 10 per cent entry bracket and the further reform of the NICs which removed the distortions plaguing the old system both on the employer and on the employee side (in essence, moving up into higher earning brackets used to perversely trigger higher contribution rates on all earnings).

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The national minimum wage's inaugural year

For the first time, a statutory national minimum wage was introduced in the United Kingdom on 1 April 1999.[91] The previous *Survey* suggested that a minimum wage set at a prudent level could help raise in-work earnings while limiting adverse employment effects. It also recommended to introduce a lower minimum wage for young people based on the observation of pronounced age/skill profiles. Largely in line with the recommendations of the Low Pay Commission (LPC) – an independent advisory committee including employers and employees' representatives – the Government set the basic minimum wage at £3.60, with a rate of £3.00 for employees aged between 18 and 21 and £3.20 for trainees. Hence, at a level estimated to lie between 38 and 45 per cent of average earnings depending on the benchmark used, the minimum wage for adults is higher than in the United States but significantly lower than in France, Belgium or the Netherlands (Figure 27). However, the youth rate is estimated to be around 70 per cent of median earnings in that age group (Metcalf, 1999).

So far, there is little evidence of a significant adverse effect of the minimum wage on employment, even in sectors such as agriculture, distribution, hotels and catering, with a high proportion of low-paid workers, although no clear-cut conclusions can be drawn in the absence of a relevant counterfactual.[92] According to the LPC (2000), while around 8 per cent of workers aged 22 earned less than £3.60 at the time the minimum wage was introduced, the proportion fell to below 5 per cent for workers aged 24 and over.[93] A survey conducted by the Confederation of British Industry (CBI) shortly after its introduction suggests that the minimum wage had a negative impact on 11 per cent of the surveyed businesses (18 per cent for small firms and 7 per cent for large ones). While 22 per cent of the respondents felt the need to take action to accommodate the minimum wage, 13 per cent of those taking action said that this had implied staff cuts whereas 9 per cent had reduced working hours and 6 per cent had raised the skill level of their employees.[94] Half of the firms that took action ended up adjusting basic pay rates without a significant knock-on impact on the wage scale in 75 per cent of the cases. The LPC found no significant immediate knock-on effects higher up the pay scale (Figure 28), implying some compression of the earnings distribution. It also estimated that the introduction of the minimum wage led to an increase of average earnings of about 0.5 per cent.

Often, the administrative and regulatory burdens linked to the implementation of a minimum wage add considerably to labour costs. Against this background, the Government tried to limit the associated red tape. The view that the lack of visible adverse employment effects could reflect small firms circumventing the law is not supported by the evidence on enforcement provided by the Government: although a large number of telephone inquiries were made, a relatively

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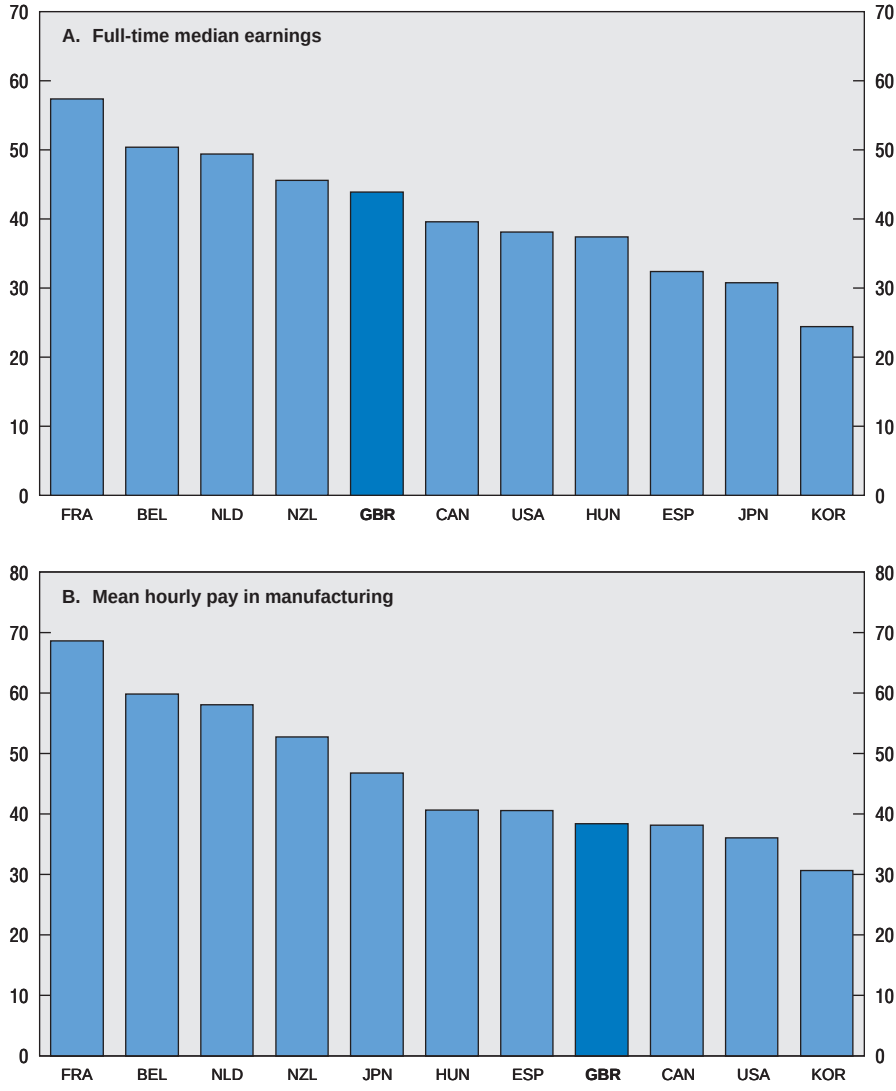
Figure 27. **Ratio of minimum wage to average earnings measures**

Per cent, 1997[1]



1. Given that more recent comparable data are not available for a large set of OECD countries, 1997 is used as a benchmark (see OECD, 1998 *Employment Outlook*). Since the national minimum wage had not yet been introduced in the United Kingdom, the 1999 minimum wage level is retropolated to 1997, using the average earnings index as a deflator.

Source: OECD.

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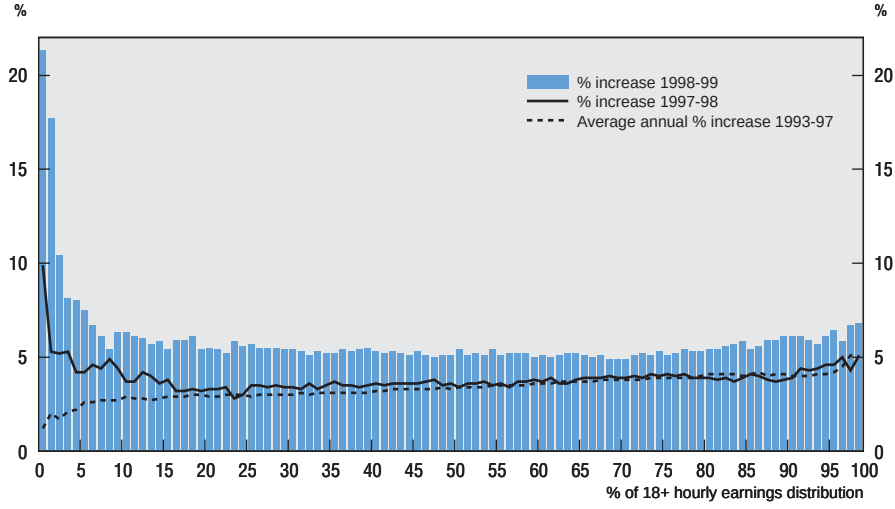
Figure 28. **Absence of an immediate knock-on effect**

Percentage increase in hourly earnings



Source: Low Pay Commission, *The National Minimum Wage – The Story So Far*, February 2000.

small number of complaints was received, and less than 100 enforcement notices had been issued by October 1999.[95]

Taken in isolation, the minimum wage cannot make a large dent in poverty, if only because the latter is concentrated in jobless households. Nevertheless, the minimum wage is estimated to benefit over 1.5 million workers, two-thirds of whom are women and about the same proportion part-time workers.[96] The number could increase if the New Deal and reforms of the tax and benefit system succeed in bringing long-term jobless with low earnings potential into employment. Perhaps more importantly, as the Government raises in-work benefits to reduce the number of jobless households, the minimum wage limits the scope for firms in low-wage sectors to use benefits, such as the WFTC, as a wage subsidy.

Contrasting with the practice in most other countries (the United States being one exception), there is no rule-based inflation-adjustment mechanism of the minimum wage in the United Kingdom. At the time the LPC recommended an initial rate of £3.60, it suggested that the minimum wage should be raised in June 2000 to £3.70 for the adult rate and to £3.30 for the youth and trainee rate. In February 2000, the Government announced that the minimum wage for adults would be raised in October 2000 to £3.70. The youth rate will be increased in

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June 2000 from £3.00 to £3.20, bringing it in line with the rate set for employees on accredited training. Given that the 3 per cent increase for the adult minimum wage is smaller than the concurrent growth in average earnings, the adjustment can be viewed as prudent. While the simplification of the minimum wage structure brought about by the alignment of the youth and trainee rates is welcome, moving rapidly to a uniform rate across all age categories should be considered only if the case can be made that the strong age/skill profile observed in the past has largely disappeared. Evidence from other countries' experience with a uniform minimum wage often shows a significant negative effect on youth employment whereas significant effects on total employment are generally more difficult to obtain.[97] In this context, a faster increase of the youth minimum wage could undermine the effectiveness of the New Deal programme in bringing young people back into employment. Moreover, some evidence suggests that in the United Kingdom the youth rate, despite being set at a lower rate, has had a more significant effect on labour costs than the adult rate.

Other significant changes to labour market legislation

Two other important changes to labour market regulation have been implemented since the last *Survey*, the Employment Relations Act 1999 and the Working Time Directive. The Employment Relations Act changed regulation in three important respects. *First*, it established a new statutory procedure for the recognition of independent trade unions in firms with more than 20 employees, if the wish is expressed by a majority of workers via a ballot or if more than 50 per cent of workers in the bargaining unit are union members. It seeks to encourage voluntary agreements where possible; in case of disagreement between employers and unions, the Central Arbitration Committee will decide the appropriate bargaining unit and whether the union should be recognised and if necessary will impose a legally-binding procedure for bargaining about pay, hours and holidays. *Second*, the Act introduced a series of "family-friendly" measures such as an extended maternity leave and the right to take unpaid parental leave. *Third*, the Act reinforced some of the employment protection provisions by increasing the ceiling for unfair dismissal compensation from £12 000 to £50 000, by limiting the possibility for employers to ask employees on fixed-term contracts to give up the right to complain about unfair dismissal if the contract is not renewed and by extending employment rights to take lawfully organised industrial action.

The Working Time Directive was implemented in October 1998 to bring domestic regulations into line with the EU directive.[98] The main elements of the Directive include a limit of 48 hours for the average weekly working time, minimum daily and weekly rest periods, in-work breaks and a paid annual leave. The Directive allows employers to waive the 48 hours limit if the employee agrees.

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Several of these measures are directly aimed at helping women to keep some ties with the labour market while raising young children. More generally, they may contribute to make workers who have been traditionally detached from the labour market feel more secure about joining the workforce without fearing to be ruthlessly exploited. Overall, they may thus contribute to marginally raising labour supply. On the other hand, firms will face higher non-wage costs, which could reduce labour demand. Compliance with the Working Time Directive is estimated by the DTI to cost £2.2 billion annually (*i.e.* around ½ per cent of the wage bill) for the whole business sector, half of which is accounted for by the minimum daily and weekly rests. Indeed, according to the aforementioned CBI survey, while only 11 per cent of firms expected the minimum wage to adversely impact their business, that proportion was 52 per cent for the working time regulation. In contrast, the estimated compliance cost of the Employment Relations Act is very modest at £60 million per annum, half of which is attributable to the parental leave. While the measures related to trade union and job protection have little direct compliance costs, they could in principle entail higher costs in the long term if they significantly affect labour market flexibility, in particular the speed of real wage adjustment. However, even if the new rules were to lead to a reversal in the downward trend of union membership, there is little reason to expect a major change in the union wage bargaining power, especially since wage negotiations are likely to remain decentralised.

While the costs to businesses of each of these regulatory reforms taken in isolation appears to be relatively modest, they may add up to a significant increase in non-wage costs, especially when counting in the extra administrative burden related to the various tax credits discussed above and which are delivered via the payroll. However, in a relatively competitive and flexible labour market such as in the United Kingdom, the extra non-wage costs could be largely compensated by slower real wage growth and/or greater flexibility in working arrangements. Moreover, while the changes brought about by the Employment Relations Act will undoubtedly increase the employment protection regulatory burden, the United Kingdom remains near the bottom of the league with respect to the weight of labour market regulation (Deakin and Wilkinson, 1999).

Assessment[99]

While the gap in living standards *vis-à-vis* France and Germany has narrowed substantially since the mid-1980s, little progress has been achieved in closing the large gap against the United States. Moreover, the United Kingdom still significantly lags behind large European countries in terms of labour productivity which, combined with evidence of higher prices at least for some important categories of goods and services (*e.g.* cars, hotels), suggests that the scope for improving product market performance remains significant. The Government has identified key policy areas where important reform was judged necessary to improve performance, including

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Table 16. **Structural reform recommendations and follow-up**[1]

Based on previous and current *Surveys* and action taken since 1998

Recommendations in previous *Surveys*	Main actions taken	Current *Survey*: assessment and recommendations
Labour market		
Careful implementation of New Deal programme needed to limit potentially large deadweight and substitution costs	Nationwide launch of New Deal for young people in April 1998, and subsequently for other categories (lone parents, 50+ year olds, disabled...)	Early results of New Deal for youth encouraging, but more time needed for fuller assessment Higher deadweight losses likely in the case of older workers
If minimum wage is introduced, set it at prudent level with some differentiation by age	National minimum wage introduced in April 1999, at £3.60 (with a lower rate for young people), and to be raised to £3.70 in October 2000 (£3.20 for young people from June 2000, in line with rate for trainees)	Differentiation by age should be maintained So far, minimum wage does not seem to have had a large effect on employment
	Working families tax credit introduced in October 1999	Too early for full assessment. Should raise participation rates for some categories but may have slight adverse effect on number of hours worked
	Reform of national insurance contributions	Removes a significant distortion
	Extension of right of protection for employees taking lawfully organised industrial action Quadrupling maximum compensation for unfair dismissals from October 1999 Implementation of Working Time Directive limiting to 48 the number of hours worked per week	This combination of measures increases stringency of EPL and non-wage labour costs. May be compensated by wage adjustments, but adverse effect on employment could, in some cases, be compounded by minimum wage
Restructure housing benefits so as to reduce associated work disincentives		Recommendation maintained
Tighten screening of social benefit schemes	Reinforcement of controls, including via cross-checking of computer files	Fraud and errors remain substantial, better control and co-ordination of access to various welfare benefits still needed

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Table 16. **Structural reform recommendations and follow-up**[1] (*cont.*)
Based on previous and current *Surveys* and action taken since 1998

Recommendations in previous *Surveys*	Main actions taken	Current *Survey*: assessment and recommendations
Raise school enrolment and graduation rates	Sure Start programme introduced in early 2000 to help disadvantaged children under 4 years of age	
	Creation of Education Action Zones	
	Introduction of individual learning accounts to boost incentives for training at all ages	Low take-up rates so far, as funds too thinly spread to procure strong incentive; if take-up remains low, scheme should be more narrowly targeted
Competition		
Provide competition authority (OFT) with sufficient resources	Recruitment, training and equipment have been increased	Resources need to be targeted appropriately because of the proliferation of M&As
Focus OFT resources on sectors where competition is most limited	Enforcement powers have been enhanced	
	Complaints and whistle-blowers are encouraged, and notifications discouraged	
Regulation		
Provide sector regulatory agencies with sufficient resources	Sector regulators granted some responsibilities to promote competition	Concurrent enforcement of competition legislation by OFT and sector regulators may be difficult in practice
		Remove impediments to efficient use of land or property stifling business development in sectors such as retailing, hotels and software
Corporate governance		
Link boardroom pay more tightly to performance	Under review	No evidence that link has become tighter
Improve effectiveness of general assembly meetings	Under review	

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Table 16. **Structural reform recommendations and follow-up**[1] (*end*)

Based on previous and current *Surveys* and action taken since 1998

Recommendations in previous *Surveys*	Main actions taken	Current *Survey*: assessment and recommendations
Entrepreneurship		
	New 10% starting rate of corporation tax for smaller companies, cut in small business tax from 23 to 20%	While tax breaks for SMEs can compensate existing distortions, the introduction of further distortions should be kept to a minimum
	Capital gains tax reform	
	Creation of new Small Business Service	
	New Enterprise Management Incentives scheme	
Innovation		
	More generous R&D tax credit from April 2000	
	Launch of a national and a network of regional venture capital funds	

1. Other measures have been announced but have not come into effect yet. Others still are not discussed in this *Survey* or are too small in scope for inclusion.

Source: OECD.

product market competition, entrepreneurial dynamism and educational achievements. The benefits of low barriers to business start-ups, foreign trade and investment may indeed have been partly offset in the past by a competition policy which has long been ineffective. The implementation of the new Competition Act in March 2000 has largely addressed this deficiency by taking a clearer stance against anti-competitive agreements and abuse of dominance, in line with EU rules. To ensure a more effective enforcement of these principles, the power, independence and resources of the OFT have also been augmented. It will be important that concurrent powers be applied consistently.

Even though administrative barriers to start-ups remain low, entrepreneurial activity has remained disappointing, at least set against the United States. In order to foster a culture of entrepreneurship, recent budgets included tax and other measures, mostly targeted at SMEs, to raise investment in higher-risk sectors as well as to boost spending in R&D. A number of them are intended to offset existing distortions working against SMEs. However, it might be preferable to address those distortions directly rather than to introduce new ones. Moreover, despite the overall business-friendly regulatory framework, regulation continues to hamper competition in some sectors and rules regarding the use of property or land may leave potential economies of scale untapped in some industries.

The United Kingdom's mixed productivity record over the past 15 years has been partly compensated by an enviable labour market performance, allowing indeed for the catch-up in living standards. Overall, participation rates are relatively high and unemployment has fallen steadily over the past seven years. However, in specific categories – particularly old workers, young people and lone parents – participation rates have not risen much and worklessness remains pervasive, exacerbating poverty. Measures have been introduced to help long-term unemployed move back into work, combining ALMPs with reform of the tax and benefit system. Under the New Deal programmes, a strong emphasis is placed on intensive job-search counselling for those most at risk of falling into long-term inactivity and welfare dependency. Where more than job-search assistance is required, subsidised work, vocational training or full-time education are offered to improve employability. The NDYP goes as far as making the JSA conditional on accepting one of the options and the Government has announced that it will extend this feature to all long-term unemployed under the New Deal for those aged 25 and over from April 2001. While more time is needed for a full assessment, the preliminary results look encouraging in the case of young people, albeit less so for other categories. The Government's efforts to closely monitor the effectiveness of the new programmes are commendable and should facilitate a critical review once sufficient information has been collected.

In order to encourage labour market participation, measures have also been introduced to raise in-work benefits relative to out-of-work income support.

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One major step in that direction has been the implementation of a more generous tax credit for working families, which significantly raises participation incentives, especially for lone mothers or couples with children with no one at work. The effect on the number of hours worked by those already employed is much less clear, however. The introduction of a minimum wage, of "family-friendly" labour market regulation, as well as the implementation of the Working Time Directive, may also have made joining the labour force more attractive for low-skilled workers. However, the reforms of the tax and benefit system engaged so far have made a review of the housing benefit all the more pressing, lest it undermine the positive effects of other reforms on the incentives to join the labour market. Moreover, while these measures can be expected to raise labour supply, they may have the opposite effect on labour demand given that by raising the administrative and compliance costs to firms, they quickly increase non-wage labour costs. So far, there is little evidence that these measures have had a significant adverse effect on job creation, possibly in part because in a flexible labour market, wages can adjust to absorb some of the increase in non-wage costs.

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V. Public expenditure reform: the health care sector

Public spending on health care accounts for a bit less than 6 per cent of GDP and 14 per cent of general government spending, and is on a rising trend. The NHS employs around 1 million persons, mostly in hospitals, and its wage bill absorbs one-quarter of the total public sector wage bill. Containing expenditure pressures has therefore traditionally been an important concern, leading to a number of reforms of potential relevance for the public sector at large. This chapter first briefly describes the health system in place through 1990 and the one that replaced it. The latter's merits and drawbacks are then assessed. This sets the stage for a presentation of the overhaul of the NHS undertaken by the Government that came into power in 1997.[100] While it is too early to pass an overall judgement on a system that is still absorbing the changes, the chapter ends with some preliminary lessons. All along, the focus is on public health expenditure management more than on health issues *per se*.[101] Moreover, alternatives to the existing set-up involving a significant increase in private funding are not discussed.

"Quasi-markets"

The early 1990s saw the most significant restructuring of the NHS since its foundation, with the injection of a dose of competition into what came close to a command-and-control system. The results were mixed, however.

Pressures for change built up during the 1980s

The NHS was created in 1948 as a publicly financed and centralised system providing free universal access to health care. Those features were essentially preserved over the next four decades, despite some erosion of the principle of free access, notably in dental and optical care, and for pharmaceuticals. Regional budgets for hospitals and community care services were set up on a per capita basis adjusted for demographic and other factors, and passed on to hospitals and other facilities via district health authorities (HAs). General practitioners (GPs) were self-employed and paid according to a central contract involving a mix of capitation, fee for service and other payments. They provided ambulatory services and acted as "gatekeepers" for non-emergency hospital care. Patients could

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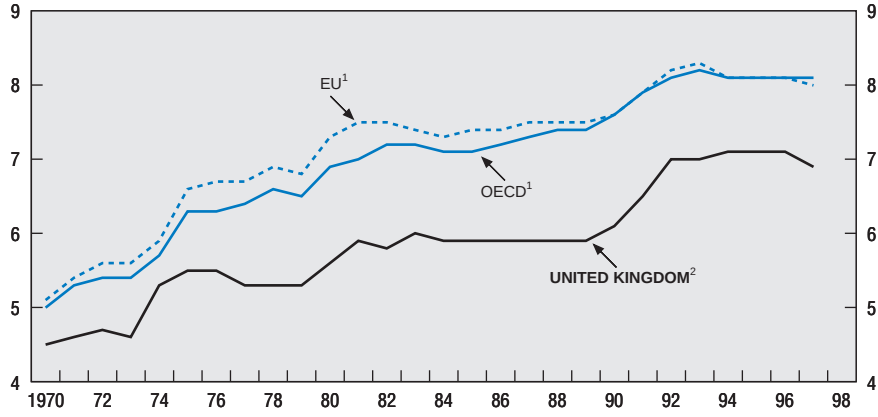
Figure 29. **Health spending**
Per cent of GDP



1. Unweighted averages. The OECD total excludes the Czech Republic, Hungary, Mexico and Poland.
2. Excludes private nursing home expenditure.

Source: OECD *Health Data 99.*

be enrolled with only one GP at a time. In this context, there was scarcely any competition between hospitals.

Contrasting with experience in many other OECD countries, budget limits were generally strictly enforced, especially on hospitals. As a result, total health care spending was relatively low when viewed from an international perspective (Figures 29 and 30).[102] Hard budget constraints were associated, however, with rigidities in resource allocation, rationing and queuing, and a lack of sensitivity to patients' needs and tastes. Among other incentive problems, hospitals lacked the motivation to properly use available capacity or dispose of redundant assets. With spending slowing and demographic and technological developments stoking demand, dissatisfaction with the NHS grew. The system was subjected to an official review in 1988, which led to wholesale reforms, described in the health care chapter of the 1994 OECD *Survey*.

Introducing competition and contracts

The reforms were proposed in a 1989 White Paper, enshrined in 1990 legislation, and implemented as from 1991. The aim was to preserve largely free access to health care, essentially financed by taxation (for over three fourths) and NICs (for over one-eighth), but to have providers of specialist services compete

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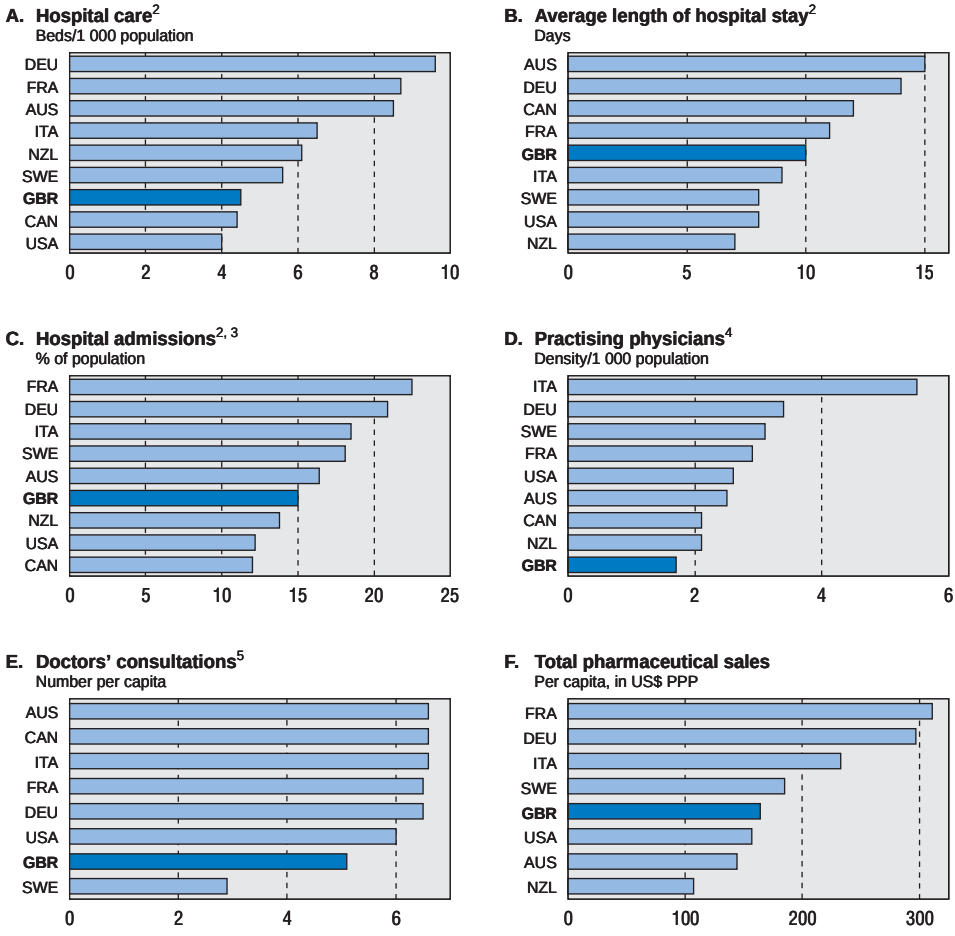
Figure 30. **Resource use in the health care sector**
1996[1]



1. Or latest year available.
2. Including other nursing and residential care facilities or establishments providing in-patient care.
3. Data for the United Kingdom cover only England, and are tentatively corrected (notably by subtracting day cases) in order to ensure rough comparability with other OECD countries.
4. For most countries, includes medical practitioners involved in non-clinical activities such as research, industry, teaching and administration. Data for Germany are in full-time equivalent terms. Data for Italy, Sweden and the United States appear to include those entitled to practise but not necessarily active.
5. Data for Sweden exclude consultations at mother and child clinics.

Source: OECD *Health Data 99.*

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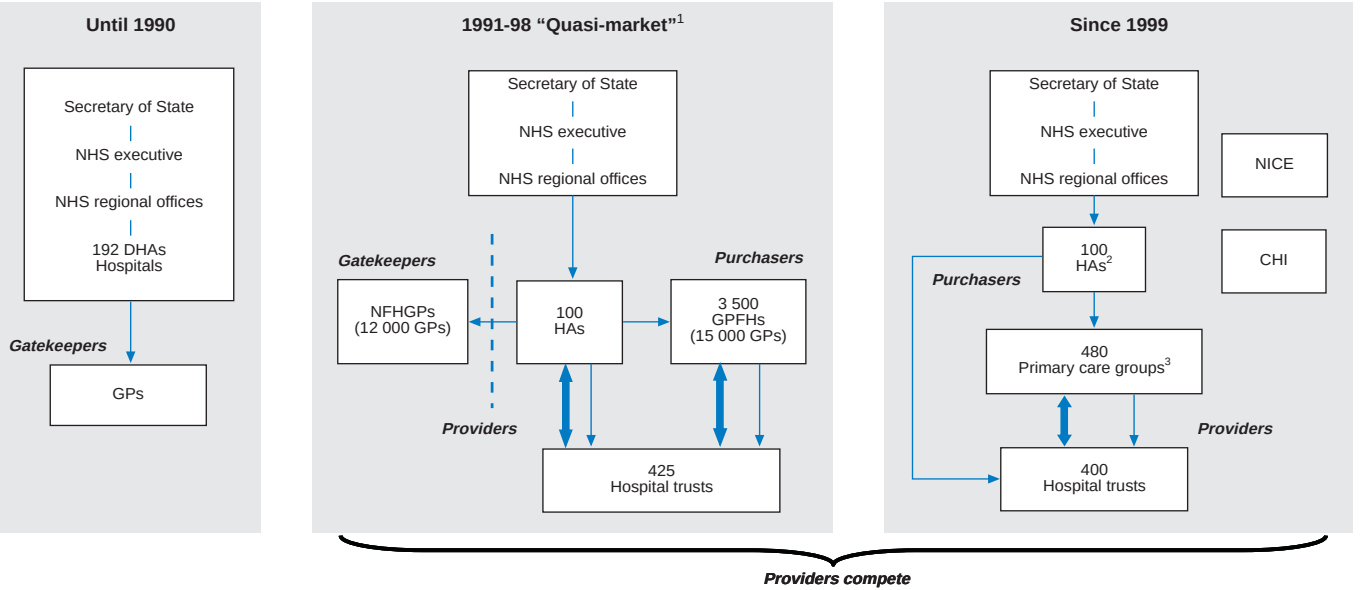
Figure 31. **Secondary care access and financing: stylised features**
England



Symbols

A ⟶ B Financial flow

C ⟷ D C and D contract together

Glossary

NICE	National Institute for Clinical Excellence	(D)HA	(District) Health Authority
CHI	Commission for Health Improvement	GPFH	GP fundholder
NHS	National Health Service	NFHGP	Non-fundholder GP
GP	General practitioner		

1. Figures are for FY 1997/98.
2. HAs remain purchasers for some specialised services.
3. Evolving into Primary Care Trusts.

Source: OECD.

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in a "quasi" or "internal" market for secondary health care by separating them from, and having them contract with, purchasers. The latter were of two types (Figure 31):

- *First*, the HAs, whose role was recast from organisers and providers of care to evaluators of health care needs and contractors with service providers. In the process, their number was halved to 100 and they were merged with family health service authorities. They were allocated a budget to purchase secondary care based on the size and characteristics of their area's population.
- *Second*, the so-called GP fundholders, who were self-employed primary care doctors or groups of doctors with a large enough number of patients, volunteering to take part in this scheme. By 1997, they covered over half of the population. GP fundholders managed a budget which had to secure a defined set of hospital and primary care services and pharmaceuticals for their enlisted patients. This budget was deducted from the one received by the HA in the area in which the fundholder was situated. As the scheme evolved, different levels of fundholding were allowed: while small practices could purchase community services only, experimental "total purchasing pilots" (TPPs) were introduced allowing practices to purchase all forms of secondary care, including accident and emergency treatment.[103] Importantly, fundholders could keep any surplus they generated, as long as it was spent on services or facilities of benefit to patients (which by enhancing the value of the practice helped build up future if not current income).[104]

Non-fundholding GPs did not hold budgets for secondary care.[105] Their costs continued to be met by HAs. The latter also met those hospital care costs of GP fundholders that were typically not covered by the fund, namely emergency admissions and some elective care. As a stop-loss insurance, HAs furthermore paid any costs incurred by GP fundholders on a single patient in a given year in excess of £5 000.

On the supply side, hospitals and the providers of other services were corporatised as "trusts", semi-independent within the NHS. Trusts contracted on an annual basis with HAs and GP fundholders to provide services and in principle enjoyed some room for manoeuvre concerning pay, skill-mix, and service delivery. They were also allowed to borrow within certain limits. At the same time, trusts had to follow some central guidelines on pricing and investment. In particular, they were required to set prices so that the revenue earned on NHS contracts covered all costs including depreciation plus a given rate of return on net assets (Box 13). As regards investment decisions, since the 1980s a separate capital budget had been allocated by the centre to HAs for them to manage, except for large projects, for which approval had to be obtained from the Department of Health

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Box 13. Capital charging in the NHS

Capital charging was introduced in 1991 in the NHS, at the same time as the quasi-market.[1] The idea was to induce NHS trusts to use assets more efficiently by requiring them to pay for the capital at their disposal. Capital charging was also meant to facilitate comparisons with private sector provision, including via Private Finance Initiative (PFI) options. Proper accounting for capital costs was of course a prerequisite for fair competition between providers.

The mechanics are as follows. Assets are classified by status (operational; surplus, *i.e.* available for disposal; under construction; administrative) and by type (land, buildings, equipment and vehicles). Operational specialised assets are valued at depreciated replacement cost (DRC), *i.e.* gross replacement cost (GRC) minus accumulated depreciation. For land and buildings, GRC and DRC are assessed every five years by district valuers, and their value is indexed in between assessments. Land is not depreciated, and the lives of buildings are assessed by the district valuer (*i.e.* a property surveyor employed by the central Government). Surplus land and buildings are valued at open market value for alternative use, while other surplus assets are valued at recoverable amount. Assets under construction are valued at GRC and administrative assets according to whether they are operational, surplus or under construction.

Capital charges on land consist only of interest, and capital charges on buildings and equipment of interest and depreciation. Interest is set at 6 per cent in real terms on the relevant net assets (to reflect the Treasury's opportunity cost of capital). Exemptions from liability to capital charges include donated assets, assets under construction and fully depreciated assets.

These principles and the way they have been implemented have in a number of cases tended to overstate asset values (Heald and Scott, 1996). One problem pertains to aggregation. District valuers add up the separate values of the parts of an estate even though its replacement cost is often smaller: for example, many hospitals have expanded by accretion and could have their capacity replaced with fewer buildings. Another problem is that owing to changes in technology and work practices, assets are usually not replaced like with like. Hence, valuation ought to reflect the often lower replacement cost of the assets' productive potential rather than the cost of its exact replication. Otherwise, assets that were expensive to construct but have become unsuitable by present standards, and thus already impose penalising operating costs, would be over-charged.[2] Over-valuation, coupled with a fairly high required rate of return, understates trusts' financial performance *vis-à-vis* private sector comparators.

When capital charges were first introduced, they were neutral, in the sense that each purchaser received an additional allocation equal to the actual charges incurred by the provider and passed it on to the latter. Over time, they were gradually made to bite more, as the allocation became more dependent on weighted capitation and less on the characteristics of individual providers, bringing more pressure to bear on high-cost providers.

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Box 13. **Capital charging in the NHS** (*cont.*)

Trusts are paying 5 to 15 per cent of their income on capital charges, with an average of the order of 9 per cent, much of the rest being spent on personnel. In a context where purchasers' budgets are limited, *i.e.* where the size of the overall market cannot substantially expand, capital charges provide a strong incentive to prefer refurbishment to new building or to dispose of underused assets.[3] They also encourage the search for donations (which as yet are very marginal, except in paediatrics). The experience has been deemed sufficiently successful to be extended to all central government assets as part of resource accounting and budgeting (see Chapter III).

1. It had been advocated already in the late 1970s by a Royal Commission on the NHS.
2. Examples would include Victorian psychiatric hospitals or tower blocks built in the 1960s.
3. To the extent this is possible, as there are administrative and political restrictions to such divestiture and as there may be no market for some of these assets (Lapsley, 1997).

(DoH) following an investment appraisal. With the "quasi-market", this capital budget was split into a "block" and a "discretionary" component. The former was allocated by HAs on a depreciation-based formula and used to fund maintenance work, small building projects, and items of equipment. The "discretionary" component was also allocated by the HAs but served to finance major building schemes. When the size of the project exceeded a certain threshold, approval had to be sought by submitting a business case to the appropriate authority, which for very large schemes was the DoH and the Treasury.

Providers thus competed with each other and in some cases with private hospitals for contracts with HAs, GP fundholders, and private insurers. On the purchasing side, GP fundholders competed with HAs and with private insurers, although for many hospital services, notably emergency care, the HAs were monopsonists.

Mixed results

Assessing the merits of the quasi-market is difficult, not least because it was phased in gradually, amended along the way, and declared *passé* in 1997.[106] Notwithstanding, its advent brought about a number of improvements. *First*, the separation of purchasers and providers and the associated contracting process forced greater clarity on standards and prices. *Second*, cost-consciousness was enhanced throughout the NHS, contributing to reduce costs, especially in the most competitive local markets (Propper and Söderlund, 1998). *Third*, the standing of GPs within what was a rather bureaucratised system improved. GP fundholders

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in particular were among the main agents and beneficiaries of change, all the more as monitoring of the use of the surpluses they generated was rather loose. F*ourth*, efficiency gains were achieved insofar as the average length of hospital stays declined (Figure 32), both for geriatric and for acute care: day case treatment as a percentage of total elective care rose sharply (Figure 33),[107] although it remained lower than in the United States for example, and trusts faced new incentives to contract with other providers, such as nursing homes, or to discharge patients to their own homes.

On some other dimensions, progress was less clear-cut. It has been argued that the quasi-market produced overall efficiency gains, as the ratio of a cost-weighted activity index over resources used grew by around 2 per cent yearly in the first half of the 1990s against 1½ per cent in the 1980s.[108] This is a crude measure, however, since it aggregates activities such as outpatient attendances and inpatient spells, ignoring case-mix changes and *a fortiori* effectiveness in terms of health outcomes. It has also been estimated that average waiting times have been shortened in some specialities,[109] but overall, average waiting times did not decline.

At the same time, the quasi-market and the way it was implemented led to a number of problems. The first set pertained to contracting. Since contracts involved negotiation and monitoring of compliance, as well as financial information of a new sort, administrative costs soared, as noted early on (OECD, 1994). Contracting costs were larger the more sophisticated the contracts, block contracts being less costly to administer than cost-and-volume contracts (Paton *et al.*, 1997),[110] although on the other hand block contracts tended to perpetuate the pre-1991 pattern of some hospitals stopping operations before the end of the financial year, once their specified level of activity had been achieved (Klein, 1998). In this context, administrative costs rose from (an admittedly low) 8 per cent of total costs in FY1991/92 to 11 per cent in FY1995/96, while the number of administrative, clerical and especially managerial staff increased sharply. Moreover, HAs turned out to be in a weak position to contract, often lacking the medical expertise to bargain on equal terms with hospital specialists.

Secondly, competition remained restricted in several ways. Patients could not choose their HA and were apparently not given much extra choice as to procedures or providers of specialist care (Le Grand *et al.*, 1998). In many areas, HAs were facing a single or dominant hospital and, in contrast with GP fundholders, were reluctant not to contract on a large scale with that provider.[111] Thus, close to two-thirds of trusts continued to receive over two-thirds of their annual income from the local HA.[112] HAs could not retain or invest the surpluses they generated, thus being constrained when trying to time spending over periods exceeding the financial year, a problem acknowledged by the DoH and which led it in FY1997/98 to somewhat relax the requirement to break even each and every year (DoH, 1999*b*). Wage flexibility at individual trust level was limited, not least owing to strong

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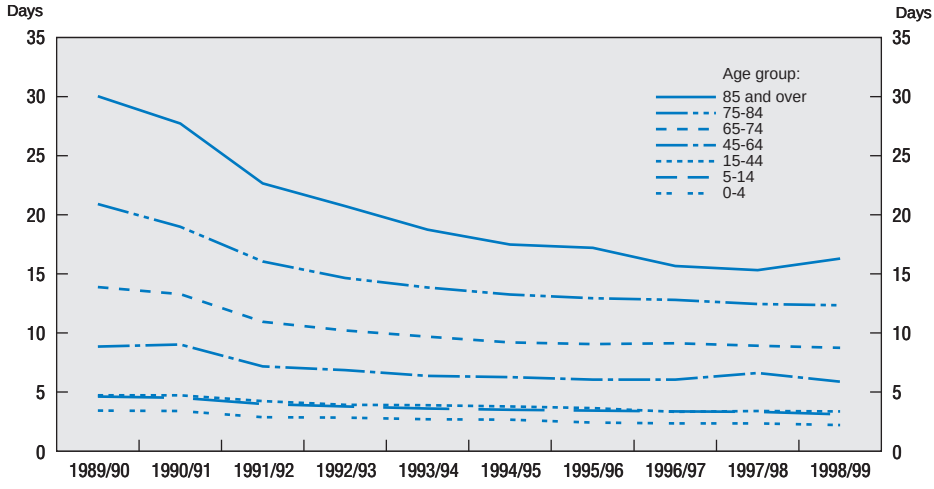
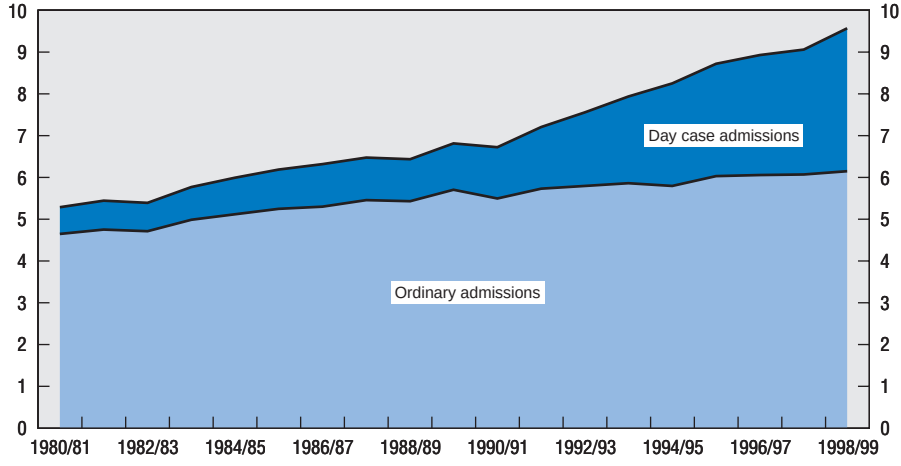
Figure 32. **Length of hospital stays**
General and acute sectors, average for each age group



Source: NHS.

Figure 33. **Hospital admissions**
General and acute sectors, million



Source: NHS.

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union resistance to the decentralisation of wage setting (Thornley, 1998). As noted, investment and pricing were also regulated from the centre, although zero mark-up on average cost rules were not systematically followed, with some price variability across providers not solely explained by variation in average costs, and some price discrimination in favour of GP fundholder purchasers (Propper *et al.*, 1998). A significant proportion of trusts failed to meet their financial targets,[113] despite the build-up of a considerable maintenance backlog,[114] widespread late payments of bills,[115] and a sharp drop in gross and net capital investment. Even so, few trusts were closed or merged, even among the smaller ones suffering more than proportionately from the higher management and transaction costs.

Thirdly, the quasi-market has been criticised on equity grounds for leading to a two-tier service favouring GP fundholder patients at the expense of the patients of the non-fundholders. While it appears that indeed fundholders sometimes obtained quicker admissions and generally better response from providers, some dualism also existed under the old regime, in which GP competences and activism varied a lot as well. Moreover, to the extent hospitals innovated and improved care in response to fundholder pressure, there may have been positive spillover effects for other patients. However, there was indeed a shift in budgetary resources away from non-fundholding to fundholding practices within the total allocation given to HAs, as GPs opting for the new status significantly increased referrals during the year preceding the switch in order to be granted a larger budget.[116] Still as concerns equity, and contrasting with many analysts' worries at the onset of the quasi-market, there has been little evidence of cream-skimming effects, *i.e.* of discrimination against expensive service users by hospitals and fundholding practices, not least thanks to the aforementioned stop-loss insurance mechanism (Le Grand, 1999).

The introduction of the quasi-market failed to solve some long-standing problems, as reflected in opinion polls. A Eurobarometer survey conducted in 1996 showed 41 per cent of respondents in the United Kingdom to be dissatisfied with the way health care was run, against an EU average of 28 per cent; 56 per cent to consider that fundamental changes were in order, against an EU average of 41 per cent; and 81.5 per cent of respondents to say that government should spend more on health care, against an EU average of 48 per cent, with a stronger readiness in the United Kingdom to finance the increase by raising taxes or health insurance contributions (29 against 11 per cent) (Mossialos, 1997). First and foremost underlying patient frustration were waits for non-emergency care that remained far longer than in most other OECD countries.[117] In part, the length of the waits results from the perverse incentives facing specialists, who are paid several times more when treating a patient privately than within the NHS. This means that the speed of health care delivery is in some cases a function of patients ability and willingness to pay, in contradiction with the professed ambition that care is

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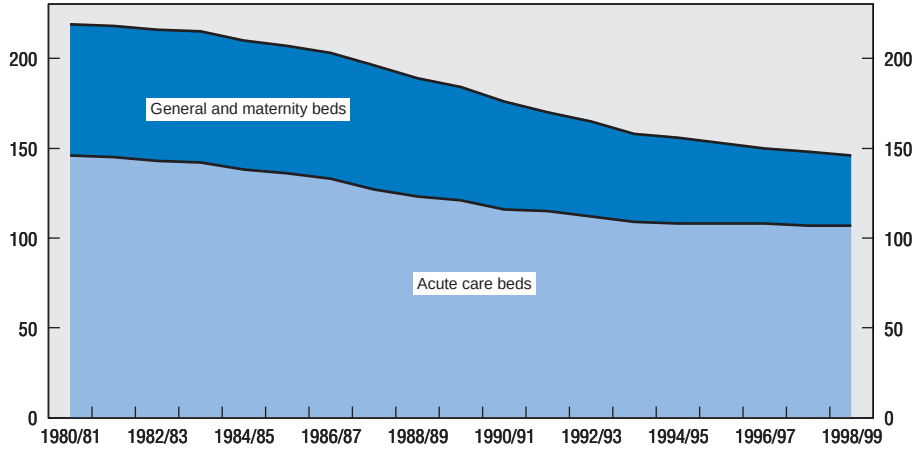
Figure 34. **Staffed hospital beds**
Thousand



Source: NHS.

to be free for all at the point of delivery and that the quality of care should not be influenced by recipients' income or wealth. Other unresolved problems included an inadequate geographical allocation and sometimes inefficient management of hospital beds: despite a 20 per cent decline in the total number of beds (Figure 34),[118] excess capacity persisted in a number of areas, as a result of political resistance to closures, arguably coexisting with under-provision in other areas, as suggested by widely publicised pressures on emergency care in recent winters;[119] in addition, the existing stock of beds is not used optimally, in part owing to information system deficiencies depriving bed managers of up-to-date knowledge of bed occupancy and availability, and hampering proper planning (NAO, 2000), but more importantly due to "avoidable" bed use, particularly by older people (DoH, 2000).[120] Notwithstanding some divestiture and efforts at better planning and managing, the configuration of the vast NHS estate had not been adapting swiftly enough to the changing needs for patient accommodation stemming from the aforementioned increasing recourse to day case surgery and shift toward care provision in community settings. Also problematic were severe health inequalities, some of which continued to worsen during the 1990s (Acheson, 1998), although their root causes mostly lay outside the NHS itself. Against this background, private provision of health care continued to gradually expand (Box 14).

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Box 14. Private health care

The share of the population using private alternatives to the NHS has been growing over the past two decades. Private insurance covers close to 7 million people, against 3 million in 1979, with the extent of coverage strongly correlated with income (40 per cent of those in the top decile are privately insured).[1] At the same time, the share in total health outlays of spending by individuals on private medical services rose.[2] The demand for private insurance increased rapidly in the 1980s, although it subsequently flattened out. While individuals with private insurance typically continue to rely on the NHS for primary and emergency care, private providers are making inroads, on a small scale, into the primary care market: 3 per cent of GP consultations are now privately paid for (against 13 per cent for elective surgery). Recourse to private health care can in the short term ease the pressures on the NHS but it can also reduce the supply of staff to the NHS and raises equity issues. Furthermore, if increased NHS funding leads to better performance, demand for NHS services stemming from the privately insured may rise.

1. The number of people with private medical insurance totalled 6.8 million at the end of 1998 (4.5 million on account of company-paid schemes and the rest on a personal basis). An additional half million people enjoyed private medical treatment benefits through non-insured schemes offered by employers.
2. It should be noted that private policies are often restricted packages paying out only if an NHS admission is not offered in a certain time or only for a set list of providers. Some of them pay only small cash sums per day of hospitalisation.

Furthermore, the bill for pharmaceuticals had been rising rapidly during the 1990s, notwithstanding increased recourse to generics. Outlays have increased by about 5 per cent a year in real terms, to some £6 billion (implying a sharp increase as a percentage of the total NHS budget, to 13.7 per cent in FY1997/98). Population ageing accounted for about a third of the growth in the drugs bill, and increases in average cost per item for most of the remainder. The latter primarily reflected "product mix effects", *i.e.* the displacement of older by more modern medicines, since the Pharmaceutical Price Regulation Scheme (PPRS) limited price increases for established branded medicines to negligible amounts.[121] The PPRS was renegotiated in 1999, and a 4.5 per cent price cut was agreed on branded medicines, coming into effect in October. Meanwhile, progress continued to be made in increasing the number of prescriptions written generically, the share of which expanded from 43 per cent in 1992 to 63 per cent in 1998.[122] GP fundholding offered participating GPs an incentive to make savings on their drugs budgets, in contrast with other GPs, who were set "indicative" prescribing budgets only.

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The new NHS

In mid-1997, the new Government announced the termination of the quasi-market. By 1999, several of the key elements of the new set-up were in place. Notwithstanding wide-ranging reorganisation, a number of important features of the quasi-market have in fact survived. Total public spending on health has received a major boost, accompanying an effort to redeploy resources.

Reorganising the NHS – *again*

The architecture of the new NHS was outlined in a December 1997 White Paper (DoH, 1997) and enshrined in the 1999 Health Act. A number of key new institutions started to operate in April 1999, but the Government has stressed that the reforms would take as much as a decade to produce their full effects. The new system was presented as a third way between "stifling top-down command and control" and a "random and wasteful grass roots free-for-all" (DoH, 1997). Based on the assessment that administered competition wasted resources and did not address some of the deep-seated health care problems, the new approach relies more squarely on co-operation and partnerships. Even so, the purchaser/provider split that was introduced with the quasi-market remains central, and purchasers retain the ability to change providers, albeit as a measure of last resort. In effect, efficiency is expected to be fostered by contestability, coupled with enhanced performance monitoring, in lieu of competition.

The new institutional set-up

More specifically, fundholder practices have been abolished and all GPs have had to join geographically based primary care groups (PCGs) (Figure 31).[123] The independent contractor status of most GPs remains unchanged. They continue to receive directly the various fees and allowances for providing general medical services that account for the bulk of their earnings.[124] The size of the population covered by a PCG varies from around 30 000 to 250 000, but typically hovers around 100 000. The average PCG includes some 50 GPs. One reason for this relatively large size is the desire to spread fixed administrative costs sufficiently widely. PCGs are expected to evolve over time, from advisory to their local HA purchaser to autonomous primary care trusts (PCTs) holding the primary and hospital care budgets, with the pace of change subject to local discretion. They commission – or will do so in due course – hospital services for their patients on the basis of rolling multi-year contracts, which are service agreements between HAs, PCGs and hospitals reflecting national standards and targets, spelled out in local three-year health improvement programmes. Annual accountability agreements are drawn up between PCGs and HAs. PCGs are allowed to retain budget surpluses, which can be spent on services or facilities of benefit to patients. The hospital trusts have remained and are also entitled to retain surpluses, but they have

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been given a new statutory duty pertaining to the quality of care. Over time, HAs will relinquish direct commissioning functions, except for certain very specialised services. The main financial flows in the new set-up are depicted in Figure 35.

Quality management is given added emphasis, under the heading of "clinical governance", which encompasses policies for managing risk and tackling poor performance, clear lines of accountability for the quality of care and extended lifelong learning (NHS Executive, 1998).[125] A new performance framework, with new indicators emphasising effectiveness and outcomes, is being put in place. It covers six dimensions: health improvement, fair access, effective delivery of care, efficiency, patient/carer experience and health outcomes. A first batch of results for 47 indicators was made public in mid-1999, pertaining to FY1997/98 and disaggregated to HA and, for some indicators, hospital level (DoH, 1999*c*). Although performance is quantified and even ranked for several indicators, the intention is to move away from crude league tables towards benchmarking and good practice emulation.[126] The indicators also help to plan services and to substantiate accountability arrangements. Furthermore, a new annual national survey of patient and user experience is being introduced. Also, a new Health Development Agency is being established, replacing the Health Education Authority. This advisory body is to maintain a map of the evidence on public health, commission research and evaluation and formulate recommendations, with an emphasis on the worst off and on narrowing health inequalities. A public health observatory will be created in each NHS region, closely linked with universities, to identify and monitor local health needs and trends and to set up disease registers, as well as to promote research. More recently, the Government has proposed that doctors be subjected to annual performance appraisals: poor results would cause them to be referred to independent assessment centres entitled to recommend retraining or sanctions.

National standard setting is introduced for the first time. National service frameworks (NSFs) are being established, setting standards with a view to improving quality and reducing unacceptable variations in service. NSFs for coronary heart disease and mental health have been published, to be followed by an NSF for older people this year and an NSF for diabetes in 2001. In addition, a new National Institute for Clinical Excellence (NICE) was created in 1999, to produce and disseminate clinical guidelines and referral protocols, and to drive good practice based upon evidence of clinical and cost-effectiveness. It is to appraise new treatments and technology and to advise the NHS on their clinical and cost-effectiveness and their place in relation to existing treatments. By centralising guidelines, it is hoped that NICE will remedy the equity problems arising from the fact that thus far each HA decided separately on the choice of drugs and other forms of treatment ("postcode prescribing"). In this sense, NICE is presented by the Government as "the biggest assault on the lottery of care in the history of the NHS' (Milburn, 1999). NICE itself is a light structure, and much of the technical work is subcontracted to academia and hospital professionals.

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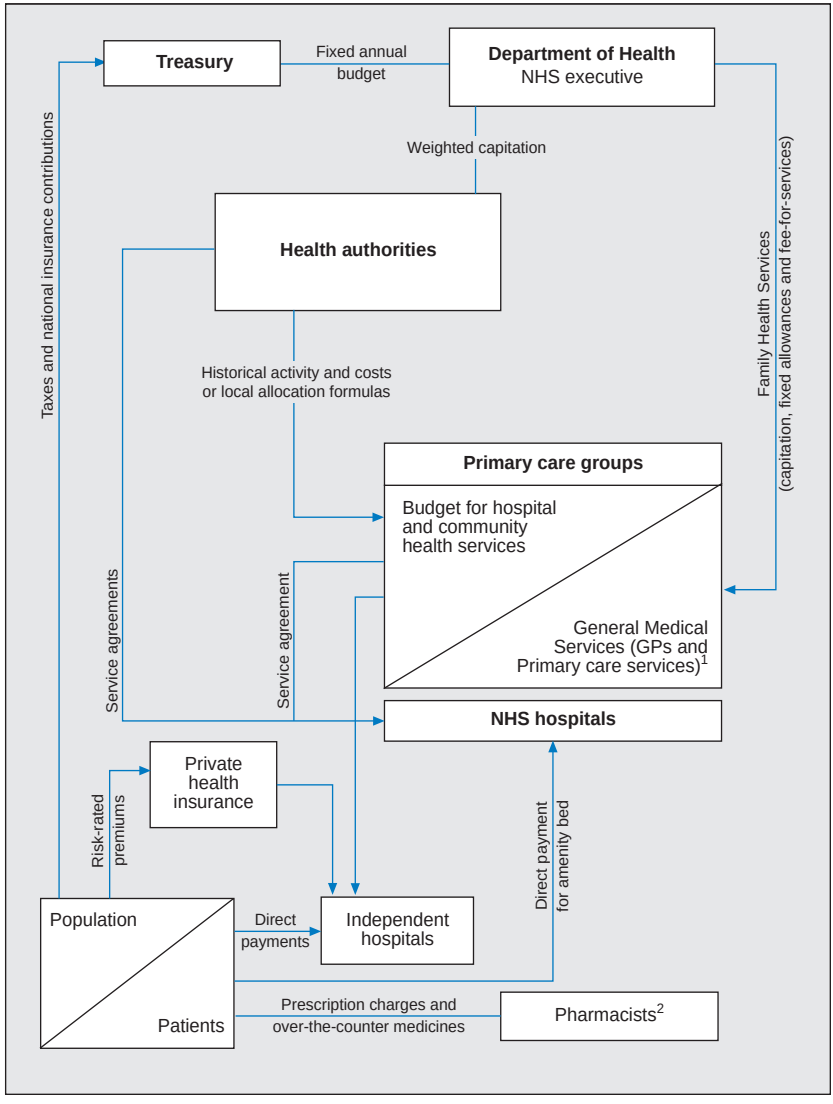
Figure 35. **Financial flows**



1. In most NHS hospitals, patients paying a supplementary charge can benefit from superior facilities known as "amenity beds".
2. Pharmacists are reimbursed by the Prescription Pricing Authority, a special Health Authority of the Department of Health.

Source: European Observatory on Health Care Systems (1999*b*).

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A new Commission for Health Improvement (CHI) has been set up to monitor the implementation of the standards set by the NSFs and NICE guidance. Local NHS health care organisations are to be reviewed every three or four years by this independent body. The CHI may be sent in by the Secretary of State to identify rapid action to address serious or persistent clinical problems. It may also be invited in by others to investigate local concerns about services.

Two new services have been inaugurated. One is NHS Direct, a 24-hour telephone helpline operated by nurses to offer on-the-spot advice on self-care or refer callers to the appropriate service, akin to what exists in the United States but offering an integrated, national service available to all. By end-1999, over half of the country was covered, and the service should be available throughout the whole of England by October 2000.[127] Early independent evaluation results indicate that this new service is proving very popular (Munro *et al.*, 2000). By providing upstream triage, it helps match services to needs. The same evaluation suggests that this is achieved without compromising patient safety or generating additional demands on the NHS – indeed, there is evidence that it has helped stem rising demand for out-of-hours services. The other new service consists of walk-in centres, piloted in 1999 in a variety of places, including airports and supermarkets. Staffed by nurses, they are open from early morning to late evening, seven days a week, and offer advice and treatment of minor ailments without an appointment. They are meant to supplement rather than to replace GPs. Walk-in centres can be particularly useful for patients unable to schedule appointments at regular hours or to make any appointment at all (homeless and refugees, for example). Yet another innovation, focused on the worst off, are health actions zones (Box 15).

More budgetary resources

Following an initial surge accompanying the introduction of the quasi-market, real NHS spending slowed. In the three years to FY1997/98, its annual growth rate averaged 1.5 per cent (in cash and gross terms, *i.e.* before subtracting user charges, receipts from sales of surplus land and the like) – significantly below the expansion of GDP. It increased to 2.2 per cent in FY1998/99, and under the CSR was projected to average 4.7 per cent over the next three years.[128] In the context of the March 2000 Budget, however, and ahead of the conclusion of the second Spending Review, the NHS was given a unprecedented multi-year boost, with funding to rise in real terms by 7.4 per cent in 2000/01 and by 5.6 per cent in each of the following three financial years.

The extra resources under the CSR are to finance a catch-up in some categories of NHS wages, additional staff recruitment and the rehabilitation of the capital stock, but they will also have to cover reorganisation costs. They are further meant to allow the shortening of waits, which remain inordinately protracted and

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Box 15. Health Action Zones

Since 1998, 26 health action zones (HAZs) have been created – for a period of seven years – covering a population of 13 million, in an attempt to target deprived areas with a particularly high incidence of ill health, including inner cities and coalfield communities. HAZs form part of the Government's agenda for tackling social exclusion, alongside other initiatives such as Healthy Living Centres and Education Action Zones. The idea is to break down the bureaucratic impediments to modernising local health services by bringing together the local institutions whose activities have a bearing on health – including private sector and community groups – and having them agree on a detailed joint strategy to improve the health of the poorest citizens.* It is hoped that in this way the typical fragmentation of services and associated dilution of resources can be overcome. Experience across HAZs is shared *inter alia* via a dedicated website (*www.haznet.org.uk*). A total of £320 million is being made available to assist HAZs in the three years from FY1999/2000.

Specifically, in the Tyne and Wear HAZ for instance, a new approach to the health of the elderly has been adopted, involving a new risk assessment system, improved access to public transport, better special housing, and a home insulation programme. In the Luton HAZ, a joint bid is being undertaken with the Employment Service, in the context of the New Deal initiative (see Chapter IV), to improve the health of the worst off by focusing on employment.

* Back in the 1980s, a number of initiatives were launched in the same spirit – including Healthy Cities, the Urban Programme, City Challenge, and regeneration bids – but with more limited health objectives.

on some measures have worsened since 1997 (Table 17).[129] For example, as regards cancer, the DoH has promised to speed up procedures: from this year, everyone with suspected cancer should be able to see a specialist within two weeks of their GP deciding they need to be seen urgently and requesting an appointment. The extra resources are also intended to reduce health inequalities, in particular concerning premature deaths from heart disease and stroke, cancer and mental illness. Part of the new money is ring-fenced in a special £5 billion "Modernisation Fund", *i.e.* it is earmarked for improvements. One of the envisaged measures to reduce inequalities involves changes to the budget allocation formula so as to gradually shift resources towards relatively deprived areas. The Government is committed to economising resources by cutting red-tape, notably through a reduction in contracting costs (the target being to save £1 billion over this Parliament). A national plan, to be announced in the summer, will set out how the resources from FY2001/02 will be spent.

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Table 17. **Waiting lists and times**
NHS Trusts in England, end-year

	1997		1998		1999	
	Number of patients	% of total	Number of patients	% of total	Number of patients	% of total
First outpatient appointment						
Number of GP written referral requests seen	1 888 560	100	1 894 358	100	1 937 844	100
of which: number who waited						
Less than 4 weeks	747 252	40	696 199	37	686 997	35
Between 4 and 12 weeks	789 824	42	780 267	41	764 291	39
Between 13 and 25 weeks	284 127	15	329 383	17	360 287	19
26 weeks or more	67 357	4	88 509	5	126 269	7
Hospital inpatient waiting list (all specialties)						
Ordinary admissions: patients waiting	593 115	100	541 310	100	514 224	100
Less than 3 months	246 379	42	231 271	43	222 702	43
Between 3 and 5 months	143 959	24	132 174	24	125 373	24
Between 6 and 11 months	160 855	27	142 504	26	130 887	25
12 months or more	41 922	7	35 361	7	35 262	7
Day case admissions: patients waiting	668 800	100	632 288	100	593 782	100
Less than 3 months	348 977	52	353 033	56	342 105	58
Between 3 and 5 months	155 042	23	141 396	22	132 386	22
Between 6 and 11 months	138 371	21	117 126	19	102 406	17
12 months or more	26 410	4	20 733	3	16 885	3

Source: NHS Executive.

In recent years, earnings for some categories of NHS employees had been lagging relative to others and to economy-wide earnings, contributing to low morale and difficulties in recruiting and retaining staff. Therefore, the Government in early 1999 granted significant pay rises. The increase was not staged and was more generous than in the rest of the public sector. Nurses, midwives and health visitors were awarded a 4.7 per cent, across-the-board increase, against 3.5 per cent for hospital doctors and GPs. Newly qualified nurses saw their starting salaries raised by 12 per cent, which brought them almost into line with entry salaries in teaching. At the same time, the DoH put forward proposals to streamline the complex system of pay scales and to tighten the link between performance on the job and pay awards. In the autumn of 1999, an agreement was reached to cap average working hours for junior doctors at 56 per week and to pay overtime hours at the full rate, as well as to free them from certain administrative tasks.[130] Moreover, pay incentives were improved for doctors in the most hard-pressed posts (such as surgery). In January 2000, the Government announced further large wage increases for NHS staff, ranging from 3.25 to 8.4 per cent, implying significant hikes in real

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terms. The awards are to be implemented without staging, but the Government warned they should not be seen as a norm for other groups, such as teachers.

The United Kingdom has a low number of physicians per capita, at 1.6 per thousand (which is more than one standard deviation below the OECD mean of 2.7). One-quarter of these are graduates from foreign medical schools, mostly from developing countries, as the number of graduates from medical schools in the United Kingdom has not kept pace with the rising demand for doctors (Table 18). Acute shortages of doctors, as observed in some specialities, are detrimental to health outcomes.[131] These staffing problems have been recognised and efforts have been deployed to step up the hiring of doctors, which have recently been intensified. The present Government has also agreed to a 20 per cent hike in places at medical schools, to be phased in over the next five years, which would stabilise the share of foreigners in the medical workforce if medical employment continued to grow at its (low) historic rate. Improved staffing levels would allow for more sustainable workloads and thereby facilitate the wholehearted implementation of the new clinical governance principles.[132]

As noted above, capital investment in the NHS declined until FY1998/99, even as health service infrastructure retains many pre-NHS features: half of the beds in NHS hospitals are located in accommodation built before the First World War, and three quarters of ward blocks are hand-me-downs from the days of charity, voluntary and municipal and emergency wartime hospitals. Therefore, the CSR completed in mid-1998 proposed a sharp increase in investment. Much of the planned increase

Table 18. **Doctors**

Number of NHS doctors in England by country of qualification[1]

	1991	1998
All United Kingdom qualified doctors	**56 800**	**64 160**
Hospital medical consultants	13 120	16 650
Unrestricted principals	20 470	22 170
Junior doctors	17 080	19 980
Others	6 120	5 350
Doctors qualified overseas	**17 880**	**24 070**
Hospital medical consultants	2 710	4 390
Unrestricted principals	5 210	5 220
Junior doctors	7 170	9 800
Others	2 790	4 660
Total	**74 680**	**88 230**
Hospital medical consultants	15 840	21 040
Unrestricted principals	25 690	27 390
Junior doctors	24 250	29 790
Others	8 900	10 000

1. Figures are rounded, hence elements may not sum to totals.

Source: Department of Health.

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stems from an acceleration in the construction of hospitals under the PFI scheme (described in Annex III). In many cases, this involves major restructuring of the physical asset base, with premises being centralised on a single, usually cheaper, site.

A major change in the way budgetary resources are allocated in the new system pertains to the annual budgets handed down to PCGs by HAs. In the quasi-market, GP fundholder budgets were partitioned, with limited scope to move funds between the envelopes for emergency care, waiting list surgery and drug treatments. Henceforth, and irrespective of the PCG's level of responsibility, its budget is unified, so that resources can be matched locally against patient needs. This budget covers a much broader range of services than the typical GP fundholder budget used to. In that sense, it resembles the more comprehensive

Box 16. Budgetary envelopes and risk diversification

A "fair" budgetary formula for individual practices should produce an unbiased estimate of the expected spending level in each practice if it responds in a standard fashion to its patients' needs. For a number of reasons, actual spending patterns are likely to deviate significantly from what such a formula would predict (Smith, 1999). *First*, some relevant patients' characteristics may not be taken into account in the formula, which can only embody a limited number of variables. *Second*, variations in clinical practice – which are likely to explain a considerable portion of spending variations – can only partly be controlled by GPs, as they are also influenced by specialists. *Third*, random variations in sickness levels are very large for individual patients. *Fourth*, variations in the price of treatments may also be substantial, as was the case in the quasi-market. Based on the variations arising from patient characteristics, clinical practice and levels of sickness, Martin *et al.* (1997) estimated that for a population of 10 000 there is a probability of one-third that spending would deviate by more than 10 per cent from a "fair" annual budget, but that for a population of 100 000, this probability drops to only a quarter of 1 per cent. Such estimates highlight the crucial importance of population size for risk diversification and suggest that setting health care budgets for small populations, such as those corresponding to individual practices, will be challenging.

Ways to cope with uncertainty would include: the pooling of practices, in the form of joint budgets for voluntary associations of practices within a PCG (although this may add another layer of management costs); pooling risk over time, by extending the budgetary horizon beyond one year; transferring budgetary responsibility for predictably expensive patients or treatments to the PCG; building up contingency funds at PCG level; identification of the source of departures from budgeted expenses, which may reflect systematic risk factors, such as capitation formula weaknesses (a managerial issue), deviations in clinical practice (which call for clinical guidance) or in contract prices (necessitating consultation with providers or referral guidance).

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TPP budgets. The issue arises of how budgetary control will be maintained within a PCG, which typically includes some 50 GPs. Clinical guidelines can help reduce variations in referral practice but do not suffice for budgetary control purposes (Box 16). The Government therefore expects that over time each PCG will extend indicative budgets to individual practices for the full range of services, with some supporting incentives (DoH, 1997). This will require more co-ordination between practices than occurs at present. As the experience with TPPs has illustrated – even though they typically included only a handful of practices – it is difficult to ensure that practices stay within budgets and adhere to referral and prescribing protocols.

Assessment[133]

The experience with the quasi-market provides some interesting lessons, even if a comprehensive assessment is difficult. One of the main conclusions is that the separation of purchaser and provider of health care has merits, notwithstanding the implied contracting costs. The full extent of the efficiency gains it allows cannot be ascertained, however, not only because, as noted six years ago (OECD, 1994), competition remained administered with a rather heavy hand, but also because such gains take more time to materialise than the period allowed for the quasi-market to work itself out. While GP fundholders contributed to a better allocation of budgetary resources, the latter was far from optimal for many trusts.

Implementation of capital charging was slow, owing to the sheer scale of the task in an environment where asset registers were often absent or inaccurate, but also because of the NHS's notorious weaknesses in IT,[134] and staffing problems in the central NHS administration. In a number of instances, capital charging came to be perceived more as a financial accounting ritual than as a management tool. Even so, capital charging would appear to have contributed to rationalising capital stock utilisation, for instance via greater recourse to flexible bed management techniques (bed pools, multi-use beds). Given the poor condition of whole portions of the NHS estate, and the age of many buildings, this is important.

A number of deep-seated problems persisted throughout the quasi-market era, partly related to the basic fact that the United Kingdom has continued to strictly cap the resources devoted to health care.[135] A particular feature of this cap is that the number of physicians has been restricted even more tightly than health expenditure itself, leaving the United Kingdom with the lowest ratio of physicians per unit of health expenditure (adjusting for purchasing power parity) among OECD countries paying physicians mainly by capitation and salary. Since there is some evidence that paying physicians in this way can depress their productivity compared with fee for service pay, physician output in the United Kingdom may have been doubly constrained. Possibly as a result, health outcomes in the United Kingdom are mediocre in some respects, *e.g.* certain cancer survival rates appear

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Box 17. Key OECD conclusions and recommendations on health

- The initial proliferation of reform initiatives, overhauling existing arrangements and cutting across institutional boundaries, should now be followed by more focussing and prioritising, lest overstating the ability of the parties involved to enact change results in dilution.
- The reforms should be thoroughly scrutinised by independent auditors as they unfold, and the framework adjusted as appears needed in the light of experience.
- Further support should be given to the effective development of the split between commissioners and providers of secondary health care within the NHS.
- Effective contestability is important and HAs should not be allowed to prevent PCGs from switching providers.
- More attention needs to be paid to the internal management and support of PCGs, to the distribution of influence and resources across practices, and to the incentives facing practices, in order to ensure that PCGs improve primary care and contribute to stimulating improvements in secondary care.
- Given the low numbers of specialists per capita and the apparent weakness of the financial incentives for these physicians, consideration should be given either to accelerating their recruitment, at least in shortage areas, or to improving the financial incentives for the current specialists, within suitably controlled increases in hospital budgets.
- The restructuring and modernisation of the NHS physical infrastructure should continue, albeit with a view to avoid (re-)creating local oversupply.
- The financial commitment horizons for modernisation monies *lato sensu* should be extended as much as possible.
- Performance indicators need to be developed and refined further, and published with the proper caveats.
- The financial control of trusts should continue to be improved, which should be facilitated by the greater flexibility they now enjoy with respect to organising their spending over periods exceeding the fiscal year.
- Asset registers should be used more actively for management decisions.
- The emerging international evidence on relatively poor health outcomes for some conditions and the exceptionally long waiting time many patients experience for specialist care in the United Kingdom warrant cross-country research on the causes and potential remedies.

to be closer to Eastern than to Western European averages (Coebergh *et al.*, 1998) and the incidence of heart attacks is higher and has improved less than elsewhere (Robinson *et al.*, forthcoming).[136] Even in the areas where outcomes compare more favourably, protracted waiting, brief consultations and frequently poor infrastructures mean that the quality of health care delivery is not up to par. Somewhat in contrast to

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these points, cost containment has not been quite as rigorous as may seem from the NHS budget allocation, as there has been a trend over the past two decades to shift some costs, notably for long term care, out of the NHS, to other public budgets or to users, which has raised equity problems.[137]

The latest wave of wholesale reforms, outlined in 1997 and gradually phased in since, involves less of a reversal of the previous one than sometimes suggested. The key purchaser/provider split remains. Competition is still to play a role, albeit more in the form of contestability. Even though membership is no longer optional, PCGs could be viewed as a logical development of TPPs, which were the ultimate extension of fundholding (but in contrast to TPPs, coverage of a defined geographical area avoids cherry-picking of low-cost patients). Some budgetary wherewithal is retained by trusts and PCGs, with the possibility to allocate budgets over periods exceeding one year and, for PCGs, with unified instead of partitioned budgets. The most advanced PCGs – primary care trusts, or PCTs (of which there are now 17) – can also own and operate community health services. The emphasis on properly measuring outputs and developing better indicators to do so should constitute another welcome element of continuity.

Even though they try to preserve what worked and to remedy what did not in the quasi-market, the new arrangements are not risk-free. F*irst*, it is far from clear that the short-term reduction in administrative costs will be maintained while institutions continue to be reorganised. Improving management systems and information support will absorb considerable resources and take several years. S*econd*, the traditional centralisation that endured in the 1990s is reinforced in some important ways. Harmonising standards and monitoring compliance with the latter may not do enough to level up the quality of service across the country. The attempt to do so might uncover a need to adjust resource allocation, for example in terms of sectors, input ratios or geography. The introduction of unified budgets for HAs and PCGs/PCTs, however, should make it easier to rebalance spending between sectors or inputs if needed, and the geographical allocation of resources is currently under review, with the objective to reduce avoidable health inequalities. T*hird*, if contestability is to be effective and to have the hoped-for impact, HAs should indeed let PCGs switch providers. F*ourth*, it remains to be seen how fair budgetary discipline can be achieved within PCGs at reasonable managerial cost, given the heterogeneity of their membership and the novelty of peer pressure for those GPs who had not opted for fundholder status under the quasi-market. F*ifth*, specialist doctors continue to face a strong financial incentive to treat patients after NHS-hours for a much higher remuneration. S*ixth*, and more generally, it will be essential for the NHS to make the best possible use of the new-found and unexpected financial room for manoeuvre, which calls for a revision of existing spending plans. In any event, new schemes will have to be carefully assessed as they unfold, with more external evaluation than in the early years of the quasi-market.

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In addition to these potential hazards, some managers and practitioners who are being asked to work out on the ground the numerous and sometimes quite ambitious initiatives launched by the centre, may suffer from reform fatigue. In a system with tight overall budget constraints, NSFs should therefore be used as tools to openly clarify priorities. The discussions on partnerships and better service as well as the publicity given to increased funding have presumably raised expectations quite considerably, making it all the more challenging to meet them. Disappointment might lead to more prominence being given to the simmering debates on restricting the NHS to a core set of services, imposing charges or extending the role of private insurance.

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Notes

1. On an annual basis, however, there have been longer expansions.
2. A general debate surrounding the quality of official statistics and the status of the ONS, which is a less independent institution than in a number of other OECD countries, saw the publication of a Government Green Paper in February 1998, including options for improving the framework for accountability and governance of official statistics. The debate was further stimulated by serious problems with the quality of the average earnings index, which led to its suspension and overhaul. As a result of the Green Paper consultation, a degree of consensus emerged favouring the creation of an independent Statistics Commission, as set out in an October 1999 White Paper, *Building Trust in Statistics*. The new arrangements are to come into effect from summer 2000. The Government plans to review the case for statistical legislation after the Statistics Commission has reported on the issue two years hence.
3. In the case of beef, the bovine spongiform encephalopathy (BSE) crisis has contributed to depress prices. Farmers have received significant extra subsidies on this account, however.
4. Total farming income measures the return farmers earn from their labour, managerial and own capital inputs.
5. The Treasury's estimate is for the economy excluding the oil sector, while the OECD Secretariat's estimate pertains to the overall economy.
6. Households also hold floating rate assets, so the net effect of a change in short-term interest rates is smaller than what might be suggested by the fact that four-fifths of the outstanding stock of mortgages bears variable rates.
7. In this context, the Chairman of the Financial Services Authority recently worried about the deterioration of credit standards for new housing loans (Speech to Council of Mortgage Lenders, 25 February 2000).
8. The ONS has revised the net capital stock series downwards by 4 per cent, as a result of better taking into account capital scrapping in economic downturns and technological change, notably the fact that assets such as computers and related equipment have shorter lives (West and Clifton-Fearnside, 1999).
9. The quality of the producer price indices has been reviewed and improvements, including better sampling, are in the process of being introduced. Also under review are the retail/consumer price indices, on the one hand to assess potential upward measurement biases (see Cunningham, 1996), and on the other to determine how best to take into account novel distribution channels, notably e-commerce.
10. The projections for 2000-01 presented in Table 1 are the ones appearing in the recently published *Economic Outlook* No. 67.

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11. The tests are described in Chapter II, Box 3.
12. New Zealand and Canada preceded the United Kingdom, while Sweden, Australia and others followed. See Bernanke *et al.* (1999) for a cross-country perspective. It might be more precise to describe the strategy as inflation forecast targeting, but for the sake of brevity, the commonly used and more elliptic descriptor is used here.
13. In certain exceptional circumstances, however, the Treasury remains empowered to give the Bank monetary policy instructions.
14. Initially, publication took place six weeks after the meeting, *i.e.* after the following one had taken place, which could be rather confusing when policy had already moved on.
15. A short statement explaining the decision is often published right after meetings, although not always (for instance, not in November 1999 nor in February 2000).
16. This assumption was adopted before the introduction of the new framework. In a context where the Treasury took interest rate decisions, it was useful as an expositional device for the Bank to signal, for example, that should the Treasury shy away from raising rates, inflation would rise above target.
17. The fan charts are a helpful device but are not free of interpretation issues, as discussed by Wallis (1999) and Vickers (1998).
18. Mean, mode and median have at times differed significantly, by up to half a percentage point (in August 1997).
19. The *Financial Times* has portrayed this perception as one of "neurotic tinkering" on the part of the MPC (5 November 1999), but had also earlier conveyed the opposite view that MPC meetings resembled "post-graduate seminars" and risked "paralysis by analysis" (King, 1999). In a plea for activism, Goodhart (1999) offers an entertaining anthology of derogatory press comments on "the fickleness of hawks today and doves tomorrow", and deplores that such outside criticism encourages policy-makers to postpone interest rate changes until the probability becomes high enough that a subsequent move in the same direction will be needed.
20. Huizinga and Eijffinger (1999), based on cross-country but somewhat old data, come down on the same side.
21. The Bank is not "graphophobic", however, meaning that it would not try at all costs to avoid having to send such a letter should some unforeseen disturbance arise which would be impossible or too costly to offset (Vickers, 1998). The need to issue an open letter is not necessarily a matter for censure. The open letter system is there to underpin the accountability and transparency of the new system.
22. Vickers (1998) discusses the concept and measurement of domestically generated inflation.
23. Deposits of households and private non-financial corporations have been expanding fairly steadily since 1995, but deposits of other financial corporations have behaved very erratically. The latter account for one-fifth of M4 but involve little interaction with the markets for goods and services (the bulk of their recent decline reflects the drop in securities dealers deposits, which are a by-product of their financial intermediation business).
24. Their dispersion, as measured by the distance between the extrema, has also tended to decline.
25. At the 5-year horizon, there has been a pick-up in 1999, but it should be borne in mind that the very small number of index-linked bonds in existence and their index-

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ation to the RPI rather than the RPIX mean that the inferred inflation expectations should be treated with care.

26. The decline in long rates in the United Kingdom has been influenced by a change in the rules applicable to pension fund portfolios and by a growing "shortage" of gilts.

27. It should be noted that the price index is not fully specified in this survey, creating scope for confusion. Moreover, for purposes of wage setting, it is not clear whether this class of expectations or those of trade unions and business managers are most relevant.

28. UIP stipulates that if, for instance, sterling interest rates are above euro interest rates, sterling will depreciate against the euro by an offsetting amount.

29. This assumption, which postulates that the exchange rate follows a random walk, empirically performs no worse than UIP.

30. This new assumption comes close to the exchange rate path derived on the basis of an eclectic econometric analysis of past experience by MPC member Wadhwani (1999).

31. Any future amendments to the *Code* are to be approved by Parliament.

32. This formulation differs somewhat from that of the golden rule laid down long ago in the German constitution, stipulating that in every single year the budgeted federal deficit should not exceed government investment (as defined in budgetary terms), except if the economy is out of "macroeconomic balance".

33. The *Code* allows for motivated temporary departures from the fiscal objectives and operating rules (although the Government must then publicly specify how and when it will return to them, and what objectives and rules apply in the meantime).

34. For more discussion, see for example IMF (1999*a*, 2000).

35. The framework has been redefined several times in less than a decade. Definitions of the expenditure target remained relatively stable from the IMF-loan induced redefinition of 1977 until 1990, when the "old planning total" was replaced by the "new planning total", which was in turn replaced in 1993 by the "new control total" (see Heald (1995) for details on the contours and problems of each concept). The control aggregate differs somewhat from the ultimate objective, conceived as the national accounts General Government Expenditure aggregate, which is affected by several exogenous factors that are hard to plan and control for.

36. The Reserve is small by historical standards, at 0.5, 1.0 and 1.2 per cent of total DEL expenditure for the three fiscal years of the CSR – a side benefit of low and stable inflation.

37. See also OECD (1993), which discusses this issue based on experience in Australia, Iceland, New Zealand, the United Kingdom and the United States.

38. The Department of Health for instance has four executive agencies: a Medical Devices Agency and a Medicines Control Agency, in charge of safety and quality standards, a Pensions Agency administering the NHS's pensions, and an Estates Agency, managing the NHS estate.

39. An early attempt dates back to 1919-20, when accruals accounting was introduced in the Army. It was discontinued, however, as asset valuation proved more difficult than anticipated but also because the implied devolution of responsibilities was deemed incompatible with central Army and indeed Treasury control (Likierman, 1995). The current effort has been described by the NAO – not usually given to hyperbole – as

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the most important change in this field "since Gladstone's reforms of the mid-19th century".

40. The remaining departures from the GAAP (*e.g.* regarding the way notional costs, such as capital charges, are treated) are spelled out in HM Treasury's *Resource Accounting Manual*. They have been endorsed by the Financial Reporting Advisory Board (a Treasury-appointed body created in 1996 to oversee government accounting and reporting standards).

41. In 1995, the then Chief Secretary of the Treasury cited the following examples: "What does it actually cost to train a Marine bandsman at Deal Music School? The answer which emerged from the Defence Costs study was a staggering £300 000 per bandsman when one factored in the capital costs of buildings or equipment. (…) What does it cost to recruit a service man or woman? The answer was up to £15 000 per recruit, after taking into account the costs of 200 Armed Forces careers information offices. Or what does it cost the Ministry of Defence to train a test pilot? The answer was a cash cost of £1.1 million, but the full cost including depreciation was around £2 million." (Speech to the Social Market Foundation, 22 February)

42. Next Steps Agencies were established as executive bodies within departments starting in the late 1980s to carry out operational (as opposed to policy) functions. They have greater autonomy than other parts of government departments to achieve clearly defined objectives within agreed resource constraints.

43. The *Pre-Budget Report* (PBR), at least three months before the Budget itself, the *Financial Statement and Budget Report* and the *Economic and Fiscal Strategy Report* at the time of the Budget, and once a year the *Debt Management Report*.

44. This audit is only meant to establish that the assumptions and conventions are reasonable. It is not intended to assess the quality of the macroeconomic projections.

45. As recently noted by the Treasury Select Committee, it would be desirable for a body independent of Government to be involved in the preparation of such a leaflet in order to guarantee its impartiality.

46. In this respect, it should be noted that local authorities have long used accrual accounting for current expenditure, and shifted in the mid-1990s from cash to accrual for capital spending as well.

47. The *Code* indicates that "consultation may not be possible in areas which carry the risk of significant forestalling activity by existing or prospective taxpayers; or could lead to significant temporary distortions in taxpayer and market behaviour, including disruption in the financial markets" (paragraph 16).

48. The Finance bill is published after 1 April and becomes law well into the fiscal year (but no later than August). The budget calendar has been modified twice during the 1990s. Until 1992, the budget was presented to Parliament in March. From 1993 to 1996, the presentation took place in November, increasing the lead time between the announcement of tax changes and their coming into force. The new fiscal framework brought the budget date back in March, although not at any fixed time within this month. For further details, see the Symposium on budgetary reform in *Fiscal Studies*, Vol. 14, No. 1.

49. This deficit is higher than what is typically deemed "safe" in the context of the EU Stability and Growth Pact (OECD, 2000*a*), as it exceeds the level that would allow automatic fiscal stabilisers to fully operate in a significant but unexceptional downturn (based on past experience). However, it ought to be recalled that the projections are based on cautious assumptions.

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50. National accounting conventions would classify the working families tax credit as an outlay, however, which would raise tax pressure by ½ percentage point.
51. If the amplitude of the economic cycle has really lessened, the magnitude of the errors shown in this table is somewhat overstated for prospective purposes.
52. Net worth (formerly net wealth) estimates are based on ONS balance sheet data for the public sector. At the end of 1996, the public sector was estimated to hold tangible assets of £405 billion set against net financial liabilities of £340 billion, leaving a balance – public sector net worth – of £65 billion. The main tangible assets held by the public sector are civil engineering works (including roads) and commercial and residential buildings. The main financial liabilities consist of government securities and National Savings.
53. See Cardarelli *et al.* (1999). Generational accounting measures the burden that current policy imposes on future generations by estimating the relative net financial position – in terms of taxes paid and benefits received from public spending – for each generation over its remaining lifetime. Such long-term projections are surrounded by major uncertainties, however: demographic trends may well change, and some future outlays – such as nuclear decommissioning – are extremely difficult to quantify.
54. IMF (2000) discusses the Government's pension reform proposals.
55. It is too early to establish with any precision to what extent fiscal "over-achievement" in FY1999/2000 reflects temporary as opposed to permanent factors. The cyclically-adjusted public sector net borrowing requirement for the elapsed financial year shown in Table 6 is an estimate produced before the end of that year and is subject to revision, as is the underlying GDP figure.
56. The rate of mortgage interest tax relief had been lowered in April 1998 from 15 to 10 per cent. The generosity of this benefit had been steadily eroding over the last 25 years.
57. The features of the levy described in this paragraph are as envisaged in April 2000, following the changes brought in by the March 2000 Budget.
58. Only those sectors covered by the EU's Integrated Pollution and Prevention Control Directive are eligible for the rebate. Compliance with such commitments may be difficult to monitor, however.
59. The one-year gap between the abolition of the allowance and the introduction of the credit adversely affects a number of households in FY2000/01.
60. Tobacco smuggling has soared in recent years: almost one in five cigarettes now smoked in the United Kingdom is smuggled. In order to stop and reverse this trend, a national network of scanners is to be deployed, prominent fiscal marks will be put on packs and penalties for smuggling are being stiffened.
61. While relatively few homes are valued at over £250 000, almost all commercial property transactions fall into that range. The rate applies to the whole price paid, causing some distortions (estate agents report deals involving a purchase price at the threshold limit but excluding items such as carpets and curtains, which are sold separately). It remains to be seen whether the increase in stamp duty will contribute to cooling the property market.
62. Such subsidiaries, known as "mixers", are typically located in countries imposing no or low taxes on dividend income.
63. These figures are broadly consistent with estimates recently published by the National Institute of Economic and Social Research (O'Mahony, 1999).

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64. However, low mark-ups do not necessarily imply low prices since they may also reflect high production costs, for instance if a weakly competitive labour market allows workers to appropriate a larger portion of income.

65. The study was commissioned by the Department of Trade and Industry (DTI) and conducted by AC Nielsen consultants. The threshold for statistical significance is one standard deviation. On a bilateral basis, the study found 18, 20 and 25 goods significantly more expensive in the United Kingdom than in the United States, France and Germany, respectively. Conversely, it identified 8, 11 and 8 goods that were significantly cheaper than in the latter respective countries.

66. While the study originally intended to cover some 100 goods, nearly half of them were dropped owing to insufficient comparability, especially with goods across the Atlantic. This was particularly the case for durable goods such as washing machines where different standards and specifications prevented a meaningful comparison.

67. The indicators are based on the OECD Regulatory Indicators Questionnaire and describe the regulatory environment in product markets in 1998 (Nicoletti *et al.*, 1999). The answers to the questionnaire, together with other information, were used to construct cardinal summary measures. The Questionnaire asked for information on more than 1 500 different regulatory provisions concerning economy-wide and sector-specific laws, regulations and administrative procedures. The focus was exclusively on the relative friendliness of these regulations to market mechanisms. No attempt was made to assess the quality of the regulations or their aptness in achieving their goals. Some important features of regulation were not covered, such as competition policy and environmental regulations. The country rankings should be interpreted with caution, especially when absolute differences are small, since many indicators lack precision.

68. Even so, some privatisation operations are still envisaged, notably of the National Air Traffic Service (following the lone example of Canada), and others are being debated in some circles (*e.g.* the London Underground).

69. The United Kingdom is by no means an exception among OECD countries in this regard.

70. So far, the OFT has been able to bring to court only a handful of the suspected cartels reported to it each year because it was unable to gather sufficient evidence to prosecute the rest.

71. Another objective of the new Act is to discourage the notification of harmless agreements to the OFT in order to ease the pressure on limited administrative resources.

72. The total number of M&A operations involving United Kingdom companies (excluding their acquisitions of non-EU firms) almost doubled between 1991 and 1999, approaching 3 300 last year. At the same time, their value soared from US$48 billion to US$316 billion (Thomson Financial Securities Data, provisional for 1999).

73. In an alternative proposal laid out in the consultation document, the decisions would be made by the DGFT and the CC would serve as an appeal tribunal as is the case under the Competition Act. It should further be noted that in these proposals, ministers retain the right to intervene in cases of (undefined) "exceptional public interest" and to override the CC's "green light" clearance.

74. However, the Government stopped short of adopting the recommendation of the Cruickshank report on competition and regulation in financial services to make the FSA responsible for arbitraging between regulatory and competition outcomes in financial services, feeling that this would confuse the responsibilities of the FSA with those of the OFT. For more details on the FSA, see IMF (1999*b*).

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75. There are other examples of proposed state aid. One is the financial support offered in early March 2000 by the Government to the beleaguered Harland & Wolff shipyard in Belfast – known for having built the Titanic – to win a contract for the construction of the Queen Mary II liner, in a package understood to total close to US$60 million (in the event, the contract went to a shipyard in France). Another is the aid proposed by the Government in April 2000 to the coal industry, in the context of the announced lifting of the restrictions on the building of new gas-fired power stations (once new electricity trading arrangements will have come into effect, in October 2000), which could amount to £100 million (but will depend on negotiations with the EC and coal producers as well as market conditions over the next two years).

76. For instance, average growth of R&D between 1990 and 1997 has been negative in manufacturing and less than 3 per cent in service sectors such as communications and computers and related activities (OECD, 1999*a*).

77. Other types of measures also have a bearing on entrepreneurship, for example the reform of insolvency rules that is under way.

78. Heretofore, the 10 per cent rate kicked in only after ten years, and fewer shareholders were eligible for it. One possible problem is that this change will encourage tax avoidance, with more people attempting to disguise what is effectively labour income as capital gain.

79. Indeed, the Government has taken a step in that direction in the way it has designed the new R&D tax credit for SMEs since those who undertake R&D but do not yet generate taxable profits receive a tax credit payment.

80. See, for instance, the evidence reported by Incomes Data Services (1999). Based on a survey of 334 firms, even annual bonus payments (the part of the pay package that has the most direct link with short-term corporate performance) are weakly related to changes in pre-tax profit. In addition, almost a quarter of share option schemes do not disclose the performance hurdle required to trigger them, while many do not even reveal whether they have one.

81. A study of 468 firms by Pensions Investment Research Consultants (1999) led to similar conclusions, observing that in 23 per cent of them the remuneration committee was not wholly independent.

82. The review focuses on reducing the complexity of company law and cleansing it of obsolescent and ineffective provisions, but also touches on corporate governance issues (DTI, 1998). It is to lead to a White Paper in 2001, with any resulting legislation expected in the next Parliament.

83. Differences in unemployment within regions are often greater than those between them.

84. Spending on ALMPs per person unemployed as a percentage of average worker earnings provides a better measure of the intensity of active policies.

85. The New Deal shares some of the features of the Wisconsin Works programme. The latter imposes a five-year limit on any state aid, assigns participants a personal advisor, and requires participation in active labour market programmes. In terms of cost per recipient, it has turned out to be rather expensive.

86. However, the Government has announced its intention to extend the compulsory nature of the NDYP to all long-term unemployed.

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87. Based on a national 1995-97 survey, 65 per cent of young people were found to have left unemployment within six months of the first benefit claim, and half of the new jobseekers had found one even before they were entitled to claim benefits.

88. The Institute for Fiscal Studies has estimated that several thousand pounds would be required to receive training leading to an accredited qualification.

89. The WFTC shares many of the features of the earned income tax credit in the United States and of the Self-Sufficiency programme in Canada.

90. While 16 is the minimum number of weekly hours of work required for eligibility, an additional £11.25 per week is paid to those working over 30 hours.

91. Minimum wages used to be set by Wages Councils industry by industry but this institution was abolished in 1993.

92. A number of firms have found it difficult to cope with the associated increase in the wage bill, as documented in the thorough report of the LPC (2000). Examples include nursing homes, hairdressers, horticultural producers, cleaners and security firms. At the same time, some large employers and employer associations have welcomed the minimum wage as a measure preventing small competitors paying extremely low wages from undercutting them.

93. The LPC report also indicated that the proportion of workers aged between 18 and 20 years earning less than £3.00 was less than 5 per cent.

94. This implies that less than 5 per cent of the firms surveyed had reduced employment or working hours.

95. In some cases, workers fearing reprisal may be reluctant to tackle employers about non-compliance, or even to register anonymous complaints. There is anecdotal evidence of collusion, in the informal economy, between employers and workers, with cash-in-hand payments below the minimum wage because the worker is defrauding the social security benefit system (LPC, 2000).

96. In fact, the typical beneficiary would be a female part-time employee working in agriculture, distribution, or hotel and catering services.

97. See the studies summarised in Box 4 of the previous *Survey*. More recent research pointing to the same conclusions encompasses Abowd *et al.* (1999) as well as Neumark and Washer (1999).

98. The United Kingdom had initially opted out of the Social Charter, which foresaw implementation of this Directive by 1996.

99. The main recommendations are summarised in Table 16.

100. The details of the institutional set-up described in this chapter pertain to England (which accounts for four fifths of total United Kingdom public expenditures on health and personal social services). Some arrangements are a bit different in Scotland, Wales and Northern Ireland.

101. Hence, the chapter does not dwell on health outcomes in comparison with other countries (see OECD, 1995), nor on prevention *lato sensu*, which leads into education, lifestyles, food safety and balance, environmental pollution and other important issues, and is the focus of the 1999 governmental White Paper *Saving Lives* (DoH, 1999*a*).

102. This held – and still holds – when controlling for GDP per capita, although less strikingly so in volume than in value terms, given relatively low health services prices in the United Kingdom. However, private nursing home expenditure (which amounts to

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around 0.4 per cent of GDP) is not reflected in the health spending series for the United Kingdom, biasing it downwards compared with most other OECD countries.

103. Some fundholders combined into multi-practice consortia called "multi-funds" with a view to economise on management costs.

104. This arrangement shares some features with the health maintenance organisations (HMOs) in the United States, which use primary care practitioners to manage care and contract for secondary care with hospitals.

105. Quite a number of these GPs chose to form "commissioning groups" working with the local HA to set purchasing priorities.

106. In addition, during the early years of the quasi-market, the Government did not encourage any thorough independent evaluations (partly for fear it would delay reforms). The void has since started to be filled, see Le Grand (1999) and the references therein.

107. It cannot be ruled out, however, that due to relative reimbursement rates, hospitals more and more treated some people as day case inpatients instead of as outpatients, for example for endoscopies, which would have led to overstate the surge in day cases.

108. For details on the construction of this measure, see OECD (1994).

109. For example, for hip fractures – which are common, easy to diagnose, and do not suffer from any self-selection bias on the part of patients (Hamilton and Bramley-Harker, 1999).

110. With a simple block contract, purchasers pay the provider a fixed sum for access to a range of services. Cost-and-volume contracts instead specify outputs rather than inputs, and purchasers pay a lump sum for services up to a certain volume and a price per case above it.

111. In part, this was because since trusts had to price to break even, the local HA would bear the financial consequence of fixed costs being recovered across a smaller activity baseline at the local trust.

112. Some measure of "localism" is natural, however, and does not preclude competition at the margin or at least contestability.

113. At the end of FY1997/98, HAs in England reported an accumulated deficit of £717 million, most of which represented a call on future NHS cash resources, and the NHS Executive considered that 29 HAs and 78 trusts were in serious financial difficulty. In addition, the NAO estimated that unrecorded liabilities for clinical negligence could amount to £1 billion (NAO, 1999*b*).

114. Which rose to £3.1 billion by FY1997/98.

115. Compliance with legal or contractual payment terms has improved significantly since it started to be monitored a few years ago, but in FY1997/98, still 20 per cent of bills were being paid late.

116. See Croxson *et al.* (1999). Fundholders were given a budget based on their activity in the statutory period before they became fundholders, and therefore had an unintended incentive to step up referrals during that period and to decrease them thereafter (or substitute emergency for non-emergency referrals).

117. See Donelan *et al.* (1999), who document that this is the case compared with the United States, Canada, New Zealand and Australia.

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118. The same trend fall in the number of beds has been observed in other OECD countries over the last two decades.

119. There is evidence that average bed occupancy rates exceeding 85 per cent are associated with bottlenecks in handling emergency admissions (DoH, 2000). There is also evidence that critical care beds are in short supply (Lyons *et al.*, 2000).

120. The NAO inspection showed that in over 90 per cent of trusts, bed managers obtain information on bed availability only through physical inspection and telephoning wards several times a day.

121. Unlike in most other countries, companies do not negotiate launch prices of new medicines with the Government, although they must keep within their profit band.

122. Greater use of "true" generics is made in the United Kingdom than in most other countries.

123. These PCGs have a number of similarities to New Zealand's independent practitioner associations, with the important difference that membership in the latter is not compulsory (Majeed and Malcolm, 1999). Likewise, they bear some resemblance with some physician-led HMOs in California.

124. However, a number of alternative remuneration schemes are being tried out, including salary payments.

125. For details from various perspectives on the somewhat slippery clinical governance concept, see the contributions edited by Lugon and Secker-Walker (1999).

126. Several potential biases may plague such indicators. For example, data reporting may be positively correlated with performance. Also, deaths occurring shortly after discharge are not counted in, which tends to overstate relative death rates in hospitals allowing longer stays.

127. In December 1999, an Internet version of NHS Direct was put on-line (*www.nhsdirect.nhs.uk*).

128. All figures based on nominal amounts adjusted by the GDP deflator (DoH, 1999*b*). To the extent that prices in health care tend to rise somewhat faster, service volumes are in fact rising less.

129. The Government has spelled out an objective of cutting inpatient waiting lists by 100 000 over this Parliament; to ensure that this is meaningful and not counterproductive (the reduction in numbers could be achieved through lengthening durations, or clinical priorities could be distorted, with inpatients displacing outpatients or easily treatable conditions crowding out urgent cases), it is complemented by measures of waiting times. For waiting time statistics, see *http://www.doh.gov.uk/waitingtimes*.

130. At the time, according to the British Medical Association, one in four junior doctors was working more than 56 hours per week.

131. Based on a comprehensive data set spanning the first half of the 1990s, Jarman *et al.* (1999) argue that hospital death ratios adjusted for age, sex and diagnosis are negatively correlated with the density of GPs in the surrounding area and with hospital staffing (but their methodology has been contested).

132. The Government is in the process of modernising pay, employment and working practices of NHS staff, with a view to increasing workforce flexibility and ensuring that skills and services fit the needs of patients. Work is under way to extend the responsibility of nurses (including via an expansion of the nurse prescribing programme), a Royal College of Physicians proposal to introduce a new category of health care workers between doctors and nurses is under consideration, a review of hospital career

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structures has been undertaken, and, locally, many NHS organisations have introduced or are developing new roles and responsibilities for key workers.

133. The key recommendations flowing from the analysis in this chapter are summarised in Box 17.

134. On the shortcomings of the NHS's 1992 (and 1998) information management and technology strategies, see NAO (1999*c*).

135. This contrasts with the United States for instance and has been interpreted by some as a social choice based on a perception that the marginal improvements in health outcomes extra money would buy are not sufficient to justify a major budgetary boost (Jacobzone, 1999).

136. Or (2000) provides econometric evidence that health outcomes, measured as potential years of life lost ("premature mortality"), are indeed worse if health spending is low, especially for women. On the other hand, spending more does not automatically produce better health outcomes: for example, while Germany spends much more on dental services than the United Kingdom (Mossalios and Le Grand, 1999), it has one of the highest rates of dental decay in Europe (European Observatory on Health Care Systems, 1999*a*).

137. See Harrington and Pollock (1998) and Royal Commission on Long Term Care (1999). Nursing is free for individuals receiving care in hospitals but not when it is provided in nursing and residential care homes.

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Glossary of acronyms

ACT	Advance Corporation Tax
ALMP	Active Labour Market Policies
AME	Annually Managed Expenditure
APW	Average Production Worker
ASB	Accounting Standards Board
BSE	Bovine Spongiform Encephalopathy
CBI	Confederation of British Industry
CC	Competition Commission
CHI	Commission for Health Improvement
CSR	Comprehensive Spending Review
DEL	Departmental Expenditure Limit
DGFT	Director General of Fair Trading
DMO	Debt Management Office
DoH	Department of Health
DRC	Depreciated Replacement Cost
DTI	Department of Trade and Industry
EC	European Commission
EITC	Earned Income Tax Credit
EMU	Economic and Monetary Union
EPL	Employment Protection Legislation
ERM	Exchange Rate Mechanism
ESA	European System of Accounts
EU	European Union
FC	Family Credit
FSA	Financial Services Authority
FY	Financial Year
GAAP	Generally Accepted Accounting Principles
GDP	Gross Domestic Product
GP	General Practitioner
GRC	Gross Replacement Cost
HA	Health Authority
HAZ	Health Action Zone
HICP	Harmonised Index of Consumer Prices
HMO	Health Maintenance Organisation
ICC	Integrated Child Credit
ILA	Individual Learning Account
ILO	International Labour Organisation
IMF	International Monetary Fund
IT	Information Technology

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JSA	Jobseeker allowance
LFS	Labour Force Survey
LPC	Low Pay Commission
LTU	Long-term unemployed
M&A	Mergers and Acquisitions
METR	Marginal Effective Tax Rate
MEW	Mortgage Equity Withdrawal
MIRA	Mortgage Interest Relief Allowance
MPC	Monetary Policy Committee
NAIRU	Non-Accelerating-Inflation Rate of Unemployment
NAO	National Audit Office
NDLP	New Deal for Lone Parents
NDLTU	New Deal for Long-Term Unemployed
NDYP	New Deal for Young People
NHS	National Health Service
NIC	National Insurance Contribution
NICE	National Institute for Clinical Excellence
NSF	National Service Framework
OFT	Office of Fair Trade
ONS	Office for National Statistics
PBR	Pre-Budget Report
PCG	Primary Care Group
PCT	Primary Care Trust
PFI	Private Finance Initiative
PMR	Product Market Regulation
PPP	Purchasing Power Parity
PPRS	Pharmaceutical Price Regulation Scheme
PSA	Public Service Agreement
PSC	Public Sector Comparator
PSNB	Public Sector Net Borrowing
PUK	Partnerships UK
R&D	Research and Development
RAB	Resource Accounting and Budgeting
RDA	Regional Development Agency
RPI	Retail Price Index
RPIX	Retail Price Index excluding mortgage interest payments
SBS	Small Business Service
SME	Small or Medium-sized Enterprise
TME	Total Managed Expenditure
TPP	Total Purchasing Pilot
UIP	Uncovered Interest Rate Parity
VAT	Value Added Tax
WFTC	Working Families Tax Credit
Y2K	Year 2000

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Annex I

Why are cars so expensive in the United Kingdom?

Despite the elimination of internal tariff barriers and harmonisation of standards, the price of virtually identical cars continues to vary considerably across EU countries. Differentials have tended to fluctuate with exchange rates, but relative country rankings have remained fairly stable, with the highest (pre-tax) prices almost systematically found in the United Kingdom, and the lowest generally observed in Finland and Denmark (Figure A1). While exemptions from EU competition rules and the strong vertical control of the car industry explain the high degree of market segmentation and price discrimination across countries, the systematic upward bias in the United Kingdom also reflects local factors.

The fundamental non-tariff barrier allowing car manufacturers to maintain market segmentation within the European Union stems from the block exemption from Article 85 (1) of the Treaty of Rome which has been granted to the industry. The purpose of Article 85 (1) is to prevent agreements that limit or distort competition within the European Union. However, exemptions can be granted provided that the case is made that the overall economic advantages of limiting competition outweigh the costs (Article 85 (3)). In 1984, a block exemption was granted to the motor vehicle distribution and service agreements, providing a legal framework within which restrictive arrangements between manufacturers and dealers could take place. The justification given for the exemption is that cars are durable goods requiring expert maintenance and after sales service, including outside the original purchase location, and that free competition may lead to the dismantling of the reliable and high-quality service network currently in place throughout the European Union.

The two key features of the distribution system that have allowed market segmentation and price discrimination to persist are selectivity and exclusivity. Under the selective distribution system, manufacturers choose their network of dealers and constrain them to sell only to end-users or authorised resellers. In return, the dealer benefits from an exclusive dealership within a well-defined territory, while at the same time, he must commit not to actively lure customers from outside that territory. While the block exemption was extended in 1995 for another seven years, several amendments were introduced in order to stimulate competition. In particular, efforts were made to reinforce dealers' commercial independence *vis-à-vis* manufacturers, to improve the position of consumers and to better clarify the distinction between acceptable and unacceptable agreements. In addition, cross-border purchasing has been facilitated by a greater harmonisation of the standard requirements and norms across EU countries.

In principle, even under the 1984 block exemption, consumers' rights were guaranteed by the explicit mention that dealers could not refuse to sell to end-users, regardless of their country of origin. In practice, dealers have always been and remain under intense pressure from manufacturers to limit the capacity for consumers to purchase a car outside of their home country.[1] In addition to the usual information and transportation costs, consumers from

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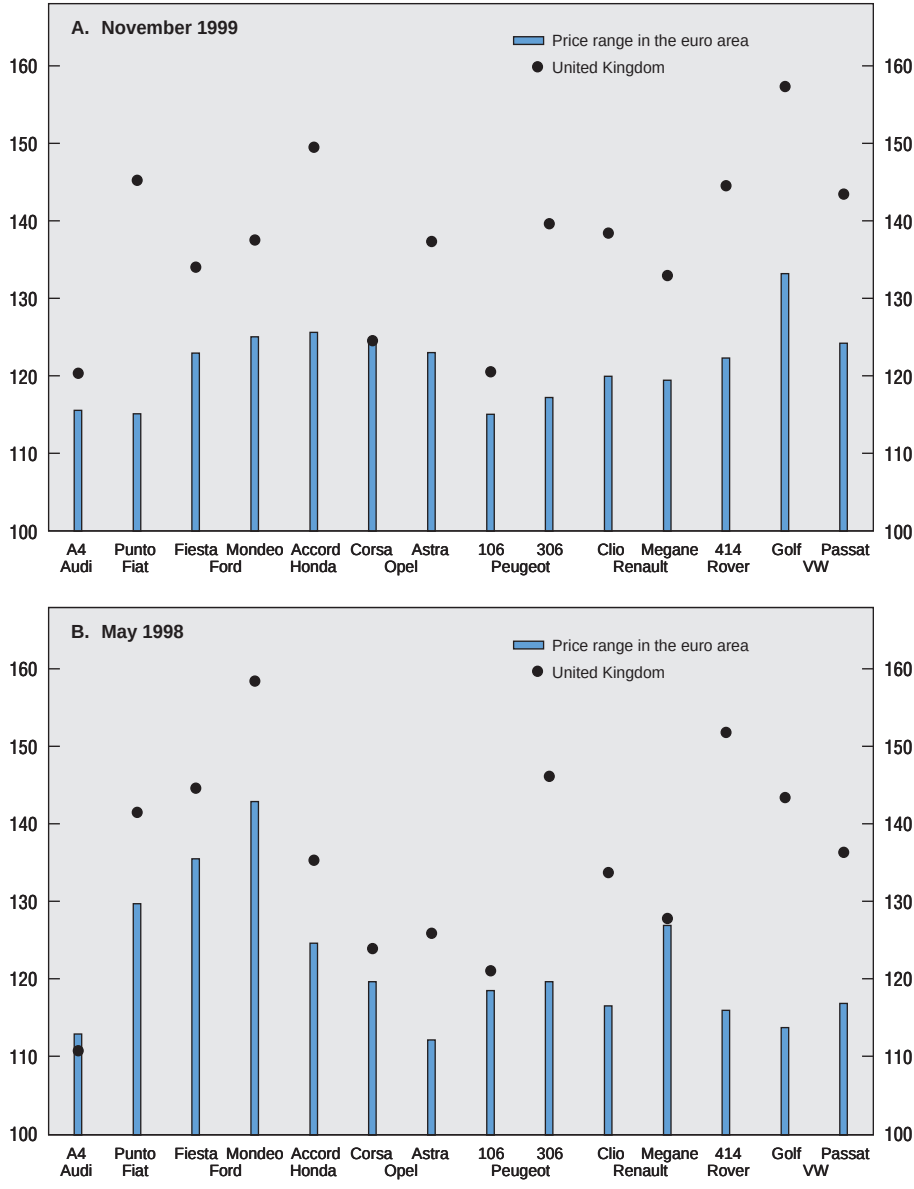
Figure A1. **Car prices**
Euro area minimum = 100, pre-tax



Source: European Commission, Competition DG.

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foreign countries will often confront less natural roadblocks such as longer delivery lags, lower discounts and punitive premiums for specific requirements such as right-hand driving. Selectivity is what gives manufacturers significant pressure power over their captive dealers, not just in terms of sales policies *vis-à-vis* foreign buyers but more generally also in terms of price and discount strategies. Since suppliers can terminate an agreement with a dealer at relatively short notice, the dealer has generally little leeway to deviate from the commercial strategy established by the manufacturer. Moreover, given that dealers derive a good part of their net income from bonuses based on meeting sales targets set by the supplier's national sales company, domestic dealers have little incentive to purchase new cars directly from foreign dealers, even if a profitable arbitrage opportunity exists. As a result, despite the efforts by the EC competition authorities to promote a single market for cars, manufacturers are still in a position to price discriminate across countries. Therefore, the same car can be sold at a lower pre-tax price in countries with lower purchasing power such as Greece or Portugal, or with high sales taxes such as Denmark and Finland, allowing manufacturers to extract the consumer surplus and maintain profit margins in a market marked by chronic over-capacity.

If the nature of the distribution system can be held largely responsible for the persistence of price dispersion across Member States, additional factors explain why prices appear to be systematically higher in the United Kingdom. The sharp increase of the relative price in the United Kingdom over the last two years partly reflects the appreciation of the pound. However, given that well over half of the new cars sold in the United Kingdom are imported, the strength of the pound should over time have been largely offset by a reduction in local prices. The fact that the exchange rate movement is generally absorbed by an adjustment in profit margins can be seen as an indication of the pricing-to-market power of manufacturers and dealers. And, while such power exists in other parts of the European Union, it may be stronger in the United Kingdom owing to the natural and less permeable border and the right-hand driving specification. These specific features do not add much to the overall production and transportation costs, but they make it significantly harder for customers and resellers in the United Kingdom to shop abroad.

The long-standing evidence of higher prices in the United Kingdom prompted the OFT to mandate the CC in March 1999 to inquire as to the possible existence of a monopoly situation in relation to the supply of new cars. The CC published its findings in April 2000 and made a number of recommendations to end what was characterised as a complex monopoly situation. The Trade and Industry Secretary has indicated that he was prepared to take on board as rapidly as possible several of the CC's key recommendations, including: *i*) prohibiting suppliers from price discriminating between fleet customers and franchised dealers, *ii*) preventing suppliers from imposing on dealers contract terms which limit their capacity to advertise their bottom line price or which link their bonuses to registration targets, and *iii*) prohibiting suppliers from giving contract hire companies less attractive discounts when the end-user is not a fleet customer. Concerning the system of selective and exclusive distribution which lies at the core of the problem, the Secretary has said that he will be discussing the issues with the European Commission and that he will ask the latter for a more vigorous enforcement of the block exemption rules, at least until September 2002, when the current exemption expires. Even before the completion of the Report, evidence of collusive behaviour by independent manufacturers and importers had been uncovered. In February 2000, the OFT accused a group of Volvo dealers of operating a cartel to keep prices higher between 1994 and 1996, in particular by agreeing to put a cap on the discount offered to customers. In the context of the inquiry, it has been argued by some that the presence of a sizeable company car market in the United Kingdom (around half of the market for new cars), where steep discounts are typically granted, leads to some cross-subsidisation from the retail to the fleet market. Furthermore, the fact that the lowest pre-tax prices in the European

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Union lately have been found in the highest-tax countries suggests that cross-border subsidisation is taking place, at the expense of consumers in the United Kingdom.

There is empirical evidence to suggest that higher prices in the United Kingdom reflect higher costs rather than fatter mark-ups (Goldberg and Verboven, 1998).[2] This is not inconsistent with the suggestion that the distribution market is less competitive given that the higher potential mark-ups may be eroded by less efficient retailing. In fact, it has been argued that the high degree of standardisation imposed by manufacturers on dealerships has led to oversized and expensive showrooms, which is reflected in higher retailing costs. However, whether this phenomenon is more pronounced in the United Kingdom is unclear. While there are signs that competitive pressures have been intensifying in the United Kingdom, as elsewhere in the car retailing industry, so far it has been felt more on peripheral equipment than on car prices and competition is still curtailed by the power of oligopolies. On the other hand, even though price dispersion across Europe remains large, car prices have fallen in real terms in the last few years. Moreover, by substantially lowering information costs and by-passing the traditional links between manufacturers and dealers, the take-off of e-commerce may help narrow the price gap between the United Kingdom and the rest of the European Union.[3]

Notes

1. In 1998, Volkswagen was fined for preventing Italian dealers from selling cars to German and Austrian customers.
2. This study covers the period 1980-93.
3. Some car models are advertised on specialised websites with discounts of up to 40 per cent.

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Annex II

E-commerce

In a November 1999 speech, the Chancellor of the Exchequer spelled out the Government's ambitious objective of "making Britain by 2002 the most favourable environment in which to conduct e-commerce". Since its development touches on a broad range of issues including IT, the regulatory framework as well as the domestic and international tax treatment of electronic transactions, the Government has launched a comprehensive strategy to promote e-commerce.

Several factors put the United Kingdom in a good position to benefit from the take-off of e-commerce. The telecommunications infrastructure has already been liberalised and is fairly competitive. Even though telecom companies, as in a host of other countries, are currently still enjoying a quasi-monopoly over the local access loop to the web, the Government has signalled its intentions to foster competition for the household market.[1] The United Kingdom features among the leading OECD countries on various indicators of access to IT: off-peak Internet access costs in particular are among the lowest (OECD, 2000*b*).[2] Moreover, the percentage of companies having their own web site or making frequent use of electronic exchanges is nearly as high in the United Kingdom as in the United States and Canada, and well ahead of France and Italy. More generally, the United Kingdom is characterised by low regulatory barriers to start-ups. Last but not least, it benefits from the fact that English is the language used in over 80 per cent of web sites around the world.

However, other major European countries – notably France and Germany – are rapidly catching up and the diffusion and use of modern IT in the United Kingdom does not compare as favourably in the case of SMEs. Even larger British firms significantly lag US companies in setting up e-commerce subsidiaries to ensure they do not lose their customer base to wired competitors. As a result, the United Kingdom lags the United States, Canada, Australia and Scandinavian countries on both business (B2B) and consumer (B2C) e-commerce measures.

To fulfil its ambitious goal, the Government has identified three broad policy challenges around which its strategy is organised: access, trust and understanding. Regarding the first, although the United Kingdom is in a good position with respect to IT access, the Government recognises that more is needed to transform this advantage into successful e-commerce development. Going beyond its effort to lower access costs by fostering competition among local loop providers, the Government plans to reform the communication legislation so as to adapt to the convergence between telecommunications and broadcasting.[3] In addition, the 1999 Budget contained various tax breaks and subsidies to spread the usage of PCs in homes and schools as well as to encourage training in IT. The 2000 Budget goes further with incentives for small firms, with the introduction of a 100 per cent capital allowance for IT spending from April 2000. It also provides for discounts for filing tax returns electronically from April 2001.

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With a view to ensuring that e-commerce transactions can take place in an environment of trust, the Government has submitted an Electronic Communications Bill to Parliament. It deals with electronic signatures and involves the removal or amendment of laws requiring the use of paper. It will also encourage the establishment of a self-regulatory accreditation scheme for providers of on-line confidentiality services. To reduce the risks of fraudulent behaviour on a grand scale, the Government has also introduced the Regulation of Investigatory Powers Bill, which grants the authorities enhanced powers to intercept and decipher communications. Privacy advocates and business groups have expressed concerns, however, that the bill goes too far in this direction.

The Government wants to raise public awareness of the opportunities but also of the threats associated with e-commerce. The measures envisaged in the near term include the launch of a marketing campaign to foster an e-commerce culture and the use of case studies to illustrate the scope for cost reductions, as well as a swifter implementation of IT in government services, especially public procurement. The 2000 Budget included a £60 million package to help SMEs better understand the implications of electronic transactions and to adapt to new technology and business practices. In the longer run, the Government intends to promote the use of mentoring schemes for small businesses, which often lack the resources to exploit IT benefits, and to encourage the private sector to introduce multi-function smart cards, which could be used for e-commerce identification among other things.

While these efforts may lead to an improved framework for the conduct of domestic e-commerce, the United Kingdom, in common with other countries, faces several issues which must be solved to build consumer trust. In the main, these relate to confusion over the taxation of cross-border e-commerce, which generates uncertainty for consumers and may in the short term offset the benefits of greater price transparency. Issues such as double taxation, unintentional non-taxation, tax evasion and compliance burdens for businesses are affecting all countries, and the United Kingdom has been working with the international community through OECD fora to address these issues.

Notes

1. The Office of Telecommunications Regulation (OFTEL) is pushing for the provision of a wider range of tariff structure options and to ensure that technology allowing for faster data transmission on conventional telephone lines does not give British Telecom an unfair competitive advantage as an access provider.
2. The United Kingdom ranks somewhat less favourably as regards the cost for peak-hour access.
3. See the 1998 Green Paper *Regulating Communication – Approaching Convergence in the Information Age*.

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Annex III

The Private Finance Initiative

The Private Finance Initiative (PFI) was launched in 1992 in order to mobilise the private sector to fulfil functions traditionally taken on by the public sector. Under a PFI arrangement, a private entity is in charge of building, operating and financing, and the public sector purchases a stream of services. Such contracts have been signed in a variety of areas, including schools, hospitals, prisons, roads, waste management, defence, information technology and government accommodation. To date, some 300 PFI deals have been signed, involving over £16 billion in capital investment by the private sector, and some 80 projects are fully operational. Their size varies considerably: some amount to £1 or 2 million (*e.g.* school sports or music centre projects), others exceed £50 million (*e.g.* the replacement of old and dilapidated hospitals such as in Carlisle), and a few are much larger still. The PFI was meant to allow projects to go ahead for which insufficient budgetary funding was available, and to increase efficiency by injecting a dose of competition and drawing on private sector skills. It was also hoped that contractors would more closely stick to agreed deadlines than under traditional procurement, and would build better because future maintenance costs would be borne by them rather than by the purchaser.[1]

The take-off of the PFI was much slower than anticipated, owing *inter alia* to the delays and expenses associated with negotiations involving numerous public bodies and a lack of commercial knowledge and experience of project management within government departments. In an attempt to encourage PFI deals, the Chancellor announced "universal testing for private finance" in 1994, *i.e.* the Treasury would approve no capital project unless options to secure private finance had been explored. This requirement was abandoned in 1997, however, in the context of a wide-ranging review of the scheme. The latter led to the streamlining of a number of the rules and to the creation of a PFI Treasury Taskforce, which included a Policy Team, composed mainly of civil servants and responsible for policy guidance on PFI, and a Projects Team drawn from the private sector to help public sector bodies execute PFI deals. At the same time, the Government announced it would expand the scale of the PFI.[2] Over the three fiscal years starting in 1999, the Government expects some £10 billion of PFI investment (of which 10 per cent will be in health sector projects), which amounts on average to about 0.4 per cent of GDP and 14.5 per cent of total public sector gross investment. In April 2000, the Treasury Taskforce Policy Team moved to the newly created Office of Government Commerce, which will be responsible for central policy and guidance on PFI. The Government is also setting up Partnerships UK (PUK), a private sector body with a public mission to co-sponsor projects with departments to secure improved value for money in the delivery of new public services and infrastructure.

The PFI was launched at a time when the fiscal deficit was heading towards record highs even as the perception was spreading that whole portions of public infrastructure needed rehabilitating (Heald, 1997). In this context, and under a cash accounting regime, the PFI

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allowed some investments to go ahead without the full cost of the capital outlays counting upfront against the control aggregate, since the assets involved would appear on the private sector operators' balance sheets. A debate arose, however, on the proper accounting treatment of PFI-related investments, with the Accounting Standards Board (ASB, the body overseeing the private sector) tending to consider that a number of them ought to appear on the balance sheet of the public sector, as the latter continued to bear a significant portion of the risk. In 1997, the Treasury issued an interim Guidance note determining balance sheet treatment on the basis of the relative risks borne by the parties to the PFI contract, with risk defined as the potential variability of the revenue streams associated with the project. In mid-1999, and following reservations expressed by the ASB, the Treasury revised these guidelines, which led to the reclassification of some projects as on the balance sheet of the public sector. Besides the accounting treatment issue, a judgement on value for money determines whether a PFI project goes ahead, the principle being that only those that can be shown to save taxpayer money compared with alternative procurement methods are approved.

Whether the PFI enhanced efficiency overall is difficult to judge. While a number of PFI projects seem to have been off to a good start, others have fallen short, such as the Channel Tunnel Rail Link or some large-scale information technology projects,[3] although this has also been the fate of some traditional procurement projects. It is too early to pass a definitive judgement on the merits of the PFI, but some observations can already be made regarding the additionality of PFI investments, their cost effectiveness, and incentives for the parties involved:

- In practice, it appears that PFI deals have at times tended to substitute for traditional public investment rather than to complement it (Hall, 1998; Gaffney *et al.*, 1999).
- Over the long run, the risk cannot be dismissed that some PFI deals would entail higher public expenditure, as the higher cost of borrowing borne by the private sector and the consultancy fees – which are passed on to the purchaser – may not be outweighed by more efficient resource use (Heald and Geaughan, 1998).[4] In some cases, little risk is in effect being transferred to the private sector.[5]
- The long duration of PFI contracts – often exceeding 20 years – would seem to tie the hands of future governments. However, PFI contracts can incorporate exit options preserving a degree of flexibility comparable with what traditional procurement methods offer. Moreover, in the health care sector for example, NHS trusts reserve the right in the contract to require variations during the construction and operating phase.
- PFI contracts have often been surrounded by commercial confidentiality claims, facilitating undisclosed promises to private PFI consortia.[6]
- The creation of PUK raises some questions as to potential conflicts of interest, since it leads a partly private entity helping the public sector negotiate a deal in which it might then take an equity stake as one way of offsetting the costs of support or advice it provided (and for this reason, consideration is reportedly being given to royalty payments in lieu of an equity stake).

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Notes

1. In principle, however, clauses can be written in traditional procurement contracts penalising late delivery and guaranteeing quality.

2. This Government has also inaugurated other public-private partnership schemes, notably the "Wider Markets Initiative" launched in 1998 as a way for the public sector to engage in joint ventures with private entities to exploit the commercial potential of assets belonging to the public sector. Moreover, in 1999 the Government initiated the reorganisation of traditional procurement: a central Office of Government Commerce is to be created, aiming to cut the annual bill by some 2 per cent. The scope for cost-cutting is substantial, as documented by the NAO (1999*d*).

3. NAO intervention has led to the renegotiation of some deals to obtain better value for the taxpayer, but a parliamentary attempt to strengthen the NAO's legal leverage in this area failed. In the case of the £1 billion Horizon PFI deal run by ICL to automate Post Office counters and provide a fraud-resistant benefits payment card, delays accumulated and the project was eventually turned back into a conventional procurement one, leaving the Government and ICL with several hundred million pounds to write off.

4. A recent report by Arthur Andersen, looking at 29 PFI projects, concluded that compared with the public sector's estimate of the cost of buying the same project conventionally, average savings were running at 17 per cent. The extra cost of 1 to 3 percentage points for private capital, it argued, is smaller than the savings that the private sector can deliver in other aspects of the project. However, it noted that judgement on value-for-money heavily depends on the valuation of the risks transferred, since the latter account for 60 per cent of forecast cost savings. Moreover, only 17 of the 29 projects included full evaluations of the risks transferred. The study further emphasised that the projected savings also hinge on the way the public sector comparators (PSC, *i.e.* the evaluation of the cost under traditional procurement) were put together, noting that these should be made more transparent and reviewed periodically to ensure that they remain fair.

5. When the private company Meridian plc launched a bond issue to finance the "PFI-ed" Greenwich hospital, its prospectus stated that it had "structured the contractual arrangements for the Project such that there are intended to be few risks inherent in the Project which are retained by the Issuer" (Bond issue prospectus, 9 July 1998). Notwithstanding, the PSC was imputed a £20 million risk transfer charge.

6. For example, the Scottish Office instructed a nationalised ferry operator to withdraw the boat serving the same route as the "PFI-ed" Skye Bridge and obstructions were placed in the way of private ferries (Heald and Geaughan, 1998).

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Annex IV

Chronology

1998

April

The New Deal is launched nationwide.

The Government launches a first set of Health Action Zones.

The Bank of England Act 1998, which establishes the Bank of England Monetary Policy Committee and transfers banking supervision from the Bank of England to the Financial Services Authority, receives Royal Assent.

May

The Low Pay Commission recommends the introduction of a statutory national minimum wage.

June

The Bank of England repo rate is raised by 25 basis points to 7½ per cent.

The first elections for the new Northern Ireland Assembly are held.

July

The first Comprehensive Spending Review is released, setting spending priorities over the next three years (notably health, education, and transport).

The Government publishes a draft bill on financial regulation organising the consolidation of various supervisory authorities.

The nationwide implementation of NHS Direct is announced.

October

The Working Time Directive comes into effect.

The Bank of England repo rate is cut by 25 basis points to 7¼ per cent.

November

The Chancellor presents the *Pre-Budget Report*.

The Bank of England repo rate is cut by 50 basis points to 6¾ per cent.

December

The Bank of England repo rate is cut by 50 basis points to 6¼ per cent.

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1999

January

The Bank of England repo rate is cut by 25 basis points to 6 per cent.

The Health Secretary acknowledges that the NHS is experiencing a crisis as a winter influenza epidemic puts pressure on facilities and staff.

The takeover of the Marconi defence electronics arm of GEC by British Aerospace is announced (approved by the Government in September 1999).

The first set of areas eligible for the Sure Start programme for disadvantaged young children are announced.

February

The government publishes a set of pension reform proposals.

The Prime Minister announces pay awards for public sector workers averaging 4.1 per cent.

The Bank of England repo rate is cut by 50 basis points to 5½ per cent.

The Prime Minister launches the first Outline National Changeover Plan, which includes a timetable for preparing the United Kingdom for EMU participation should voters endorse it by referendum.

March

The Prime Minister launches a "20-year mission" to eradicate child poverty.

The FY1999/2000 Budget is unveiled.

A Royal Commission on long-term care for the elderly recommends that free nursing and personal care be subject to less stringent means-testing.

The creation of a Small Business Service is announced.

April

The national minimum wage comes into force.

Primary care groups and the National Institute for Clinical Excellence come into being.

The Bank of England repo rate is cut by 25 basis points to 5¼ per cent.

May

Elections are held to the new Scottish Parliament and Welsh Assembly.

June

The Bank of England repo rate is cut by 25 basis points to 5 per cent.

The US retail giant Wal-Mart announces that it is taking over the UK supermarket chain Asda.

The Government announces a formal agreement with the German motor vehicle manufacturer BMW over an aid package to redevelop the Longbridge factory of its subsidiary Rover.

July

The Bank of England auctions off 25 tonnes of gold, as the first stage of a Government plan to sell around 400 of its 715 tonnes of gold reserves (of which 125 tonnes in 1999-2000).

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The European Commission lifts the ban on UK beef exports, which had been imposed in 1996.

The Government announces plans to partially privatise British Nuclear Fuels and National Air Traffic Services, and to give the Post Office more commercial freedom.

The Government announces the establishment of Partnerships UK, a private company in charge of enhancing the public sector's ability to use public-private partnerships to achieve its objectives.

September

The Bank of England repo rate is raised by 25 basis points to 5¼ per cent.

October

Implementation of the Working Families Tax Credit.

The Prime Minister, joined by the leader of the Liberal Democrat Party and two prominent former Conservative ministers, formally launches the "Britain in Europe" movement, founded in March 1999 to advocate the benefits of EU membership and adoption of the euro.

The Government announces that an independent Statistics Commission will be set up responsible for the quality and relevance of all official statistics, including those produced by the ONS.

November

Enactment of the reform of the House of Lords abolishing its hereditary component.

The Bank of England repo rate is raised by 25 basis points to 5½ per cent.

The Chancellor of the Exchequer presents the *Pre-Budget Report*.

The Health Secretary bans NHS doctors from prescribing the anti-flu drug Relenza.

The Government announces that MIT and Cambridge University will jointly establish an Institute in the UK.

December

The Secretary of State for Environment, Transport and the Regions presents a 10-year programme for upgrading the UK transport system.

The European Commission launches a formal investigation into the aid promised by the Government to Rover.

2000

January

The Bank of England repo rate is raised by 25 basis points to 5¾ per cent.

The Health Secretary acknowledges that the NHS is experiencing a crisis as a winter influenza epidemic puts pressure on facilities and staff.

The Prime Minister states the aspiration to bring spending on health care in per cent of GDP up to the EU average.

February

The Bank of England repo rate is raised by 25 basis points to 6 per cent.

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A Government inquiry concludes that the provision of beds in the NHS is inadequate.

March

Competition Act 1998 comes into force.

The Government publishes the Second Outline National Changeover Plan, which sets out the progress on euro preparations. It sticks to the "prepare and decide" approach.

The Government announces the creation of Employment Zones.

A report by Lord Grabiner proposes measures to help people move from the hidden economy into legitimate work as well as new powers to detect and punish offenders who refuse to do so.

The FY2000/01 Budget is unveiled.

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BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

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5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
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BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

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